

Kaveri Seed Co (KSCL)

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Call: Aug 2022

16th August 2022

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Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q1 & FY 2022-23 Results Conference Call on
Thursday, 11th August, 2022 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q1 & FY 2022-23 Results Conference Call made on Thursday, 11th August, 2022.

The transcript and audio is uploaded on the Company's website as well on below link:

<https://www.kaveriseeds.in/investors/financial-information/#tab-transcript-of-conference-calls>

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

V.R.S. MURTI
COMPANY SECRETARY

Encls: a/a.

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"Kaveri Seed Company Limited Q1 FY2023 Earnings
Conference Call"

August 11, 2022

MANAGEMENT : MR. MITHUN CHAND, THE EXECUTIVE DIRECTOR,
KAVERI SEED COMPANY LIMITED

Kaveri Seeds Company Limited
August 11, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Kaveri Seeds Company's Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode/there will be an opportunity for you to ask questions at the end of today's presentation.

Please note that this conference is being recorded. Joining us today on this call is Mr. Mithun Chand – the Executive Director. Thank you and over to you, sir

Mithun Chand: Thank you. Good evening and welcome everyone to our Q1FY23 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational & financial performance of the company and then open the floor for a question-and-answer session.

We have achieved pre-COVID level revenue and are on a growth path to achieve better volumes of revenue during the year. Despite an increase in sales during the quarter, the company managed to keep production costs and other expenses constant resulting in higher EBITDA and PAT levels. EBITDA and PAT margins during the quarter grew by 427 and 332 basis points respectively.

Increased cotton acreages during the current year were driven by high cotton prices and market share gains on account of marketing efforts. The use of illegal cotton seed has come down and organized players have gained market share in cotton seed.

Higher growth of cotton acreages is reported from the states like Andhra Pradesh, Maharashtra, Gujarat, Karnataka, Rajasthan, Orissa, and Tamil Nadu and less area is reported from the states of Telangana, Haryana, Madhya Pradesh, and Punjab. The delay in the arrival of the monsoon across India till June 15, 2022, has impacted farmer's sentiments. Now with the onset of the monsoon across India and fairly good rainfall, we are expecting double-digit growth in maize, rice, sunflower, and vegetables in the second half of the year.

Despite a 15% decrease in rice acreage, due to rain shortage in some regions of the nation, we have surpassed the markets in terms of volume growth. We continue to see encouraging growth in vegetable seed acreages, volumes, and revenue growth. Across all segments including cotton, rice, and vegetables we have introduced new variants and have witnessed a growing contribution from new variants across the segments.

Financial highlights, revenue from operations was at 731.95 crores as compared to 682.41 crores in Q1FY22, registered a growth of 7.26%. EBITDA was at 239.93 crores as compared to 194.55 crore in Q1FY22; increased by 23.32%. Net profits was at 240.6 crores as compared to 201.75 crores in Q1FY22; registered a growth of 19.29%. Cash on books stands at 559 crores.

Segment-wise highlights:

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Cotton volumes increased by 8.33% and revenue by 3.8%. New products in North market include Viplav, KCH 111, Money Maker and KCH 9333. Hybrid rise volumes grew by 6.09% and revenue by 1.02%. Robust growth has been possible by the introduction of Novel hybrids KPH471, KPH473, KRH7425, and KRH 7299. Selection rice volumes grew by 15.2% in financial year 2023. The contribution of new products was up from 18.02% to 23.49% of volumes. New products in selection rice are doing well like KRV0511, KRV 0501, and KV99 helped us increase the volumes. Maize volumes increased by 24.43% and revenues by 13.46%. Contribution of new products was up from 18.08% to continue 28.62% of volumes. Vegetable seed volumes increased by 25.9% while revenue decreased by 2.54%.

R&D continues to be the backbone of the company we continue to launch new products every year across seed segments to drive revenue growth.

I will now open the floor for the question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is

from the line of Nitin Awasthi with Incred Equity. Please go ahead.

Nitin Awasthi: Hello sir, thank you for the opportunity. The first question I would like to ask is that we have seen volume growth far exceeding the revenue growth in almost every segment and why is this so? Why is the revenue not matching our volume growth or exceeding our volume growth in most of the segments? Our volume growth is very far ahead of the revenue growth for most of the segments. So, are we taking price cuts, and specifically this question goes for the cotton segment, are we selling cotton for lower per packet than what we saw last year?

Mithun Chand: Good observation. For most of the segments, we have done lower growth in terms of the revenues versus the volume, especially in cotton. This time, we have seen a lot of competition in the cotton segment. Even though the illegal BT was not sold, the smaller companies with the low realizations had an impact in the market, which is the reason we lowered our realizations in cotton and we are expecting to give more discounts to dealers going forward. In terms of maize this time, some quantity came from subsidy, usually government sales are lower in

terms of realizations when it comes to the mainstream hybrids and the hybrids, further what we sell in government subsidy is also lower. These two are impacted to some extent.

Nitin Awasthi: And for hybrid rice?

Mithun Chand: Rice, there is marginal decline, as although the acreages were down significantly, we had a good market share. So, we have given some sort of an incentive for hybrid because there is a marginal decline in the revenue when compared to the growth and whatever scenario we have seen, it is a temporary process only for this year that has impacted the margin to some extent, but when you compare the margins with respect to the previous year the margins have

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improved, we have managed well in terms of the production costs, and in terms of the operational efficiency. So, going forward, they should not affect that much.

Nitin Awasthi: Okay, that's fair. Sir the second question is, although your margins are better than last year, but if you still compare yourselves to something again like FY20, your gross profit margins are lower and I just want to understand, what would you call impacting the gross profit margins? Is it our costs going up or is it the discounting we have given, which is impacting our gross profit margins, because of which, you know, compared to previous glory years, we are only called gross profit margins are lower than 50%.

Mithun Chand: If you go back to those levels, there is a decline in the margins of close to 2.5% to 3% compared to the FY20, where we had a high margin and it is because of the discount that we have given as well as the R&D spend, that we do year-on-year basis, which is much higher than what we used to do in 2020 adding to the cost of consumption. So, both have impacted marginally. So, once we grow our revenues that should not make impact.

Nitin Awasthi: Okay, and how do you see this going forward? Because discounting is, like you said, smaller players are becoming more stronger in the cotton segment. So, how do you see this scenario playing out in the future? Do you think you will have to keep cutting prices or smaller players will go out of the market or will they become more dominant?

Mithun Chand: This is a very temporary phenomenon. If you see the cotton production cost, and the cotton the commodity prices both have gone up, usually the production costs are in line with the commodity prices as the commodity price goes up, the production cost is also higher and that's the reason if you see the cotton selling price, the MRP has gone up to the Rs. 40 odd this year when compared to the previous year. But in fact, because of the high competition in the market, and the smaller players were ab

le to push it for lower price, because most of the hybrids are very pretty old hybrids. So, that we were not able to realize on the market, but they said earlier it's a very temporary phenomenon. Usually, we see one or two years of this slide in the cycle of 10 to 15 years. So, that should come back. But the other point of what we need to see is that even the government has realized and increase the cotton prices per packet this year, but we are not able to pass it on to the farmer, but we are pretty confident that going forward we will be able to realize more in this cotton segment that will again improve the market.

Nitin Awasthi: Got it. Sir, last question from my side what is your market share in cotton for this year

Mithun Chand: We will be close to 16 to 17% slightly up from the previous years. We maintain the same way. We have increased the market share in states like Gujarat especially we have invested a lot in Gujarat. We able to make some sort of a penetration in Haryana and Punjab. Maharashtra, we were not able to increase the market share but whereas in states like Telangana and Karnataka we were able to maintain our market share.

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Nitin Awasthi: Lastly, illegal cotton seeds what would be that as a proportion of the whole sale?

Mithun Chand: Illegal cotton seeds come down from when compared to the previous year. We have seen a lot sort of an impact in terms of the productivity last year even the farmers have realized that the legal BT cotton may not fetch more in terms of the productivity and most of the seeds are not gaining in, which will be control and what assistance we did. So, they are moved to the organized players but if smaller players where I mean to say not the highly brand highly priced one, but more to the organized segment and I do not see going forward the illegal BT will increase. it should come down going further. The percentage should not increase.

Mithun Chand: Okay sir got it. Thank you so much sir.

Moderator: Thank you. The next question is from the line of Yogesh Mittal, an individual investor, please go ahead.

Yogesh Mittal: Thanks for giving me the opportunity. Good afternoon. The question is regarding jawar and the sunflower. I wanted to understand the sales contribution for these two seeds separately and what do we see as the outlook for these for next few years.?

Mithun Chand: In terms of the jawar, it contributes very small, but it is a crop, which is slightly gaining some sort of momentum, but it will not be as big as the other crops. Whereas sunflower, we have seen a huge increase in the oil prices that have impacted the commodity prices of sunflower as well. So, that has made farmers to move towards sunflower. This year we have almost doubled our quantity in sunflower as compared to previous year. In fact in terms of the revenues can contribute close to I mean to say 23 to 24 crores of revenues in sunflower against seven or eight crores last year. Still we see a good contribution coming from the Rabi but it will not be big but in terms of the base it will be like at least like 50 to 60% more anyone in Rabi and Sunflower still continue for next year or two we see a good as the oil prices are high we see a good intake I mean to say increase in sunflower sales, but going forward Sunflower being as big as cotton or rice that we doubt as I have got the sunflower potential. As we are one of the largest players in sunflower we try to take the advantage of that.

Yogesh Mittal: Sir the second question is about the illegal seeds. I wanted to understand. So, does there is a mechanism for the crop insurance. If a farmer buys illegal seeds, are his crops covered with the crop insurance in case there is a there is a failure for the yield

Mithun Chand: I am not sure that like if all the crops are covered under the crop insurance, very few crops with very few insurance agents cover

it but basically it not depends on the productivity, it depends on the like rainfall and other parameters for the industry on which they decide on the rainfall and the other aspects.

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Yogesh Mittal: Right sir. The question was regarding basically in case any crop is covered, and if the seed is illegal, whether that will be covered or not, my understanding is it should not be covered whether because if it cannot be produced as a bill for invoice for that, does that make sense?

Mithun Chand: What I was trying to say is that illegal BT is only there in cotton that is only a few part in entire segment. If you take India. India is 156 million hectare out of which cotton has 11 million hectares and further out of that illegal BT is like this 0.5 million hectares not more than that. So, that's small portion and usually insurance companies did not go in depth with that and insurance is not covered across and most of the crops are not under insurance. So, once they cover the entire cost and they formulate a policy that they may come up with that.

Yogesh Mittal: Sir great and we wish you all the best. Thank you so much.

Moderator: Thank you. The next question is from the line of Anurag Jain, an individual investor. Please go ahead.

Anurag Jain: Good afternoon, am I audible.

Anurag Jain : Yes. Good afternoon. Sir, my question is in Q1 FY23, the other segment which is basically apart from cotton, maize, rice and vegetables, they have grown 90% so to 43 crores from 22 crores last year. So, one as you have explained just now, that sunflower was a big contributor, Apart from sunflower which is the other seed which has been a big contributor in this segment.

Mithun Chand: That is already mentioned in the earlier comments and in terms of the presentation as well. The major contributor is maize, which has grown by more than 13% in terms of the revenue as an individual crop.

Anurag Jain : No sir. Let me explain the question again, apart from the top four or five crops for which you disclose the details separately, there is the other segment the other segment has grown last year it was 22 crores, this time it is 43 crores. So, in this segment, as you have explained earlier, sunflower is a major contributor which has grown significantly. So, apart from sunflower in the other segment which is the other seed which has grown significantly because this has almost doubled from 22 to 43 crores?

Mithun Chand: In terms of 22 to 43, the growth is like 20 odd crores, the 20 odd crores majority of that 80 to 90% of the growth is from sunflower. The other segment like Jawar, pulses are the other segments which have grown but it's hardly one or two crores not more than that even pulses is one part in that.

Anurag Jain : And sir this means that now sunflower is contributing as much as vegetable seeds is becoming a segment close in terms of size to the vegetable segment. Am I correct in saying this?

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Mithun Chand: We were big in sunflower from last many years as a sunflower acreages are coming down and we were not able to do revenues. But last year and this year, we have seen a huge growth in sunflower and that may continue for some time, but vegetable as a segment is a much larger segment than sunflower and vegetables is growing at more than 20% year-on-year. What we see going forward is our vegetables share surpass the sunflower sales when you compare on the first quarter to fourth quarter basis both looks similar or comparable, but at the year-end

vegetable should be far better than the sunflower and going forward vegetable will easily surpassed the sales of sunflower in the coming year.

Moderator: The next question is from the line of Nishith Shah with Equitas Investment, please go ahead.

Nishith Shah: Good evening, sir and thank you for this opportunity. Sir, I wanted to u

nderstand is there any

update on BT 3 site any regulatory update?

Mithun Chand: That is a government policy. We do not have much decision to make on it, but in terms of the progress of the other new technologies the technology provider now Monsanto is taken out by Bayer. I think they are forwarding their case and they are submitting the samples and the reports on that in terms of the moment of the in the technology. In the present year is far better than the previous year. So, we are pretty much hopeful that definitely in a year or two, we will definitely have some sort of clarity in terms of the introduction of new technology not only for this one is and for the future technologies as well.

Nishith Shah: Okay, and sir I would like to understand what is our target for the R&D spends for the year.

Mithun Chand: We are year-on-year increasing more than 15 to 20% in R&D spend and now we are setting up a new R&D center which itself cost like 35 odd crores that will be about two to three years and we had setting that specialty for biotechnology and for the genomic advanced technology and that is an integrated part of both the technology. So, we are continuously spending on it, and we are adding new staff and the breeding programs are strict now and apart from the new, some of the crops are also being added. For example, we have added mustard in the previous year. Now we are working on soy and wheat is also there. So, we are working on different crops. So, R&D going forward year on year 15 to 20%, more should come for at least for next four to five years apart from some sort of mechanics and then year-end CAPEX is whatever is like expensed that should not be given at a separate heading.

Nishith Shah: Okay and sir lastly, how do we see our exports, an outlook over there?

Mithun Chand: Our export look good. In fact, we have given a sample and we are trying to raise some of our companies in other countries, it is a very procedure drawn process, we need to test it and it takes a longer time, but we have spent like three to four years in most of the countries and they make one or two years, we will be able to make some sort of a development there and in terms of the exports in absolute terms, we have done close to 18 crores to 19 crores last year. This Kaveri Seeds Company Limited

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year, they should be like 15 to 20% more than that, but with a small base and in the previous two years, we were not able to export it properly because of the COVID restrictions. Now most of the countries are free to do it. We are very much confident that we will make an in road in the export market and once we get the approvals and the formal raise sessions across all countries, then that that will definitely go and export as a market will contribute a decent size going forward in the next four to five years that that is how our work is being done at the company level and our progress is very good in that way.

Nishith Shah: Okay, that's all sir. Thank you.

Moderator: Thank you. The next question is from the line of Vidit Shah with IIFL Securities, please go ahead.

Vidit Shah: Hi sir and thank you for taking my questions. Sir my first question was, you have previously guided around 15 to 20% volume growth in the non-cotton segment. So, now given that we have been taking price cut, could you give some sense on where we can expect revenue to be at? Should we expect something like 5 to 10% revenue growth or would it be more flattered?

Mithun Chand: As far as I recollect I said that 5 to 10% growth in cotton and 10 to 15% growth in non-cotton and the profitability it should grow in between 15 to 20%. So, we are slightly down in terms of revenue growth, but in terms of the profitability, we are more than that 15 odd percent, but anyhow, going forward, we see that we see a very good Rabi coming up. We see a very good sales in maize and even in vegetables a

re contributed a decent number this year compared to previous year. So, we should be in line with that 10 to 15% growth as the company as a whole and this time was an exception year where you have seen that the volumes have grown, but the revenues are slightly down because of the competition and other aspects, but that is a very temporary phenomenon, a seasonal phenomenon, but going forward, that should not be an issue and we are fairly confident of 10 to 15% as a growth in the next three to five years as revenue growth.

Vidit Shah: Got it sir, just to stay on the line of this competitive factor you said it is a temporary phenomenon and should not last more than a year or two. So, can we expect like these EBITDA margins at around 28-29% in FY21 and 20. Can we expect these to return by FY24 and should it take slightly longer either?

Nihar Chheda: I do not think it should take longer time because if you see the margins when compared to the

22 to 23 when compared to the first quarter of it. We are up by around like 4 to 5% of the EBITDA margins. If you compared to the year end it should be like that 26 or 27% slightly lower than one or 2% lower than those years, but it's a very thin it's like it's a very small gap between those levels and I am pretty confident that a year or two should come back. By 24 definitely I think it should come back to those levels. As I said that even the cotton prices were

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increased by the government. The MRP were increased in cotton prices, but we are not able to realize because of the competition, but that should not last long.

Vidit Shah: Okay. So, if you could just explain some further how to like what are the smaller players and like, how was it possible for them to sort of gain market share or what was their competitive advantage other than that farmers operated to take that phase and how will this situation reverse in the coming year.

Mithun Chand: Basically, if you see the hybrid, which are there in the market, most of the hybrids are the old hybrids, I mean to say these are these were all released like four or five years not only for Kaveri, the entire industry were not able to produce newer hybrids and now most of the companies including Kaveri has such new hybrid wherein we get new market shares in that, and we were not able to show much of it like difference between the existing hybrids and the new ones, but the pipeline hybrids and the newly tested hybrids are doing well. So, that will contribute to the majority of the revenues for the industry in the next two to three years, then I mean to say like visible productivity difference in these hybrids that then that will go to the organized players

Vidit Shah: Okay fine. Understood sir. Thank you.

Moderator: Thank you. The next question is from the line of Yogesh Tiwari with Arihant Capital, please go ahead.

Yogesh Tiwari: Thank you sir, for taking my question. My first question basically is you had mentioned that the illegal seed that is facing some challenges. So, just wanted to understand if there is a structural change in illegal seed being disrupted or is it just a one off.

Mithun Chand: We were saying that last year the illegal BT had gone up because the COVID condition the availability of the organic seed was also lower and they were not able to distribute it properly and last year, the illegal BT has gone up when compared to the previous to previous year and the farmer has seen that the productivity issues and most of the illegal BT what this whole claiming that it is a sustained weedicide but that was not the fact. So, most of the crops were not able to withstand those things and the productivity will also lower as the technology is only one factor but the other things like the productivity like the hybrid that they were not able to demonstrate it and the farmers are not happy with that is the reason they have retur

ned back to

the illegal or the organized players.

Yogesh Tiwari: So, sir we can assume that this is irreversible now like illegal seeds will not be able to take away market share from organized players.

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Mithun Chand: I do not say that it will be zero, but I do not see the growth coming in those segments it will be slightly sideways based on the commodity price and the availability of the organized but it will it will not grow like what how it has grown in the last couple of years.

Yogesh Tiwari: Yeah, and Sir, it will be helpful if you up there can be some quantification of how much market share can the organized players take away from illegal players illegal seeds.

Mithun Chand: Usually the illegal BT is sold like 40 to 60 lakh packets roughly that should not so much.

Yogesh Tiwari: Sure sir and my second question is on vegetable seed volumes. So, it has increased by about 25% while revenue has declined by about 2.5%. So, I assumed that as you mentioned it is because of discounting.

Mithun Chand: So, not exactly in terms of the vegetables because vegetables seed is very difficult to compare with volumes to prior revenues because most of the OP went in vegetables this year for example, the hybrid okra and varietal okra the volumes and the price are very much differentiating. I mean to say that the other segments seed went in vegetable. That is the reason we have shown some sort of a decline but in vegetables the realizations are same as compared to last year, but other seeds went in vegetables. Vegetables, we market close to 15 varieties of vegetables some with the high volume and low price, some with low volume and high price.

Yogesh Tiwari: So, basically it is more related to the products mix between.

Mithun Chand: Yes, exactly.

Yogesh Tiwari: And discounting is not much in vegetables, right?

Mithun Chand: Yes.

Yogesh Tiwari: And sir if you can give any blended so as you told that there was some discounts given to the dealers, so can you, if you can share any blended numbers, what would be that percentage of discount,

Mithun Chand: Basically the majority of the discount if you see the first quarter that there is a huge gap between the revenue I mean, there's like 6 or 7% gap in between revenue and the realizations, volumes and revenue is only in cotton. That is where we have provided more discounts to the dealers and if you see maize, we are not provided much in some of the trade because of government sales the revenue is slightly down but otherwise in trade, we are not doing much discount in companies previous year and invoice it is very marginal one or 2%, but if you see the major difference comes in cotton that only crop where we are given more discounts.

Yogesh Tiwari: And lastly like going forward discount in quarter will also be not will be there right?

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Mithun Chand: It will be normalized. I do not see this sort of pressure coming up.

Yogesh Tiwari: Okay, thank you. Thank you sir. That is all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Vijay Athlye, an individual investor, please go ahead.

Vijay Athlye: Thank you for taking my question. My question is because of late monsoon is there any slippage of sales for Q1 to Q2.

Mithun Chand: Not much. The cropping pattern was slightly different. We do not see much of a sales coming in second quarter it should be in line with last year, but only in terms of the rice we were not able to do that, but the entire cotton areas came up, maize also came in the first quarter. So, we do not see much of a carry forward sales in the second quarter. In terms to say to come back to answer straight to your question, most of the crops were accounted in the first quarter itself.

Vijay Athlye: Thank you and sir the second question is what is the update on Rs. 15

crores which was due to receive from MP government.

Mithun Chand: Sorry.

Vijay Athlye: What is the update on 15 crores, which was due to return from the MP government in Q4FY22.

Mithun Chand: Yeah, we had the 13 crores of bad debts accounted in terms of Madhya Pradesh government that we were not able to realize it, but we have realized, like, from the other companies, for example, last year, we had 49 crores as on Q1FY22 as a bad debts accounted for the last six to seven years, which are accounted as the accumulated bad debts that came down to 43 for this Q1FY23. So, that 13 crores is still pending we have filed a case I think. I will just need to find update of that, but that will come that that definitely that will be received by the company as this is it the couple of government bodies are involved we already following it up. That should not be a problem, it is a matter of time.

Vijay Athlye: Thank you so much. That's it from my side.

Moderator: Thank you. The next question is from the line of Anurag Jain, an individual investor. Please go ahead.

Anurag Jain: Good afternoon. Sir my question is in FY 2021, and FY2022 around 50% of the CAPEX was on purchase of land. My question is like what is the purpose for which this land was purchased? Was it for farming of seeds or for R&D farms or for setting up processing plants?

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Mithun Chand: It is a mix of that, if you see in the financial year 2021, we have bought a property for the office purpose, that might be a part of it and the CAPEX is also for the new office building.

The other majority of something related to the agriculture land, which is mentioned in the annual reports of what we have spent for. If it is agriculture land that we have dedicated for the R&D and some facilities also we have created for the crossing facilities that is also there a part of it, but if you see the overall CAPEX year-on-year, it is not more than 35 to 40 crores a combination of all and this year it is much lower than that.

Anurag Jain: Okay, and my next question is around one year back, the company was expecting that mustard seed as a segment should grow significantly as there is a lot of stress on oil seed business from government side and prices of oil seeds are increasing and there is a shortage of oil seeds as well. So, how do you see the mustard seed business for the company in next three to five years,

Mithun Chand: We are very much confident on the mustard seeds as the oil seed prices are going up and as the government is still pushing for the production of the oil seeds, mustard is a crop where it has a potential to grow much higher than the present standing crop, so we have intensified our breeding in mustard as you know that it takes a lot of time to get new hybrids, but we have introduced couple of smaller hybrids, but to gain a good amount of sales in that it may take

another three to four years, but we are in line with our strategy. We are working on mustard crops.

Anurag Jain: Focus and if you permit me to ask one more question like is weed seeds are the focus area for Kaveri. Seeds for wheat.

Mithun Chand: Wheat is also a part of our production plan but it's not as mustard. In wheat, we do not have hybrid so that is the reason the focus is much when compared to the new crops like mustard, it is lower priority one, but we are working in wheat.

Anurag Jain: Okay sir, thank you. If you permit me one more question, if you can show sir there is assets held for sale. Some assets, which you thought would be useful, but later on company decided that they will be able to sell those. So, if you could throw some light on what is the status regarding the disposal of these assets held for sale?

Mithun Chand: Sorry, sorry.

Anurag Jain: Sir there are there are in the balance sheet, there is item assets held for sale, some assets, which were earlier purchased,

thinking that they will be useful for the company, but later on, there was a change in thought so it was decided that you would sell these assets. So, what is the status of these assets held for sale?

Mithun Chand: Nothing, there is only I think there is only one asset which is like that. We have bought an office property earlier before the present one. So, that we have kept it on sale whenever we Kaveri Seeds Company Limited

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realized that that will come back to that. The commercial space, which we thought will set up an office there, but it was becoming a crowded one. So, we are taking our own building that we kept it for sale. Once we realize it, it will come into the.

Anurag Jain: This building is being used or this is not being used as.

Mithun Chand: No we have never put that building. We have kept it on lock.

Anurag Jain: Okay, thank sir.

Moderator: Thank you. The next question is from the line of Shrikhandt Verma, an individual investor, please go ahead.

Shrikhandt Verma: Hello, good evening, sir. Sir the cash on books is around 570 crores. This year are you planning to go for a buyback? Are you are you seeing get some organic growth in the company, some requisition?

Mithun Chand: I may not comment on this because that is not an individual decision. That is a board decision, but as a board we always see that if we are not able to use cash properly, then that needs to be rewarded to the shareholder distributor share holder. That policy I think will still continue further. As of now we are not taking any decision on that whenever we take that is later on.

Shrikhandt Verma: Due to the sowing delay and due to the direct monsoon, some other Kharif crops got delayed. So, can we expect any sales in Q2 additional sale or something

Mithun Chand: Not much. I have just answered to the earlier caller as well that we do not see much of a slipover sales in the second quarter. Most of that are already accounted.

Shrikhandt Verma: Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Manoj Shah from Laxgov Investments, please go ahead.

Manoj Shah: Good afternoon. My question is with respect to this hybrid cotton seed, as we are saying that the smaller players are selling the older seeds. Can you just comment on what is the life for hybrid cotton seeds and how does it impact over a period like if a seed is three or four year old, how does it impact the productivity and also, if you can explain what do you mean by here the illegal BT cotton seed.

Mithun Chand: Basically, the productivity of the hybrid does not fall with the age, but the other circumstances other conditions determine the productivity of that as such new insects or some sort of soil borne diseases or some climate change will impact the productivity of the hybrids, usually with Kaveri Seeds Company Limited

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the accident what we see in cotton after the peak, the hybrid will get replaced in three or four years. This time, it took a longer time. That is one of the reasons where we are not seeing much of the new hybrids in the industry, which came in the last three or four years, but if you see in the last one or two years, there is a lot of trialing happening and in the next two to three years, you will see a majority of the hybrids will be replaced with the new hybrids and in terms of the illegal BT which I said earlier, I do not think it will move further from here, it should be a sideways of that from the current conditions based on the commodity prices and the availability of the organized seeds.

Manoj Shah: Sir if I have understood correctly, once the hybrid cotton once it is produced, if you kept it in a

preserved manner in the sense that moisture, air and other stuff, then the productivity does not get impacted by its aging. Only when the insects or anything like that draws then only it will impact the productivity.

Is that correct.

Mithun Chand: Yeah, there are two things one is the how do you protect the seed and the other part is that after sowing the seed how the productivity differs, I was talking about the seed after sowing after sown, so that will not have any impact, but storage of the seed is a different subject, based on the hybrid conditions and the storage conditions, it will stay for 2 to 5 years, that depends on the hybrid to hybrid.

Manoj Shah: So, you are saying once the hybrid seeds are produced, you have a shelf life 4-5 years after that it get replaced and the new seeds are produced. So, you are saying that currently the earlier seeds which are produced 2 years back, they are still in stock, so these smaller players will using seeds as discount.

Mithun Chand: No that is the wrong thing, what I was saying is that new variants should come in hybrid. For each hybrid is a different variant I mean a new combination should come. After introduction it takes three to four years for a hybrid to get to peak and after that it will stay on peak for three to four years based on the hybrid quality. But we are not able to produce new variants in the last three four years not as I mean to say not as a Kaveri, but as an industry. So, that's where products went in the market this year, that we do not seek in going forward as most of the companies are testing new variants, which have much more productivity than the existing ones with a better I mean to say advantages.

Manoj Shah: So, if I say like, okay some seeds, few years back some seeds are produced which are better resistant to the low rainfall or some what they call some tests on the cotton crop. So, likely based on the agriculture, climate conditions, try to produce new and newer seeds, so try to incorporate new things so that they are able to give you much better output to the farmer. Is that what you are talking about here and you are saying new seeds that took place every three to five years with the new quality.

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Mithun Chand: Yes, what I mean to say new seeds are new variants with new parents, new combinations.

Manoj Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of an Anil Jain with Makarand S Invest. Please go ahead.

Anil Jain: Hi sir. Good evening. Congratulations on a great set of numbers. Sir I just wanted to ask you, I think somebody asked you before also about the reduced OPM, other gross profit margin, right. Just wanted to know, we were doing well in June 2019 and in June 2020, we had an OPM of about 36 to 37%. You said that there are increased discounts that you had to provide this time. So, and then you said that it is a temporary phenomenon, so I did not quite follow how exactly is that, like, what does that mean? Could you explain that further?

Mithun Chand: If you see when competitors margin of 37% to 33 we are down by 3 to 4% . That 3 to 4% majorly has been impacted in the cotton realizations, if you see the revenue growth is up by 7 to 8% and the volume growth is up by 7 to 8%, but the revenue growth is only 1-2%. So, because of the competition, because of the more availability of the seed across in the players and there was much of a price competition, then now, we are giving more discounts to the dealers. That is the reason, the lower in realization so that this is one of the year in the last seven, eight years or 10 years. So, what I said is once in 10 to 15 years, we continue for one or two years and then it will get normalized. So, that is the reason I say that is very temporary phenomenon.

Anil Jain: Okay but ideally what do you think caused that you also I think justified why it was caused by some prices going up? I was not able to really hear you clearly at that point. So, if you could repeat that part, I will be obliged.

Mithun Chand: Whatever is that if you see the commodity prices compared to thi

s year, the prices are up. So,

that impacts our production cost as well even our production cost goes up as the commodity price goes up. But usually, we pass it in toward the farmer. But this year because of the competition we were not able to pass it on, even though the government has increased the MRP but the realizations are much lower than last year.

Anil Jain: Okay, fair enough and do you think this is a two-year phenomenon it should play out and then?

Mithun Chand: It is too early to comment about the next year also. But what we think is that technically the discount should not be higher than the this year compared to the next year, it should come back. But. I said one or two years.

Anil Jain: Okay. Thank you sir.

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Moderator: Thank you all for joining the call. For any further information, please be in touch with Rama Naidu from Intellect PR. On behalf of Kaveri Seeds Company Limited that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Nov 2022

19th November 2022

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q2 & FY 2022-23 Results Conference Call on
Tuesday, 15th November, 2022 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q2 & FY 2022-23 Results Conference Call made on Tuesday, 15th November, 2022.

The transcript and audio is uploaded on the Company's website as well on below link:

https://www.kaveriseeds.in/wp-content/uploads/2022/11/KaveriSeedCompany-15-Nov-2022_Transcript-.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

Page 1 of 26

"Kaveri Seed Company Limited
Q2 & H1 FY2023 Earnings Conference Call "

November 15, 2022

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR –
KAVERI SEED
Kaveri Seed Company Limited
November 15, 2022

Page 2 of 26 Moderator: Ladies and gentlemen, good day and welcome to Kaveri Seed Company's Q2 & H1 FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference is being recorded. Joining us today on this call we have with Mr. Mithun Chand – Executive Director. Before we begin I would like to mention that some of the statements made in today's call may be forward looking in nature and may involve risk and uncertainties. For a list of such considerations please refer to the earnings presentation. I would now like to hand the conference to Mr. Mithun Chand. Thank and over to you Sir!

Mithun Chand : Thank you. Good evening and welcome everyone for our Q2 H1 FY2023 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I would touch up on the operational financial performance of the company and then open the floor for question and answer session. Non cotton segment had grown by 12.6% during the first half of the year due to higher revenue growth from rice, maize, and vegetables. EBITDA and PAT margins during the half year grew by 159 and 174 basis points. Growth in non cotton segment were achieved in spite of more than 20 lakh hectares less size average. Bajra and maize sowing has picked up with a good growth of 10.4% and 2.5% respectively. In this quarter we have announced the buyback of up to Rs. 125.6 Crores at a maximum purchase price of Kaveri Seed Company Limited
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Page 3 of 26 Rs.700 per share. This is the fifth consecutive buyback by the company in the last five years.

Some developments from the industry aspects government panel has approved an application seeking environmental clearance of indigenously developed GN mustard seed. Experts are paving the way for commercial use of the country's first GN food crop. This is the first GN crop to get an approval in the last two decades. This is a very positive move by the Government of India.

Coming back to the financial highlights of the first half financial year 2023 revenue from operations were at 816.44 Crores as compared to 758.36 Crores in first half financial year 2022 registered a growth of 7.66%. EBITDA was at 259.2 Crores as compared to 229.19 Crores in first half of 2022 increase by 13.3%. Net profit was 2430.39 Crores as compared to 212 Crores in first half registered a growth of 14.32%. The cash on book stands at 497 Crores.

Segment wise highlights. Cotton volumes increased by 6.1% and revenue by 1.5%, hybrid rice volume grew by 5.25%. Hybrid rice industry is growing at close to 3 to 4% in the last two years. We are the second largest player in the rice market. The company has a market share of more than 12.5% as of now. Selection rice volumes grew by 17% and revenue by 6.85% close to 7%. The contribution of new products is up from 19.75% to 25.16% of volumes.

Maize volumes increased by 18.68% and revenue by 12.46%.

Contribution of new products was up from 23.6% to 34.5% of Kaveri Seed Company Limited
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Page 4 of 26 volume. Vegetable sales volumes increased by 20.54% while revenue increased by 18.7%. Major segments are hot pepper, tomato, gourds and okara. We had growth in Op's like coriander and cowpea. We as a company have been heavily investing in R&D and have been ideal in bringing multiple new variants across the seed segments and going to be the biggest beneficiary. I would now open the

floor for question and answer session.

Moderator : Thank you Sir. We will now begin the question and answer session.

We have the first question from the line of Gunit Singh from CCIPL.
Please go ahead.

Gunit Singh : Thank you for giving me this opportunity. My question is regarding the tax that has been imposed on our company. I am of the understanding that the company owns land. It is leased out by the company and all activities are performed by the company then no tax is levied but government has imposed a tax. How are we proceeding with that, are we contesting that and do we have any updates from the sale.

Mithun Chand : As we have mentioned to the exchanges earlier for the financial year 2019 -2020 we were claiming an agriculture income that was denied by the tax authority. We have gone for the appeal and filed an appeal against that.

Gunit Singh : So that is just for financial year 2019 -2020.

Mithun Chand : The demand what we got is for 2019 -2020 .financial year. That is the only demand what we got and that is what we went for the appeal.

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Page 5 of 26 Gunit Singh : So going forward do we have any clarity on whether this tax will be levied on us.

Mithun Chand : Not really that is again subject to the interpretation of the authorities. As of now we are claiming the same benefit. If anything is there we will definitely inform.

Gunit Singh : Can you just elaborate the reason why government would have imposed this tax on us, do we not own the land.

Mithun Chand : I may not go back to the government side but our side what we feel is an agriculture activity and we are claiming this income for last many years and it was allowed. This is the only financial year where we were not allowed for that we went for the appeal. Once we get the decision we will update it.

Gunit Singh : Any potential reason you think just for that financial year it was levied and not for any other.

Mithun Chand : We do not have much of idea. It is a routine process and we will update as I said earlier. Any news on this we will update.

Gunit Singh : Alright. My last question regarding the same is that the only financial year when it was levied or previously we had any other occurrence as well.

Mithun Chand : We had only one demand for the financial year 2019 -2020. When we got that order that was clearly mentioned to the exchanges and it was there in website and for that financial year we have gone for the appeal.

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Page 6 of 26 Gunit Singh : Alright thank you for taking my questions.

Moderator : Thank you. We have the next question from the line of Anurag Jain an individual investor. Please go ahead.

Anurag Jain : Good afternoon. Sir my first question is the performance has been good enough evenly in the quarter however the overall performance is clouded by 50% decline in other income. Other income has dropped from Rs.15 Crores to Rs. 7.5 Crores so what is the reason for this drop in other income.

Mithun Chand : Basically for us other income is income generated by investing activities in financial instruments which I mentioned in the annual report, basically SEBI registered funds, long term and short term. Based on the maturity of the funds whenever we get income we are booking it.

Anurag Jain : I have two more questions related to the balance sheet. The freight payable other than MS G have declined from Rs. 372 Crores, Rs. 372 Crores was the number in September 2020. I am comparing September balance sheet only. Two years ago September 2020, the freight payable was Rs. 372 Crores. They came down to Rs. 245 Crores in September 2021 and now currently they are at Rs. 180 Crores in September 2022 so there appears to be actually a decline in freight payable so my question was is there a change in policy or

terms with the producer farmers and because of which

the trade

payables are declining.

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Page 7 of 26 Mithun Chand : That all depends on what sort of production we are doing, which crop we are doing. In the previous year we were producing lot of cotton and we were having a lot of inventory of cotton that is how the area got in declined in cotton. The other thing is that as rightly said even now we are seeing advances I mean to say as a lease agreement and everything we are paying advance and the production cost is incurred much earlier now.

Anurag Jain : So that is why the payables are decreasing.

Mithun Chand: That all depends on the dynamics of the crops and which crops and where we are operating in that. End of the day , the crops matter.

Anurag Jain : Another question on the balance sheet was that see from last year September 2021 the receivables were Rs. 281 Crores they have increased currently to Rs. 366 Crores so my question is that overall how are the industry conditions on recoverability of receivables from the trade and how comfortable is Kaveri on recovering the receivables because these have increased significantly in last one or two years and any update on the outstanding receivables from state government which was earlier provisioned for and we were expecting recovery.

Mithun Chand : If you see the receivables and if you see the bad debt percentage as a company which we disclose every time it is less than 0.5% and till date we had only Rs. 40 odd Crores of bad debt for the last 8 to 10 years including the government body and majority of the bad debts are from the government body. Otherwise the trade receivables we are not much worried about it but this time some area the season got

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Page 8 of 26 delayed, the receivables took some time but we are not bothered about the receivables most of the receivables will be closed. Once you see the balance sheet of the year end most of that will be received and regarding the government bodies some we have received , majority is pending but slowly started coming now.

Anurag Jain : Thank you Sir. This is all from my side.

Moderator : Thank you. We have the next question from the line of Aagam Shah from RSPN Ventures. Please go ahead.

Aagam Shah : Hi congratulations for a good set of numbers. I have just two questions on buyback front do we have any sense about promoter's participation in the buyback do you have any idea.

Mithun Chand : We have clearly mentioned in the scheme itself when we gave to public when we had a meeting we have clearly indicated to the investors and to the exchange. It is a pure market mechanism buyback where promoters are not eligible to participate. We are not participating in it.

Aagam Shah : Okay that's it and in terms of time line when should this thing operate.

Mithun Chand : Basically it is all very much said in the act itself we need to go as per that but for your information we have already started buying and we are intimating it to the exchanges every day. I don't know the present status but it is all there in the website and the exchanges. What is the quantity we bought and as mandatory statutory we need to disclose it every day and that we are doing it.

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Page 9 of 26 Aagam Shah : Okay alright thanks a lot. All the best.

Moderator : Thank you. We have the next question from the line of Sanjeev Zarbade from Dreamladder Investment Advisors. Please go ahead.

Sanjeev Zarbade : Yes Sir couple of questions from my side. Wanted to understand when will the volume growth start contributing towards the revenue

growth if you could give some idea.

Mithun Chand : If you compare this year to the previous year there was much of a volume growth higher than the revenue growth in most of the crop but clearly as I said we have much higher volume growth than the revenue

venue growth, the reason for that is, this time we have given discounts because of the competition in cotton and other crops we have realized less that is one of the reasons the revenues are lower otherwise if you see the volumes have grown more than 12 % to 15% in most of the crops.

Sanjeev Zarbade : Second question is are you looking for any acquisitions in seed and other related activity.

Mithun Chand : As of now , no. We were looking for a vegetable company but right now we have a good R&D and I do not think we are looking for any vegetable company. At the same time we are not saying that we are not inclined to this. If we see any right opportunity we might go for it, but proactively we are not working for it , but if we get any opportunity we will not leave it.

Sanjeev Zarbade : Sir last question from my side when would we see again good numbers like in the recent times in cotton crop are you expecting any
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Page 10 of 26 similar disruptive technology entering the country both in cotton and non cotton business.

Mithun Chand : See when you talk about the revenues we are going on year on year basis and if you see the composition right now when earlier it was like 75 to 80% was contributed by cotton. Right now it came down close to 35 to 37% which you were seeing for the last 3 years the contribution of cotton will come down by less than 40%. That is already happening and all other segments we are growing but if you see the recent developments what we had like government allowing GM mustard trials for indigenous and then the meeting which is coming up for BG to RFF for the new technology which is moving faster so that is a very positive thing. If the new technology is coming definitely we may see good volumes picking up in the cotton side.

Sanjeev Zarbade : Alright Sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Yogesh Tiwari from Arihant Capital. Please go ahead.

Yogesh Tiwari : Good evening Sir and thanks for the opportunity. My first question is how is the competition from illegal BT cotton in the current quarter compared to previous other quarters.

Mithun Chand : See anyhow cotton come in the first quarter . We do not see any such sale in the second quarter it is only the left out sale what we get in the second quarter apart from states like Tamil Nadu which is very small state but if you see illegal cotton is playing a big role as of now
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Page 11 of 26 but most of the governments are against for the illegal cotton so it has remained stagnant or slightly lower as a percentage compared to the previous year but in the second quarter we do not see any change in that. As I said it is a very lean quarter going forward now the government is approving for the new technology so the illegal cotton should come down as a percentage going forward as the government approves the technology.

Yogesh Tiwari : So we can expect in the coming quarters the market share which we were losing or the organized sector was losing that will not happen basically.

Mithun Chand : Three of the four quarters we do not do any sale in cotton as such but in the coming year definitely the organized sector will have a larger percentage in the market and we are one of the biggest players in cotton and definitely we think that we can go back to our market shares once the new technology comes back.

Yogesh Tiwari : Sure Sir and on this GM mustard. If you could quantify what would

be like the industry size and what will be the revenue potential or the industry potential for this GM mustard.

Mithun Chand : As of now we do not have any GM mustard but mustard is grown close to 7 million hectares across India and now it is slowly moving onto hybridisation in mustards. It is very marginal right now but it is moving in that direction

on and as we are importing oil even government is pushing for the mustard seeds going forward we see a very good sowing for the mustard seeds. The other point what we need to see here is that mustard is a crop no doubt it is important
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Page 12 of 26 crop but it is the first food crop which got GM license and GM trialing. Going forward it is like all food crops will come into it that will open up a new market and our new variants and new crops will definitely add to it and that is a huge potential for companies like us which have a good market share in most of the crops where we operate and continuously we are venturing into other crops which will further help us to gain market share in most of the crops.

Yogesh Tiwari : Thank you Sir and last one question so if I look across all the crops like cotton hybrid, rice, maize, vegetable, our volume has increased more than the revenue so is there any pricing pressure or because of competition or something like that where the volume growth.

Mithun Chand : Just now I said the volumes are up this year as compared to previous year but this time because of competition and because of some other issues we were not able to realize for example cotton the realization was much lower than the last year so that got impacted to some extent and that is a very temporary process we do not see that will continue for long. This is one of the years where there are some cases we need to reduce our realization based on the competition.

Yogesh Tiwari : Sure Sir and what portion of your product portfolio would be attributed to Rabi crops.

Mithun Chand : We take third and fourth quarter there is Rabi that should be around 20 to 25% of the sales.

Yogesh Tiwari : And how has the season started like.
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Page 13 of 26 Mithun Chand : It is too early but see a very good rabi coming up because we see good prices for the maize and we are pretty confident that we can do good sale in maize and even in sunflower for the second half as compared to the previous year. Anyhow even though it is a lean quarter but as compared to quarter on quarter basis I think we will be doing well in the crops where we operate and if you see in this year it was a very tough year in terms of overall cropping conditions. Most of the crops were down. The other crops came up. Even in that tough condition we were able to increase our sales and our market shares as well. If you see we have gone to 12.5% market share which itself shows the strength of our hybrids and even in maize we have grown by more than 18% which are for the volumes whereas industry is less than 5%. Even in sunflower we have grown double more than 2.5% in sunflower and even in bajra we grew. So if you see crop by crop basis in most of the crops we have gained market share and that itself shows the strength of products in the tough condition and going forward it will really help us to gain further market shares and realize more value for us.

Yogesh Tiwari : Yes but overall you are seeing a strong like for the industry, Q3 has been good as you told that maize prices has increased because of this factors it has supported industry in Q3 right.

Mithun Chand : Q3 is only one month now. The season looks good, the products are just moving in. When the portfolio what we have compared to our portfolio to the previous year we see good Rabi coming up. Rabi is basically a maize product and some rice we see both crops doing well and sunflower is also there. The three crops we are doing well.
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Page 14 of 26 The other interesting thing is even vegetables, we have seen a good year this year. Good crop in the third and fourth quarter. Chilly is also moving now so even that it will contribute so all contribution as a contribution of all crops

is growth for our company in Q3 and initial growth.

Yogesh Tiwari : Sure thank you Sir. That is helpful.

Moderator : We have the next question from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja : Good afternoon. Sir the first question is on the impending GAC approval of HTBT cotton. If this goes through which is very likely to happen will the price be controlled price that we already see in BG1 or this will not figure under price control and secondly there will be a royalty payment involved for this one which is there now. Any thoughts on this.

Mithun Chand : What we see when coming to GMC the technology is provided by Bayer so definitely there will be a royalty on that as industry with the government as an association with the technology provider we are working out in such a way all the parties should be benefited. In terms of the price control it is so early to say whether it will be controlled or not but we are in discussion with all the parties involved and we will have an amicable solution for it which will not hurt any interest and it will help the Indian farmer so the direction will be a win win situation for all the players.

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Page 15 of 26 Gagan Thareja : The acreage under cotton may or may not increase but there will be a shift away from BG1 to BG2 which might give some scope for market share gains.

Mithun Chand : Sorry to interrupt your question but it is not only about the acreage shift. If you see traditionally Indian acreage in and around 12 million hectares less or minus two for the last 20 years but there are very new technologies which are coming in. Right now once the technology comes in most of the hybrid may be mechanically harvested or high density plantation even though the acreage might be the same but the volume may double or triple.

Gagan Thareja : So you are saying that with the same acreage there is same packets that you can sell can also double or triple.

Mithun Chand : Because the seed rate for acre is growing. If you see in the traditional way when it was one packet 15 years back it has come up to 2.2. With the new technologies it may go up to six or eight packets.

There are some countries where they go for 13 packets per acre as a volume as quantity that all depends on the technology and what sort of hybrid you are sowing whether it is mechanically harvested so that all comes on later on but it is a good sign for the industry. If a new technology comes in the illegal BT will come down and we will have a scope to innovate good products and help the Indian farmers and improve the productivity with various techniques in that so definitely the market and there is a scope to increase market share both will be positive.

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Page 16 of 26 Gagan Thareja : From the perspective of profitability do you see this as being at the same levels that you have on your cotton portfolio or do you see foresee some material change to your profitability.

Mithun Chand : Right now cotton is the least in our portfolio but definitely going down the line cotton will definitely improve. Cotton as a crop is a very lucrative crop because of some various issues we could not do much work in the last 7 to 8 years but before that cotton was a very lucrative crop and we are very pretty hopeful that it will come back to its own level and seed is an important part in the entire agriculture. It is one which determines the entire productivity so seed

is the premium product and always there is a premium on the seed which we sell so we are not worried about that and it can be easily realized from the market.

Gagan Thareja : Also the government put some restrictions on the usage of glyphosate in that only a certified or registered pesticide trained person.

Mithun Chand : That is again coming back to the

illegal BT to control illegal BT

because illegal BT is nothing but resistant to glyphosate so to control illegal BT they have done alternate ways but once the technology is approved I am pretty sure that illegal BT will not be used.

Gagan Thareja : Do you see this sort of delaying the approval or launch process for HTBT or BG2 because the government would want sometime before they can control one season before they can control the illegal HTBT cotton and then bring the legal version.

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Page 17 of 26 Mithun Chand : That is not the one because the protein extraction in most of the illegal BT is not there. When you have a process the excretion of the protein is different and the quality of the seed and the performance of the seed entirely differs. I do not think there might be much delay again subject to government policy but if you see in the last 1 to 2 years the things how it is moving and the proactiveness of the government and the technology provider we are pretty confident that the technology will come pretty fast. I think the way how they have given GM mustard and the next meeting they have called for BT cotton so definitely there will be some sort of breakthrough and as an industry we are pretty hopeful and working towards getting the new technologies which will indirectly control the illegal BT also which is the need of the hour and even government wants that.

Gagan Thareja : But there are two aspects one is that you will need glyphosate for HTBT cotton also. If the current policy of usage around glyphosate continues there might be some hesitation in taking up HTBT cotton.

Mithun Chand : That is a different thing. That is again a government policy. If they approve the BT cotton legally then they will give for the glyphosate also.

Gagan Thareja : And secondly you will also have to procure the trait and develop your hybrid or have you already been in the process of doing that.

Mithun Chand : We have already given that. We have given many years back for the converted lines are already with them. Once the government approves it will not take more than a season to get the converted line.

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Page 18 of 26 Gagan Thareja : And secondly Sir on the tax aspect even the start of this calendar year around February the Telangana authority for advance ruling came out with two rulings stating that seeds cannot be considered as agricultural produce I mean hybrid seeds and therefore should attract GST at the 18% rate. Has that had any bearing on the current tax demand raised on new because these rulings might form a precursor for reference to this issue recurring in the future also.

Mithun Chand : There are two different aspects one what we are talking about what we have got demand for the income tax not the GST related one. The advance ruling act is related to the GST. Even that clearly mentions that not the seeds process but anything which is processed and sold in the secondary market should be taxed, not the primary product. We have got the GST exempted which is there in the ruling itself that is the secondary source.

Gagan Thareja : So you do not see any risk on that.

Mithun Chand : No. Because from the GST counsel itself the seed is exempted from that.

Gagan Thareja : Because you have your ears close to the ground. If you could give us some idea how the market is currently sort of formed between you and your competition in your various significant crops because hybrid rice you are saying market is growing at 3 to 4%. If you could

give some idea of each of these crops , the outlook for the coming Rabi and followed up by the next kharif it would help us understand.
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Page 19 of 26 Mithun Chand : Sure if you see this year as I explained in one of the questions even though this year was

very tough year in terms of the hybrid market there are many alternate crops. The crops got shifted even in that scenario we were able to grow in the crop where we operate for example in maize we have grown by more than 18% in volumes. In terms of the revenue it might be 13 to 14% but in terms of volumes we have grown by more than 18%. In hybrid rice we have grown more than 17%. In cotton also we have grown so that itself shows the strength of our hybrid as compared to the competition and we are pretty confident going forward that we have very good hybrids and a good set of pipeline hybrids which will help us to increase market share and as an advantage for Kaveri is that we are there in the most of the crops across all portfolio and we are the only company in India to have such a large portfolio and presence across all states. Any cropping pattern shift or change based on the seasonality may not impact much because we have the other alternative crops to cater to the market and again we have added mustard to our portfolio. We have pulses and soya bean even though it is not a big market as of now. We are working on all those segments. We have intensified our breeding programme in R&D in vegetable so that is also helping us to grow so in all directions we are not leaving any area including exports we are targeting so that gives us confidence that we will grow much better than the market and we will increase our market share going forward based on our portfolio. We are pretty confident about that.

Gagan Thareja : Thanks Sir. I will get back in the queue.
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Page 20 of 26 Moderator : We have the next question from the line of Udhaya Prakash from Value Research India. Please go ahead.

Udhaya Prakash : Hi Sir thanks for the opportunity. I have two questions both related to the rice segment. The growth in hybrid rice has been low compared to selection price and when we go to revenue on a half year basis revenue in hybrid rice has actually fallen by 2.3% can you please tell me what is the reason behind this and my second question is can you please elaborate the difference between the hybrid rice and selection price because selection rice has seen a much better growth in the first half of this year so what influences this for someone to buy.

Mithun Chand : So basically the difference between hybrid and selection rice is that hybrid has different variants, different breeding activity where the seeds of that may not be used again. The cultivation and the process is different. I mean it is not much different it is same but the technology and the adaption as a process to derive to that is different. It is basically like the hybrid and selection is nothing but the varieties in hybrids whereas selection rice are research varieties which are developed by our own company and not by any other government body. It is developed by our own and we sell it in the market.

Udhaya Prakash : Yes Sir the reason for flat growth in hybrid rice as compared to selection rice I am saying.

Mithun Chand : As I said this year it was a very tough market in hybrid rice as compared to the previous year , the acreages were under pressure . As
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Page 21 of 26 I said that in the call itself that 20 lakh acres were down when compared to the previous year. Even in that scenario we were able to grow more in rice . Selection rice because there were heavy rains and

the process got delayed that is the reason they have moved to selection rice. That is where we have seen a growth of more than 17% so both are rice segments based on the seasonality and the adaption they move in those direction.

Udhaya Prakash : Is there a margin difference between hybrid rice and selection rice or the margins are all same.

Mithun Chand : Basically the margins more or less in all the crops remain same a part

one or two segments but most of the crops we operate at the same margin more or less between the 25 to 35% margin, all non cotton crops will be in the same line.

Udhaya Prakash : Okay Sir that is it from my side.

Moderator : Thank you. We have the next question from the line of Vinit from IIFL Securities. Please go ahead.

Vinit : Hello Sir thanks for taking my question. My first one was on the GM mustard trial approval that we got from the government. What are the crops that are also being considered if you could shed some light on the crops that the government is currently considering for approval will be very useful and post approval how long will it take to roll out these hybrid seeds in the market?

Mithun Chand : this is the first trial that they have approved in the last 20 years.

There are many crops which are lined up , maize is there, rice is

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Page 22 of 26 there, and brinjal is there. There are many other crops. Soya is also there , but right now government has given approval for trialing of mustard. If that is approved it may take couple of years to get because we need to get the technology in and then we need to transfer the technology to other s hybrid so it may take two or three years. Even though it is taking time it may three to four years down the line but it is a very good sign to get new technologies and the process will be very much simplified and very much under the guidelines so that is a very positive sign.

Vinit : Okay understood and Sir I noticed that in the tax expenses about 1 Crore of tax pertaining to earlier years as an effective tax rates also the quarter of 50 odd percent effective of tax rate. I mean what is the reason for such a high tax expense in this quarter.

Mithun Chand : See that 1 Crore is a very small quantum and again whatever tax we paid is on the other income what we generate. It is not on the business so based on the fund redemption, based on the income what we got the tax.

Vinit : Okay got it and just one clarification was on the EPS. I think the statement says an EPS of 0.28 is this correct because the share count seems unusually high using this. The EPS that you reported on consol basis is 0.28 rupees per share.

Mithun Chand : Just need to check it because we have got close to 12 Crores of equity with Rs.2 face value close to 5.8 Crores shares then divide by profit. I just need to check it. I do not have the figures right now.

Usually that should be right but I will again I will correct it.

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Page 23 of 26 Vinit : Okay thank you so much.

Moderator : Thank you. We have the next question from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi : Hello Sir. Sir I would like to ask once the HTBT cotton comes in and like you said you are working on parallel lines but you will also have a stock of older piece which will carry the stock for a very long time what happens to that stock, you write off that entire stock for seeds or what happens to that stock that is what I want to know.

Mithun Chand : Basically when you get HTBT sale it is not possible to convert the entire volume into HTBT in the next one or two years. It will take some time to convert because we need to have the parental seeds to multiply and then sell it so in the due course we will not produce the old seed we will produce the converted seed and will balance in that

way. Usually the running hybrid seed does not have the risk of feeding it out.

Nitin Awasthi : Okay understood Sir. Basically till the time that seed is actually coming to commercial production you will end these seeds and you would not produce any of the prior seeds.

Mithun Chand : It will move on a combination of all. First year it might be 2%, 98% then it slightly increase the percentage in that flow that is how it happens.

N

itin Awasthi : Okay understood. Sir second ly company much smaller than yours in the seed segment are moving into different countries in the south east Asian market and obviously with government support because Kaveri Seed Company Limited
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Page 24 of 26 of which those things would not have happened so diplomacy is very highly required for seed companies to go into different countries but we do not see that happening with your company is there a reason specific for that or are you also looking to move into south east countries but have not been able to break ground as of now so will you highlight that Sir or give your thoughts on this.

Mithun Chand : We are mentioning in most of the calls saying that we are working with seven different countries even though if you see our exports, we are doing export business of more than Rs. 20 Crore for the last five to six years but that is majority from Bangladesh, Pakistan and Nepal and these are the countries. We have given seed in south eastern countries and some African countries especially in Indonesia, Thailand , and Philippines and in African countries . We have been in the trialing stage once we get the approval we market it. Right now we do not have research centers there. We do not want to set up a research center strategically as of now because some of the hybrids are suitable for their condition so we are trialing that. The initial trials gave a very positive response and we are trialing for the last 2 to 3 years and we have exported some this year also.

Nitin Awasthi : The R&D centers in countries in Africa because Africa as a continent is emerging as the fastest basket of countries which is approving GM seeds so why the African institution are not setting up R&D centers in one of the countries and exploiting the opportunity there.

Mithun Chand : So one thing we have good market in India first thing. We are focusing more on Indian market. At the same time we are not
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Page 25 of 26 neglecting the other countries but we need to have a proper strategy to go there because you know much about the African countries , no Indian company is successful there in Africa. There are many countries who are doing research for last 15 years but no one has done enough leaving apart company or two. No one has been successful in doing business in Africa. For example we are not allowed to sell cotton there because the technology is Bt technology. In terms of the maize they go with white maize. We have the yellow maize here so there are some constraint but at the same time there are some countries where some products which are similar to us can be marketed there, so first we are exploring that countries and as a strategy when we are going to South East Asian countries maize and rice are the big crop. In these two crops we have very good portfolio and very good R&D and we have some products which are suitable for those areas , climatic conditions , so we want to explore that. We want to have some market, some distribution network and then set up an office. For example in Bangladesh we are doing for last three to four years. We were doing from a distribution channel right now we want to set up a company in Bangladesh once we have some decent size. We do not want to bleed and we do not want to expand unnecessarily where we cannot manage and you know Africa very well, the conditions are different, the policies are

different and every morning is a different morning there.

Nitin Awasthi : Understood Sir and thank you so much.

Moderator : Thank you that was the last question. I would now like to hand the conference over to Mr. Mithun Chand for his closing comments.

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Page 26 of 26 Mithun Chand : Thanks all for participating in the con call. For any further clarification you can reach

our investor desk at any time to the

number mentioned in the presentation. Thanks all.

Moderator : Thank you for joint call. For any further info please be in touch with

Rama Naidu from Intellect PR. On behalf of Kaveri Seed Company

Limited that concludes the conference. Thank you for joining us and

you many now disconnect your lines.

Call: Feb 2023

01st February 2023

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q3 & FY 2022-23 Results Conference Call on
Wednesday, 25th January, 2023 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q3 & FY 2022-23 Results Conference Call made on Wednesday, 25th January, 2023.

The transcript and audio is uploaded on the Company's website as well on below link:

<https://www.kaveriseeds.in/wp-content/uploads/2023/02/Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

Page 1 of 20

"Kaveri Seed Company Limited
Q3 & 9M FY2023 Earnings Conference Call"

January 25, 2023

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR –
KAVERI SEED
Kaveri Seed Company
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Page 2 of 20 Moderator: Ladies and gentlemen, good day and welcome to Kaveri Seed Company's Q3 & 9M FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference call will be recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director. Before we begin, I would like to mention that some of the statements made in today's call maybe forward looking in nature and may involve risk and uncertainties. For a list of such considerations, please refer to the earnings presentation. I now hand the conference over to Mr. Mithun Chand. Thank and over to you Sir!

Mithun Chand : Thank you. Good afternoon and welcome everyone to our Q3 and nine months FY2023 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on the website. I would touch up on the operational financial performance of the company and then open the floor for the question and answer session.

We are delighted to declare good results of both Q3 and nine months FY2023. We have witnessed higher area coverage during the quarter in two of the large segments rice and wheat, which has resulted in good revenue growth. Besides this, there has been good revenue growth registered in quarter in hybrid rice, maize, vegetables and all other seed segments. Another major achievement during the quarter and nine months result is that we were able to convert volume growth into revenue growth across the segments.

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Page 3 of 20 As part of rewarding our shareholders during the quarter, the company had successfully completed the buyback of 23,99,831 shares of Rs.2 each for an aggregate amount of Rs.125.37 Crores. There was a margin expansion in nine months FY2023. EBITDA margin was up by 378 basis points and PAT margin was up by 409 points. This is very encouraging sign and we would be able to maintain the margins going forward. Overall response for increasing hybridization and increasing share of new products in each segment has good results in the current year and in the coming years.

I would now like to touch upon the operational highlights for the quarter. Quarter revenues increased by 6.2% in the non cotton segment, hybrid rice and maize revenues increased by 117.1% to 46.5% respectively. Hybrid paddy KPH 468 scaled up across the markets which have resulted in volume and market share gain. Paddy higher area is reported from the states of Tamil Nadu, Andhra Pradesh, Assam, Odisha, Karnataka and Telangana. The contribution of new products was up from 19.73% to 34.29% in the overall volumes of maize. Wheat has reported 286.50 lakh ha. as compared to 278.25 lakh ha., which has resulted in 8.2 lakh acres more. Exports continue to be strong and presently exporting to Sri Lanka, Bangladesh and Vietnam.

Q3 FY2023 financial highlights, revenue from operation was at Rs.123.49 Crore as compared to Rs.102.08 Crore in Q3 FY2022 registered a growth of 20.97%. EBITDA was at Rs.43.95 Crore as compared to Rs.16.32 Crores in Q3 FY2022, an increase by 160.31%. Net profit was at Rs.37.54 Crore as compared to Rs.9.08 Crores in Q3 FY2022, registered a growth of 313.24%. EBITDA margin was at 35.59% up by 1960 basis points. PAT margin was at 30.40% up by 2150 basis points.

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Page 4 of 20 Crores in Q3 FY2022, registered a growth of 313.24%. EBITDA margin was at 35.59% up by 1960 basis points. PAT margin was at 30.40% up by 2150 basis points.

9MFY2023 highlights. Revenue was at Rs.939.93 Crore as against Rs.860.44 Crore in 9MFY22, registered a growth of 9.24%. The EBITDA was at Rs.303.67 Crore up by 23.69% o

n a year-on-year basis. PAT stood at Rs.280.93 Crore up by 26.55%. EBITDA margin was at 32.31% up by 378 basis points. PAT margin was at 29.89% up by 409 points. Cash on books stands at Rs.403 Crore. The Government's commitment to support Indian Research and encouraging approvals given by them for the indigenously developed new hybrid and advanced seed varieties are going to make big difference for us in the coming years. This would go a long way in overall growth of the company and we are expecting revolution in technology changes in seeds as a segment from both domestic and international business. We would like to reiterate again that we are a strong R&D company and have been agile in bringing multiple new seed variants across the seed segments. I would now open the floor for the question and answer session. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. We have the first question from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi: Sir just wanted to understand where are we on the regulatory front when it comes to GM master and HTBT cotton if you could give us a purview of where we stand, where the government stands and how probable is the commercialization of the same?

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Page 5 of 20 Mithun Chand : If you see in the last two quarters there is a movement in the action from the Government. The GAC is also moving in terms of introducing the new technologies. Most probably they are likely to introduce BG-2 RRF in the next one or two seasons. There are continuous meetings which are happening with both the technology providers, Government and from the private players so there is a combination of this thing what we see is that a lot of positivity is in the last two quarters. As a company we are expecting that the technology will come very soon.

Nitin Awasthi: Got it Sir. Sir also on HTBT cotton so you are saying there is no commercialized green light being given by the approval agency as of now because if I am not wrong GEAC did approve it?

Mithun Chand : No. This is still under trial. Most of the trials are completed. The license needs to be given by the government for the commercialization. Then everything will fall under it. We are waiting for the approval of the GA which is the authority for giving the approvals for the technology provider, not for the individual products.

Nitin Awasthi: Okay understood. That is all the questions from my side.

Moderator : Thank you. The next question is from the line of Sanjeev B Zarbade from Dreamladder Investment Advisors. Please go ahead.

Sanjeev B Zarbade: So I wanted to know about the cash on the balance sheet now that we have completed the buyback?

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Page 6 of 20 Mithun Chand : As on 31, December 2022 the cash is Rs.403 Crores. That is after the completion of the buyback. We have completed the buyback in the last week of December.

Sanjeev B Zarbade: Okay. Can you throw some light on the competitive landscape and are we in a position to pass on price increases in the future?

Mithun Chand : It is a highly competitive market. The competition is between both the domestic and the international players. We have all the international players present in India. It is not now. It is from the last three to four decades they are present. As a company we are competing with both domestic and international players in the respective crops and we are able to gain market share and we are able to realize much better than most of the companies and as you all know that seed is the most important part of the entire agriculture

and it costs less than 5% of the total input cost in most of the crops. Spending the money for the seed is not an issue with the farmer because that derives the entire risk so usually the farmer does not compromise on seed and usually we are able to pass it

on to farmer

and I think it will continue going forward. We do not see any challenges in it.

Sanjeev B Zarbade: Right Sir and whether this kind of margins that we have achieved in current fiscal are they achievable in the next couple of years or can we even may be better from current level?

Mithun Chand : If you see the previous last 8 to 10 years if you compare our margins always they were sustainable. In between there were one or two years where the margins were under pressure because as we were
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Page 7 of 20 dealing with cotton and cotton was regulated. We had some issues in a couple of years but if you see always our margins remain in between the 28% to 30% and we are pretty confident that those margins will remain and it is maintainable. As we go up and scale up our sales even there is a chance that there will be slight improvement in the margins going forward, but for sure this can be maintainable.

Sanjeev B Zarbade: Right Sir and Sir if I look at your long term financial performance we did a peak revenue of Rs.1100 Crore in March 2015 and we are still below that level and during this period even the stock prices kind of moved in a very range bound fashion? It is almost at the level what it was? How do we see as an investor the next three to four years whether there a possibility of a quantum jump? Are there any triggers? What kind of comfort you can share with us?

Mithun Chand : There are a couple of things to see in it. One when we have done in 2014 – 2015 the peak revenue the cotton contributed close to 75%, cotton as such as a crop. Non cotton contributed only 25%. From there, there were so many issues regarding cotton and the acreages were at the peak at that particular year. The cotton prices were down by more than 20% from then in fact more than 25%. The cotton was at 14.5 million that year and now it is around 10.5 million to 11 million hectares. There was a price cut in cotton seed and we lost market share in some crops so it is all resulted in the decline in the revenue, but the other part of thing what we need to see from 25% we have gone to 70% plus close to 70% in non cotton crops so wherein we have improved realizations where we have seen continuous growth and these are the crops which are growing in
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Page 8 of 20 India. For example if you take rice, rice has grown in 24 million hectares out of which only five or six million hectares is hybridized. These are the crops which are in growing field and we are gaining market shares in those crops and we have very good pipeline in the crops. Not only cotton, maize is also growing. We are growing in maize in all segments. Earlier we were present only in Kharif segment. Now we have moved to Rabi segment also and if you see both maize and rice are comparable with cotton sales now. The other segments even vegetables we are growing sunflower, vegetable simultaneously we are growing in those crops but they may not be as big as these crops because most of the Indian hybrid market shares are for these three crops so what I mean to say is that we are big in those three crops and we are also big in the other small segment crops. Going forward what we see we are in a much healthier position than what we were earlier. As a company we were more dependent on cotton in 2014 and 2015. Now we are not dependent on any crop but we are there and big in most of the crops in India so that is a very encouraging sign and moreover we have set our R&D in the last six, seven and eight years. We were having R&D but we are spending more in R&D and we have many good pipeline hybrids which give us confidence to grow going forward for the next five to

10 years. The other part we need to see in between, even the technologies were not introduced in the last five to six years. It is all moving in the last six to eight months so it is a very good

sign for the entire industry.

Sanjeev B Zarbade: Right Sir and Sir just last question from my side. Has this change in product mix anything to do with the steady increase in working Kaveri Seed Company
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Page 9 of 20 capital days over the last seven to eight years? Like I can see it is almost 172 days in March 2022 and compared to around 30 or 29 days some seven to eight years back? Does it have anything to do with?

Mithun Chand : Nothing. This will remain based on the seasonality and based on those things we need to give, but I do not see much of a change in that and if you see whatever cash you are generated in the last six to seven years even though the stock price was not performing and we were not able to grow, but we have done five buybacks in the last five years wherein we have closed to 20% of our equity and if you see the quantum which was distributed the shares in terms of the buyback or in terms of the dividend this is close to Rs.1100 Crore to Rs.1200 Crore.

Sanjeev B Zarbade: That is very good. Great. Thank you Sir for answering my questions. That is it from my side. Thank you.

Moderator : Thank you. The next question is from the line of Keshav Garg from Counter-Cyclical PMS. Please go ahead.

Keshav Garg: Sir firstly on behalf of all the shareholders I want to thank the management and promoters for regular buybacks and in the past two years the company is doing open market share buyback wherein the promoters are not participating so it is even more creditable and shows the confidence of the management in the company and the prospects, Sir thank you very much once again. Sir just wanted to understand Sir taking from the previous caller Sir we appreciate the reasons why after 2015 the company went in a sort of a lean PAT Kaveri Seed Company
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Page 10 of 20 due to the regulatory changes which were detrimental to our interest, but the question is that trailing 12 months we are doing approximately Rs.240 Crores to Rs.250 Crores EBITDA whereas in FY2015 we did around Rs.307 Crores EBITDA, so in your judgment do you think that in FY2024 if everything goes as per the plan, the company can exceed this all time high EBITDA of around Rs.300 Crores that we did in FY2015?

Mithun Chand : What is the percentage I just need to see but the calculation what we have as of now from where we stand we will grow in between 15% to 20% year-on-year basis that is my calculation is based on the demand but we are pretty confident that it will continue for long.

Keshav Garg : Sir in the past not in the Q3 but in the first two quarters of this financial year Sir we had seen price erosion in our seeds so is that behind us and the kind of revenue growth we are seeing if you could just bifurcate broadly in two realization growth and volume growth?

Mithun Chand: Compared to previous year there are a couple of things which need to be noticed. In some crops we have not realized well compared to previous year. In some crops we have realized well. For example in hybrid rice we are not able to realize well as compared to previous year even though there is a lot of volume growth. In maize we were able to realize more. In cotton, there was a price increase but because of the competition this was the lowest realization in the last six to seven years for us in the quarter. In spite of all those things as we have done good sales in other crops which are high profitable we were able to increase the margins. Going forward with the mix what we have and with the crops where we have lost, where we are not Kaveri Seed Company
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Page 11 of 20 able to realize well we have pretty much scope of increasing realization in those crops. That give us more confidence that we will be able to maintain and in fact it may exceed from the present levels.
Keshav Garg : Great Sir. Sir lastly I wanted to understand about the vegetable segment? Sir since the

there are so many vegetables I do not know how big is our portfolio? How much of the vegetable crops we are covering, but the nine month revenues of Rs.35 Crores which are roughly like 3.5% of our total revenue so in your judgment is there scope that in due course the revenue from vegetables can become 10% or even beyond of the total revenue of the company?

Mithun Chand: Vegetables is one of the most important portfolios what we have. Our vegetables are growing at more than 20% at the industry level 15% to 20% at industry level and we have pretty much scope in that. Even in vegetables, majority of the market shares are by hot pepper, tomato and okra. These are the three crops which contribute more than 50% of the total revenue so we are basically concentrating on three crops traditionally and apart from that we are doing some cauliflower and vegetables where we are importing. As such vegetable we are very bullish of vegetable. Vegetable will definitely contribute to more than 10% of the revenue in the next three to four years.

Keshav Garg : Great Sir and also apart from these segments that we have given of hybrid rice, selection rice, maize, vegetables is there any other blockbuster products in the pipeline which you think can dramatically step up our revenue trajectory going forward?
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Page 12 of 20 Mithun Chand : If you see the crops what we have mentioned cotton, rice, maize and vegetables this contributes majority of the hybrid seed market. This contributes close to more than 90% of the market share. We have very good products out of these four. Apart from this we are in the sunflower, mustard, bajara, and wheat which falls in that 10% so in all the segments we are there, but we only added this four crops because these have the majority market shares.

Keshav Garg: Okay Sir thank you very much and best of luck to you.

Moderator : Thank you. The next question is from the line of Samridh from Value Research. Please go ahead.

Samridh: Sir I wanted to know what is the volume growth in the non cotton segment if you could share the numbers for hybrid rice, selection rice, maize and vegetables?

Mithun Chand : Those are all there on the website in the presentation. As of now I do not have the volumes but in all crops we have grown. The volume growth is one of the aspects but the other thing is also we need to also see the revenue growth. There are some crops usually in Rabi wherein the revenue is pretty high than we have in Kharif.

Samridh: Okay Sir.

Moderator : Thank you. The next question is from the line of Anurag Jain an Individual Investor. Please go ahead.

Anurag Jain: Thank you. Good afternoon Sir. My first question relates to the vegetable business? In FY2022 annual report the company had given
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Page 13 of 20 a guidance of revenue of Rs.65 Crores for the vegetable seed business? Now in the first nine months the company has achieved around Rs.35 Crores of revenue in the vegetable seed business so would you standby with the old guidance or what is the updated guidance and how do you see the rest of the year for the different seed segments even though I know it is basically a lean business in terms of lean quarter?

Mithun Chand : Basically we are pretty confident about the vegetable business in the Q4. Vegetables usually come in the Q4 so we are pretty confident but in that sort of a figure we need to see to what extent we can

achieve it. As of now we are on our targets.

Anurag Jain: Okay thank you Sir and Sir my second question relates to the other income in the quarter? Given that the company has financial assets of around Rs.400 Crores and probably at the start of the quarter it would have been Rs.600 Crores prior to the buyback so on an average of Rs.500 Crores of assets there other income during the quarter of almost Rs.31 Crores odd Rs.30 Crores plus so is there some one time

entry there or what would explain the jump in the other income of Rs.32 Crores in the quarter?

Mithun Chand : If you see the quarter it looks higher but if you see year-on-year basis last time it was like Rs.38 Crore to Rs.40 Crore for the entire year. This time it is like for the nine months it is like Rs.47 Crore or Rs.48 Crores. It should be Rs.5 Crore to Rs.10 Crore more than Q4.

That all depends on what we redeem. Basically you all know it all depends on when we have invested and what time it is getting expired. That is how the redemption comes into the quarters and
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Page 14 of 20 apart from that we had a buyback in the Q3 so we need to redeem money for that. That also resulted in more of other income, but on year-on-year basis Rs.40 Crores to Rs.50 Crores what we were getting that is what we get at the end of the day. Rs.5 Crores or Rs.10 Crores plus or minus based on the date of investment and the maturity date.

Anurag Jain: Okay and one last question Sir. During the quarter was there any recovery? There was some outstanding receivables with the government corporations which were earlier provisioned for so was there any recovery during this quarter?

Mithun Chand : A few amounts have been recovered not significant, but it is in the process of recovering but to answer to your question we have not provided for any other extra provision for this quarter.

Anurag Jain: Okay Sir so in this quarter neither there is any significant recovery nor is there any provision?

Mithun Chand : Yes but we are pretty confident that will come.

Anurag Jain: Okay Sir thank you. This all from my side.

Moderator : Thank you. The next question is from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi: Sir going through the government documentation one comes to know that there has been approvals given for genetically modified potato and also banana? Is there any seriousness from the
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Page 15 of 20 government to push these crops or are these on an experimental levels?

Mithun Chand : See that all depends. All the crops will follow. If they give clearance for any vegetable for example mustard is an edible crop. We are talking about GM mustard as well. If it is given to mustard every crop will follow it. It is not only banana, tomato is there, brinjal is there. All crops will follow.

Nitin Awasthi: Brinjal is on a back burner for some time now?

Mithun Chand : No it is not that there was a debate says that cotton is a non edible crop. That is the reason they have not encouraged any permission for the edible crops. Now they are talking about GM mustard which is an edible crop. If they give any permission or license or any sort of a trialing then all the crops will be eligible for that.

Nitin Awasthi: Understood thank you.

Moderator : Thank you. We have the next question as a follow question from the line of Keshav Garg from Counter-Cyclical PMS. Please go ahead.

Keshav Garg: Sir just wanted to understand whether any new developments have been there on the tax demand notice that we had received last quarter of Rs.71 Crores pertaining to FY2021, any new developments or what are we hearing from our legal team regarding that?

Mithun Chand : The last quarter itself we had mentioned that we have went for an

appeal for it. You know the court how much time it will take.
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Page 16 of 20 Whenever the result is there we will definitely inform the exchanges the moment we get it.

Keshav Garg: Okay Sir and also are there any plans to get into fruit seeds?

Mithun Chand : As of now no. We do not have any focus on that, but we are into vegetables if you call it fruit or not, I do not know because we are into watermelon.

Keshav Garg: Okay Sir and any plans to get into hydroponic?

Mithun Chand : As of now no.

Keshav Garg: Okay Sir and also in our I

ast year's annual report we had borrowed some small quantum of money from the Department of Biotechnology at 2% per annum so is there any possibility that we can really scale up this funding from this source since it is a negligible cost of 2%?

Mithun Chand : We do not require funds as such because we have enough cash on the books and we are a zero debt company. That is the only thing where we have taken because of government funding and government research program is there. For that we were having it and we are availing it. It is Rs.2 Crores loan. It is a very insignificant loan.

Keshav Garg: Sir that is what I am saying like we do not need funds, we already have excess funds but even if we can borrow at 2% and invest in liquid mutual funds also still we can earn?

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Page 17 of 20 Mithun Chand : That activity we do not do it. That is for that particular fund.

Keshav Garg: Great Sir and also Sir the CSR funds that we are using is there any possibility of using those funds to increase our visibility and goodwill in our major markets?

Mithun Chand : Basically CSR funds would not be spent for the company's branding or something that is one of the norms for the CSR, but we have invested in most of the education and the rural skill employment and skill development and rural infrastructure basically we are spending for education.

Keshav Garg: And Sir what kind of approximate capex program do we have over the next let us say one year?

Mithun Chand : Year-on-year it will be like Rs.30 odd Crores, Rs.25 Crores to Rs.30 Crores as the majority of the investment work is already done in the new office. It is only for the research work we need to spend but year-on-year Rs.25 Crores to Rs.30 Crores that should be sufficient. That is what we are doing for the last six to seven to eight years.

Keshav Garg: Sir this is R&D capex you are talking about?

Mithun Chand : Across the company. Now capex majority goes for either processing or R&D. We are building up our R&D biotechnology plant. For that we require capex now. That will be within the Rs.25 Crores to Rs.30 Crores on a year-on-year basis.

Keshav Garg: Also Sir our subsidiaries we have not really been able to scale up the revenue from our subsidiaries which were around Rs.55 Crores in

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Page 18 of 20 FY2022 after like nine years so going forward Sir firstly what is the major business of the subsidiaries and also what is the possibility of really scaling it up going forward?

Mithun Chand : If you see the subsidiaries year-on-year they are growing. Most of the subsidiaries were dealing with cotton earlier and we have seen a dent in the cotton, but even in that scenario subsidiaries have done well in terms of the cotton sale and most of the research is done in the main company wherein we have some competitive products where Kaveri cannot promote and they are unique. That products is marketed in subsidiary companies so they are also gaining and we

are pretty sure that that will also grow and if you see on year-on-year basis we are growing. Compared to previous year also this year they have grown. All the subsidiaries have grown as compared to the last two years.

Keshav Garg: Great Sir. Thank you very much and best of luck.

Moderator : Thank you. The next question is from the line of Anurag Jain an Individual Investor. Please go ahead.

Anurag Jain: Thank you Sir. This is more of a request rather than a question. In the last five to seven years the company's product range has expanded significantly, but this is not reflected on the company's website so if you could consider updating the company's website and to bring the product portfolio shown on the website in line what you have in the market already?

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Page 19 of 20 Mithun Chand : They are already there but sure any how I will recheck it and if

something is missing definitely we will update. Thanks for your suggestion.

Anurag Jain: Thank you Sir.

Moderator : Thank you. The next question is from the line of Vipul Mody an Individual Investor. Please go ahead.

Vipul Mody: Good afternoon Sir. Congratulations for the good set of numbers. Sir my question is relating to gene editing technology which has been allowed in India and there is no oppose regarding to that? How much is the company prepared to deal with it? Is it the company looking for collaboration with gene editing technology patent holder companies or is it like the company has applied for gene editing or something? Will it post check to the hybrids which the company is already into?

Mithun Chand : We are open for tie up with companies. Now most of the new technology the gene editing technology is coming now, CRISPR is the one which deals with it. We are already exploring some options in that but it will take some time but we are open for it.

Vipul Mody: Does it pose a threat to hybrid portfolio, existing portfolio? Does it compete with our portfolio?

Mithun Chand : When the new technology comes in definitely most of the companies upgrade to those technologies. Usually the companies adopt those technologies whichever is better because that is what we do in hybridization. Even if you take any hybrids if there is any good

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Page 20 of 20 germplasm or any new issue turns up definitely we will be for that one so most of the companies will upgrade to those technologies and I do not think that it is a treat for the existing hybrids. The only thing that might be replaced with the new technologies. For example if you take cotton when the genetically modified crops came in most of the hybrid moved to genetically modified.

Vipul Mody: Okay that is very well understood and one more thing I want to ask? What is the special efforts given for exports to increase our sales?

Mithun Chand : Again on exports we are pretty much bullish on exports. We are exporting to neighboring countries, South East and even the African countries so we see a lot of opportunities there and some of the products are very much accepted there and going forward definitely you see a good revenue for the exports also, but it will take time as we need to test our products in other countries. The registration itself takes three to five years in most of the companies. We are already in the process of registering it in some companies and we are marketing through some other companies there but definitely you will see increase in the revenue.

Vipul Mody: Thank you.

Moderator : Thank you. Ladies and gentlemen that would be our last question for today. Thank you for joining the conference call. For any further queries or meetings please be in touch with Rama Naidu from

Intellect PR on his mobile number 9920209623. Thank you for joining us and you many now disconnect your lines.

Call: May 2023

29th May 2023

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q4 & FY 2022-23 Results Conference Call on
Wednesday, 24th May, 2023 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q4 & FY 2022-23 Results Conference Call made on Wednesday, 24th May, 2023.

The transcript and audio is uploaded on the Company's website as well on below link:

<https://www.kaveriseeds.in/wp-content/uploads/2023/05/Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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Kaveri Seed Company Limited
Q4 and FY'23 Earnings Conference Call
May 24, 2023

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED
M R. RAMA NAIDU – INTELLECT IR – KAVERI SEED
COMPANY LIMITED

Kaveri Seed Company Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Kaveri Seed Company's
Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will
be in the listen-only mode and there will be an opportunity for you to ask
questions at the end of today's presentation. Please note that this conference
will be recorded. Joining us today on this call is Mr. Mithun Chand,

Executive Director.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. First list of such considerations, please refer to the earnings presentation.

I would now like to hand the call over to Mr. Mithun Chand. Over to you, sir.

Mithun Chand: Thank you. Good evening, and welcome everyone to our quarter 4 and financial year '23 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and functional performance of the company and then open the floor for the question-and-answer session.

We are delighted to declare a good set of numbers for the year on account of realizing good growth in both volumes and revenues. Both Cotton and Non-cotton segments have equally done well during the year and we expect the same trend to continue in the next couple of years. Maize, Rice, Wheat and Vegetable segments continue to do well. And Bajra's growth is very encouraging due to increased focus of Government of India by way of promoting millets as part of the millets mission.

New hybrids launched in Cotton and Maize have contributed for increase in the volumes and realizations, which has in turn resulted in higher EBITDA margins during the year, and the same trend would continue in the next 2 to 3 years. With an increasing number of new variants, we are confident of increasing our market share in cotton. The good growth rate in Maize, both in terms of volumes and revenues were seen during the current year and the trend should continue in the coming years on account of increasing demand for both animal feed and biofuel blending demand in the country.

NITI Aayog has estimated the requirement of ethanol for financial year '26 at 13.5 billion litres, out of which 50% of the ethanol would be made from Kaveri Seed Company Limited

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maize and rice, and rest from the sugarcane. The biofuel demand would increase the demand for industrial use of maize, which can be achieved only by increasing acreages in the new and high-yielding hybrids introduced by companies like us.

Financial highlights. Revenues from operations were at INR1000.56 crore as compared to INR915 crore in financial year '22, registered a growth of 9.35%. EBITDA was at INR296.94 crore as compared to INR238.41 crore in financial year '22, grown by 24.55%. Net profit was at INR267.04 crore as compared to INR208.9 crore in financial year '22, grown by 27.83%.

EBITDA margin was at 29.68% for the financial year '23 versus 26.09% for the financial year '22, increased by 359 basis points. PAT margins were up to 26.69% for financial year '23 versus 22.83% for the financial year '22, grown by 386 basis points. Cash on books stands at INR538 crore as on 31st March.

Operational highlights. Cotton volumes increased by 7% and revenues increased by 2.87%. Hybrid Rice volumes increased by 12.33%. Selection Rice volumes grew by 6.18%. Maize volumes increased by 25.61% and revenues by 22.37%. The contribution of new products was up from 17.39% to 33.87% of volume in Maize. Bajra volumes increased by 25.16% and revenues increased by 30.66%. The contribution of new products was up from 41.42% to 54.11% of the volumes in Bajra. Vegetable seed sales volumes are stable and revenue increased by 3.76%. Vegetable crops like Bitter Gourd, Tomato, Okra and Waterman h

ave done well during the year.

Bihar, Chhattisgarh, West Bengal, Odisha, Rajasthan, and Telangana are the key States for vegetable seed business. Exports continue to be strong. Export volume has increased by 35.09% and revenues up by 42.44% as compared to the last year. Presently, exporting to Vietnam, Bangladesh, Nepal and few countries of Middle East and Africa. Over the past couple of months, Government panel has given go ahead to field trials for several GM crops like potato, banana cotton besides giving approvals for mustard in the past. I will now open the floor for the question-and-answer session.

Moderator: The first question is from the line of Keshav Garg from Counter-Cyclical PMS.

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Keshav Garg: Sir, thank you for good results. And, sir, thank you for repeated share buyback. Sir, I just wanted to get your view on this financial year, FY '24. So what is the expectation in terms of top line and EBITDA? In your judgment, you think we can exceed our all-time high revenue of around INR1100 crore top line and INR310 crore EBITDA that we did in FY '15?

Mithun Chand: We see a good year ahead. Most of the crops would remain same, side-lines of a percentage of 5% plus or minus. We see a good growth rate for Vegetables in the coming year. Apart from that, Maize looks very interesting. Maize has good scope to grow by seeing the yields and the price. Cotton should be a, sidewise. We will be growing in Bajra. Rice and vegetable and hybrid rice, the market may grow by 2% to 3%, we'll be growing around 8% to 10% in both these segments. Overall, as a company, we see a projection of 10% to 12% as a top line growth and 15% to 20% as bottom line growth.

Keshav Garg: Okay, sir. That is very encouraging. And sir, except for Bajra, in this year also, we can see that our volumes in Cotton, Maize, etc., the volumes have grown faster than the revenue growth. So that means that there is some price derealisation. I mean the realizations went down. So is this trend expected to continue? Or is this trend expected to reverse?

Mithun Chand: For example, in cotton, the last year was a very tough year. The realization was much lower last year than compared to the previous year. I mean the current year was lower when compared to the previous year. Whereas Maize, the new hybrids, the revenues were up and the margins were also up. But whereas the older hybrid, the revenues and the margins are lower. If you see in terms of volume and revenue growth, in Maize, it's more or less same, whereas, in Cotton, the volumes have grown by 7%, but the revenues are only grown by 2%. So we have seen a slight decline in realizations in the cotton. Whereas in the other crops like rice, it's all sideways. From this year, we think the realizations will move up as compared to the previous year.

Keshav Garg: Sure, sir. And sir, lastly, on the margin side, our margins have increased year-on-year as you had told us previously. So for this present year, do you think that we can go back to 29% margin that we did in FY '21?

Mithun Chand: As also, the EBITDA margins are like 26%.

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Keshav Garg: Sir, on a consolidated basis, it's around 24% if we take out the other income

Mithun Chand: I'm talking on a stand-alone basis. Stand-alone basis, it's like 24%. Definitely, we can see an improvement of at least 1 to 2% points up when compared to the previous year.

Moderator: We have the next question from the line of Nitin Awasthi from InCred Equity.

Nitin Awasthi: I had a few questions. Starting with, has the cotton seeds price been revised by the government for the current year?

Mithun Chand: Yes. It's up by 5 to 7%. Absolute prices are INR853.

Nitin Awasthi: INR853, and this is for which variety?

Mithun Chand: All varieties, all BG-II.

Nitin Awasthi: BG-II, okay, and previous year it was?

Mithun Chand: It

was close to INR800.

Nitin Awasthi: It was close to INR800. But we realized much lower because we had to pass on substantial amount of the increase of last year to the sales channel, if I'm not wrong?

Mithun Chand: Yes. We have not realized, even though the prices were up this year as compared to the previous year. We couldn't realize it from the market as there was stiff competition and we've given many discounts to the dealer. We have realized, that's what I mentioned earlier also, we have realized a lower rate in cotton.

Nitin Awasthi: Okay. How do you think that will change this year? Do you see again the same amount of pressure and us passing on all the incremental increase in

price to the trade channel? Or do you think we'll be able to retain most of it like we used to do in the earlier years?

Mithun Chand: We don't see that sort of pressure this year. This year, the stock is also limited as compared to the previous year. And the availability of the seed is also limited. We see definitely increase in the realizations as compared to last
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year. But to what extent? That we can only say as the market evolve. But definitely, the realizations will be higher than last year.

Nitin Awasthi: Got it. Sir, the next question I had was, we have set up shop in Bangladesh, right, through a subsidiary?

Mithun Chand: We were doing business in Bangladesh earlier also. But right now, we are setting up a subsidiary company in Bangladesh for the further sales, because we are doing business in Bangladesh for the last 5 to 6 years. The results are encouraging. So we want to set up our own subsidiary there.

Nitin Awasthi: Understood. But Bangladesh is regulatory more advanced when it comes to GM crops than India. Is that correct? And if that is correct, do we have technologies to cater in Bangladesh because there will be players in Bangladesh who are ahead of us.

Mithun Chand: So basically, what we are doing is that we are having our research centres in India itself. We are only selling the seeds which are suitable and developed in India and then selling it in Bangladesh because we even sell it in the other parts of the World. We are trying to place those headwinds in those markets and take the market share.

Now when we start research in Bangladesh down the line, then we will be very much competent with the players. Most of the players there are MNC players. The same MNCs are present in India as well, we are having the same competition here and that we are also giving tough fight for them. So that shouldn't be a great difficulty for us to operate on our own in Bangladesh.

Nitin Awasthi: Understood, sir. Sir, the Government is strengthening its own company, National Seed Corporation. Are we seeing increasing competition from that company?

Mithun Chand: Basically, National Seed Corporation deals with varieties, whereas we deal with hybrids. The majority of our sales are in hybrids. So we don't see any competition from them.

Nitin Awasthi: Okay. Understood. And sir, some aggregators, some agri aggregators who were very strong and who have recently raised money and got very strong in their own businesses, namely DeHaat or be it Agro Star, they have started the seed business where they're selling seeds under their own brand. And they
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have their own seeds business rather than aggregating it from everybody else. Before they used to aggregate it from seed companies like yourself. Are we seeing them as a threat in the future?

Mithun Chand: We don't see that because in the seed business, capital is not important. I mean to say, it's important, but it's just not like if we spend \$1 billion, it's a long waiting time, it's requires some larger time for the R&D and it's a high entry-barrier business. And the competition, whatever seed companies that are there in India, we

are there since last 40 to 50 years. It is not easy to develop actually in the next 4 to 5 years. And anyone is like setting up a new company, then definitely, we'll be competing with them. But it's too early for them to take the market share in the next 5 to 6 years.

Nitin Awasthi: Understood. The last question from my side. We have HTBT, mustard and cotton, which has been approved by the Government. We also have HT maize, which was approved by the Government. We have potato, banana also approved by the Government. And field trials for some of these crops have started. Are we selected for the field trials of any of these crops?

Mithun Chand: Basically, we are not working in any of the GM crops. We are there in cotton. We have a tie-up with Monsanto, the current player. Once the government

approves and someone is there to share the technology, we'll definitely take the license and do it.

Nitin Awasthi: But what is the apprehension from the company side. The company has capital, the company has scope, and the company has the marketing legs for the product. So why the company not backward integrating and putting up its own research. So this is simple question that I have. What is the apprehension from the company side?

Mithun Chand: We have our own research. We need to develop our best. But whereas GM technologies, it's not a very old technology. It's already there in certain places. It's just like reinventing the wheel. And it's a high capital-intensive business. And when we are able to get the same technology as a license by paying some sort of a license fee, we don't want to invest in that. For example, it could be Monsanto. We have a license and we can always source that license. And Monsanto, there is not the only company who has the GM technology. There are N number of players. It's not a monopoly.

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Nitin Awasthi: Got it, sir. And what about gene editing, which has been passed in China recently for soya, if I'm not wrong? That is a newer technology that is also available with everybody.

Mithun Chand: CRISPR technology is, again, that's a different one. And that does not come under GM crop. We are working on that. We are working with a company, but it will take some time.

Nitin Awasthi: Okay. So that you are working by yourselves, for yourselves?

Mithun Chand: So there are other companies are there. We are adding some sort of a tie-up, but it will take a longer time to get some seal off on that. But in traditional breeding and that marker-assisted breeding activity, we are having our own research, and we are able to get good hybrids in that. But that's a technology which we are already concentrating on.

Moderator: The next question is from the line of Udhayaprakash from Value Research India Private Limited.

Udhayaprakash: Yes, sir. I have 2 questions from my side. The first is, as we see, we have seen good growth in our exports, both volume-wise and revenue-wise. So can you please tell us what is the percentage of export revenue of the total revenue for FY '23 and FY'22? The number available?

Mithun Chand: Yes. Last year, it was like 1.4%. This time, it is slightly closer to 2% of the revenue.

Udhayaprakash: Are we seeing any growth going forward in the export market as we are pushing for it? Or is this completely without any push and growing organically?

Mithun Chand: If you see in the presentation also, we said that we are exploring other parts of the World. And definitely, export is a very big market. Seed business, even it takes longer time to develop a hybrid, and even after developing hybrid to farmer to believe and to trust the hybrid, it takes a longer time. So that's the time we are taking it. We are in initial stages of, like, export market, and we are very bullish on exports. And that will be a decent contributor going forward to the revenues.

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Udhayaprakash: So next year, we can expect the same 2% to 2.5% of the revenues from exports?

Mithun Chand: So we're fairly expanding it. We can't say the absolute number because even other segment, even as a main company, whereas growing at 10% to 12%. So that, we should grow at 20%, 25% there. But we have plans to grow. The base is very small. But we have plans to grow and definitely that's a good area where we are focusing on.

Udhayaprakash: Okay, sir. My next question is on Selection Rice side. It has just put a flattish growth this year. So is this due to the lower realizations? Or are there any other headwinds during the year?

Mithun Chand: This year was a tough year in terms of the realizations in some crops. This is a major product that we deal with, maize and rice. It was a tough year. Even though there was a slight increase in the volume, the realizations were at lower side. But this year, I think the realizations will be on higher side as compared to the previous year. But even though, this year, overall as a company, the EBITDA margins have increased because we have a good year in Bajra and Sunflower.

Even though Sunflower contributes lower, but the margins were really good in Sunflower. So the advantage of our company is that we have a huge product portfolio. When we have tough conditions in 1 crop, another crop will compensate. So in that way, we are able to maintain and increase our realizations. It's the nature of the business, one year it will be tough, one year it will be okay. So in that way, there isn't much to bother about it.

Udhayaprakash: Okay, sir. My final question is on contribution of Cotton and Non-cotton growths. In the last 5 to 6 years, the revenues of Non-cotton as a percentage of total revenue has improved dramatically. It was 42% in FY '19, and right now in this year, 62%. Are we still trying to expand this portion? Or we trying to find a balance at this moment?

Mithun Chand: If you recollect, we were saying that from '14, '15, which was a peak year for us in terms of the revenues, the cotton contributed to more than 75% of our revenue. From that day, we were saying that the dependence of the cotton will go down and non-cotton growth will increase. And going further, non-cotton will contribute more to our growth. That's what we see now. Even now

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from going forward, both Cotton and Non-cotton has equal potential to grow in the company. So I think that the 30-70 combination will be there for a couple of years going forward.

Moderator: The next question is from the line of Tarang from Old Bridge Capital.

Tarang Agrawal: A couple of questions on my side. One, in your opening address, you mentioned that the rice market should probably grow about 2% to 3%. But you believe you can significantly outgrow the market. Just wanted to get a sense, I mean, what's driving this confidence given the difficult year we've had and realizations have also taken a significant hit?

Mithun Chand: If you see the current year also, the markets were flat or it were down 1% to 2% as compared to the previous year. Even in the tough conditions, we were able to grow in both in terms of the revenues and in terms of the volumes, both in Hybrid Rice and Selection Rice. This year, we see a slight increase in the market, but our hybrids are doing well. The new varieties, which we have introduced both in Selection Rice and In Hybrid Rice are doing well. And we are confident that we can definitely grow in these 2 segments this year as well. As I said in the earlier remarks itself, last year was a bit tough year in terms of the realizations, but we don't see that sort of difficulty this year as of now.

Tarang Agrawal: Okay. So is this confidence incumbent on your placements currently?

Mithun Chand: Yes, the placements are in line with our anticipation. We are in line with that.

Tarang Agrawal: Okay. The s

second question is on cotton acreages, right? I mean overall, the outlook for cotton is rather sober. So just wanted to get your sense, what's your view on acreages? It's a big crop contributing in Q1 for you. So how placements there, especially considering globally the prices have come off significantly from where we were at the same time last year?

Mithun Chand: What we see, the cotton area acreages should remain flat or like, I don't see much of an increase in the acreages this year as compared to the previous year because the other crops are doing well. So as a company, we are only anticipating 5% to 10% book in cotton with this. But even the other crops, like in Maharashtra, soya is also, the prices are not that great. That's the only point where we need to look at it, the timely rainfall, then that will move for

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the groundnut. Otherwise, if the rainfall is delayed, then that might move to the cotton. Otherwise, in a normal year, the acreages should remain flat for cotton.

Tarang Agrawal: Okay. The third question is what was the customer advances figure as on 31st March '23?

Mithun Chand: It's like INR160 crore or INR170 crore, just I'll reconfirm about the figure.

But right now, we are discouraging advances in the last 3 to 4 years. As we are realizing low, we are not taking advances from the market. We're not that aggressively pushing it.

Tarang Agrawal: Okay. The third question is on your bajra and sunflower business. I mean, how big are each of these products? And what was this number for FY '22?

Mithun Chand: Sunflower, we've done close to INR30 crore in FY23, as compared to INR12 crore in FY22. And the realizations were very good in Sunflower. Bajra also, we were like INR 19 crore in FY23, as compared to Rs. 14 crore in FY22.

So overall, we see Bajra will grow going forward. Bajra has the potential to be INR 100 crore next year, whereas Sunflower should remain same or sideways from this year, what we have sold. We don't see any much growth in Sunflower this year.

Tarang Agrawal: Got it. And the last is the INR133 crore of CWIP on the balance sheet. I mean, is this the R&D building or is there something more to it? And how should we see it for getting commissioned, the INR133 crore of CWIP on balance sheet?

Mithun Chand: There are couple of things which are there in that. One is the office building, new office building, which we took, that's one; the property, which is out there. One plant, which is also there. We have set up a processing plant and cold storage and warehouses, that's 1 part. And the other one is the R&D building. It's a combination of all.

Tarang Agrawal: Okay. And all of that should be capitalized in FY '24, correct?

Mithun Chand: Yes, some are like the plant and office should be operational. But R&D may take some time.

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Tarang Agrawal: Okay. Just last question. How do you see the placements this year versus the year before?

Mithun Chand: The placements are good as compared to previous year. We're in line with the placements, with their estimates, and we don't see any difficulties as of now in terms of the placements. But nothing has gone into, see, ground as of now, but placements are there, but it all depends on the rainfall. That's a regular activity for us and we'll get a clear picture once the monsoon starts.

Tarang Agrawal: Got it. And given the soft outlook on Cotton, would it be fair to presume that it's a little more skewed towards Non-cotton?

Mithun Chand: Definitely. Going forward as the Non-cotton portfolio is a very big portfolio, and you have many crops in that, and every crop has got a huge scope to grow. But what I said in the initial is that cotton to non-cotton should be like 30-70 going forward because we see that we cannot go below this cotton bracket. And we have very good pipeline as

well, which are coming. So we have a potential to grow to that 80 lakhs to, like, 1 crore in the next 3, 4, 5 years whenever ready. So that's the reason we said that even cotton is a crop that will grow going forward.

Tarang Agrawal: Because that would entail almost doubling your volumes from the current levels?

Mithun Chand: Yes.

Moderator: The next question is from the line of Sanjeev Zarbade from Dream Ladder Investment Advisors.

Sanjeev Zarbade: My first question is regarding the other current liabilities, which have actually gone up from INR296 crore to INR366 crore. So what is that on account of?

Mithun Chand: One is the payables to the production farmers. That is a major chunk in that.

Sanjeev Zarbade: Okay. And also during this year, our biological assets have gone up by almost 40%. So how should we look at it? And what kind of benefit we can expect to accrue in the coming years from this?

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Mithun Chand: Nothing is there. Whatever you're talking about, the biological assets, are basically the inventories. And we are anticipating more, so the inventories are also up. That's the only part.

Sanjeev Zarbade: Okay. Okay. And sir, regarding our revenue in the sense that if we see our revenues has been more or less stuck in the same range for the last 4 to 5 years. So what kind of medium-term target or vision we have for the business so that, as an investor, we can take a more favourable look at the growth profile of the company?

Mithun Chand: I don't think it has been stagnant for the last 4 to 5 years. In fact, if you see this year, revenues are up by 20% and profitability is up by more than 25%. I agree that if you take in the last 7 to 8 years, the trend was flattish. But if you see in the other way, the cotton prices were down, cotton volumes are down, cotton acreages are down, and which was contributing 75% to 80% of our total revenues. That is almost like 30% to 35% now.

So the other way to see is that we have grown in non-cotton crops to compensate the degrowth of cotton. But from this point where we see both the crops going forward, we see a revenue growth. Then definitely, we see revenue growth from here. Even in fact, we said that 10% to 12% in the top line and 15% to 20% in the bottom line growth. That should be what we are anticipating, and that should continue. And we are very bullish on the long-term growth, as well for the next midterm for the next 3 to 5 years, we will see this level of growth.

Sanjeev Zarbade: Okay. And sir, lastly, what kind of utilization plans we have for the cash and investment that we have because we've completed one buyback? Now I just wanted to understand our dividend policy in the coming years.

Mithun Chand: So we're a dividend paying company for the last 15 years since the time of listing and we have done buybacks in the last 5 years. If you see the cash in hand numbers in the last five years from 2014 to '15, it's between INR300 crore to INR400 crore or INR500 crore of cash. And whatever we have generated, we have distributed that to the shareholders, whatever free cash we generated. So that should be our policy going forward.

At the same time, if we see any opportunity in terms of the technology or in terms of any company acquisition, in terms of the R&D related or in terms of

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any strategic investment for the company, we are open for that. If we don't see any opportunity, we don't want to hold back the cash we want to give it to the shareholders.

Moderator: The next question is from the line of Nitin Awasthi from InCred Equity.

Nitin Awasthi: So I wanted to understand the menace of illegal cotton seeds this time around. Is this still around? Is it still as big as it was last year and the year before that? Or has it been tamed?

Mithun Chand: Illegal seeds is even there now, but the awareness a

mong the farmers and

from the government, they are very strict in terms of the illegal seeds. So in terms of the percentages, I don't see it will increase. In fact, it should come down as a percentage as compared to the previous years.

Moderator: As we have no further questions, we thank you all for joining this call. For any further queries, please contact Mr. Rama Naidu from Intellect IR. He can be reached on 9920209623. On behalf of Kaveri Seed Company Limited, that concludes this conference call. Thank you. You may now disconnect your lines.

Mithun Chand: Thank you.

Call: Aug 2023

21st August 2023

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q1 & FY 2023-24 Results Conference Call on
Wednesday, 16th August, 2023 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q1 & FY 2023-24 Results Conference Call made on Wednesday, 16th August, 2023.

The transcript and audio is uploaded on the Company's website as well on below link:

<https://www.kaveriseeds.in/wp-content/uploads/2023/08/Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited
Q1 FY'24 Earnings Conference Call"
August 16, 2023

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

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Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed
Company's Q1 FY '24 Earnings Conference Call. As a reminder, all
participant lines will be in the listen-only mode, and there will be an
opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an

operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.

I now hand the conference over to Mr. Mithun Chand. Thank you and over to you, sir.

Mithun Chand: Thank you. Good evening and welcome, everyone, to our quarter 1 financial year '24 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company, and then open the floor for Q&A session. Consolidated net profit for the quarter has surpassed the profits delivered during the full year of financial year '23. This has resulted in growth of 15.6% in consolidated EPS to INR49.10 per share. The delay in monsoon has impacted volumes and sales of maize during the quarter. We are expecting that there will be increase in sowing of maize during the Rabi season.

Sunflower and mustard exports will start from the second quarter, and are expecting maize and vegetable seed exports to grow. The contribution of new products continue to drive the profitability of the company. Company focuses on growing exports to Bangladesh, Vietnam, Cambodia, Nepal and Middle East and exploring opportunities in East Africa and Philippines.

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Consolidated revenue from operations was at INR736.1 crores as compared to INR685.59 crores in Q1FY23, registered a growth of 7.37%. EBITDA was at to INR289.49 crores as compared to INR254.09 crores in Q1FY23, increased by 13.93%. EBITDA margin improved to 39.33% from 37.06% in Q1FY23, grown by 227 basis points. Consolidated net profit was at INR275.62 crores as compared to INR244.6 crores in Q1FY23, registered a growth of 12.68%. Net profit margin improved to 37.44% from 35.68%, registered a growth of 176 basis points.

Segment wise highlights. Cotton volumes were stable and revenue increased by 8.98%. Bajra volumes and revenue were stable. The contribution of new products was up from 51.59% to 67.67% of the volumes. Hybrid rice volumes were stable, but due to commodity prices, revenue increased by 9.71%. Selection rice volumes grew by 11% and revenue increased by 22.13%. Maize volumes and revenues were down as compared to last year due to delay in rain in some states and expecting early rabi sowings in maize hybrids.

The contribution of new products were up from 28.06% to 40.65% of volumes in maize crop. Vegetable seed volumes has decreased due to decline in commodity prices and revenues were stable as compared to last year. Vegetable crop like bitter gourd, tomato, okra and watermelon had done well during the quarter. Bihar, Chhattisgarh, West Bengal, Odisha, Rajasthan and Telangana are the key states for vegetable business. Company focuses on growing the exports to Bangladesh, Vietnam, Cambodia, Nepal and Middle East. Our focus in R&D helps in launching new products, which are high yielding and pest resistant.

I will now open the floor for Q&A session.

Moderator: The first question is from the line of Anurag Jain, individual investor.

Anurag Jain: My question is on the vegetable seeds business. Kaveri now ha

s more

than 150 different vegetable seeds across different categories of

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vegetables like tomato, cucumber, cauliflower, cabbage, chili, okra, various gourds, and brinjal, cowpeas, different melons, pumpkins, etcetera.

And in last few years, have expanded your coverage across different vegetable seeds, including now also launching green peas and ash gourd. So, Kaveri has also expanded its sales team for the vegetables business, seeds business. And has a separate sales team for the vegetable seeds business, separate from the field crops sales teams. And these sales teams have also expanded into different states of India. So, Kaveri has expanded its product range, sales team and also has undertaken geographic expansion. But all these initiatives are not reflecting in the sales numbers in the last 3 years. Last 3 years, the Q1 sales for the vegetable seeds business has been stagnant at INR18 crore.

So, in light of the fact that last 3 years have been stagnant for the vegetable seeds business despite a lot of initiatives on the business side from the company, how does the management see the vegetable seeds business in the next 3 years?

Mithun Chand: Vegetable is a very good business to be in. We are very bullish on vegetables. As you rightly said that we are spending a lot of money on R&D, on men and increasing our geography across the territories. As you know, in seeds business, it takes time to develop and we need to test our products, and farmers only believe after seeing it.

So, we are in a trial stage and we have even tested many hybrids, and we are streamlining these hybrids, which are doing well in some parts. So, we have bifurcated all those things. But as rightly said, in the last 3 years, the sales were stagnated in the first quarter. But we have grown when compared to last 3 years rightly. For the overall year level, we were stable as compared to last year.

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But what we see in the next 3 years, vegetable business is definitely going to grow by more than 25%, 30% year-on-year. And still, we see that it has a potential to grow up to close to INR150 crore to INR200 crore in the next 5 to 8 years. And this is a crop where we have high margins. And now we have introduced many varieties across. And vegetable, every 200 kilometres, we have a different requirement of the vegetables. So, we are trying to feed to the market different vegetables. And as we are also exporting vegetable from last year, this year it will be some more vegetables we are expecting. So as overall, we see a very good growth in vegetables, but we are very bullish on that. And all the vegetables are heavily profitable at this time.

Anurag Jain: Okay. If you permit, can I ask one more question?

Mithun Chand: Yes.

Anurag Jain: Yes. Sir, last year, the company had received a tax demand notice. So, company had stated earlier that you will contest this demand. So, is there any update on this tax demand?

Mithun Chand: As of now, no. As stated earlier, we will be appealing it. It's still under the stage of appeals. No further progress on that. Whenever it is done, we'll intimate to the exchanges like how we have done in the last year, any update on that.

Moderator: Next question is from the line of Himanshu Upadhyay from O3 PMS.

Himanshu Upadhyay: Still one thing continuing from the previous participant's question, what are the unique challenges in vegetables to grow? So, when we have been working so hard for the last few years for so many crops -- so many other varieties of seeds. Why is it taking more time to grow that business? In the similar time frame, we have seen other firms have grown much faster. So, any thoughts into that?

Mithun Chand: No, as the answer in the previous question our farmers sees in believing. Just not like they don't believe the brand, even

have a brand, it's very easy to introduce the seeds. But again, it needs to perform better than the other hybrids and then go forward. If you see the entire vegetables, okra, chili and tomato contributes to the majority of the revenues across, not only for the company, but across the industry, these 3 crops contribute more than 50% of the revenue. So, if you are big in this 3 crops, definitely that will grow. But in the last 2 to 3 years, we have some challenges in chili crops, some challenges in okra crop that has just muted our growth.

But on a long-term basis, medium- to long-term basis, vegetables is a very good business and we are very much focused on that. We have made different team. We are spending more on R&D. So that will definitely have a good result going forward. So, we are pretty confident that vegetable will contribute a meaningful size in the next 3 to 5 years.

Himanshu Upadhyay: And one more thing. The government raised the prices for cotton seeds. Did it benefit? Or what is the situation in the market? Are the prices rising for cotton seed? Or realizations?

Mithun Chand: If you see as compared to last year to this year, even though the volumes were flat, the revenues grew by 8% to 9%. So, we were able to realize the prices more in the market when compared to previous year. That's the reason the margins are also good. The margins have also expanded by 2% to 3% over last year. So that are really helping these markets. This time, there was a shortage of cotton seed, and we have realized much better than last year.

Himanshu Upadhyay: Okay. One last question and then I'll join back in the queue.

Are you seeing slowdown or what we are seeing in the maize, is the pricing going to be a challenged...

Mithun Chand: Sorry?

Himanshu Upadhyay: Maize, okay, what we have shown in the revenues...

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Mithun Chand: I cannot hear you. You are not audible. You are not clear.

Himanshu Upadhyay: I was asking on maize, where we have seen a substantial degrowth from INR87 crores to INR42 crores. Are the pricing under pressure in that market because everybody would be having a lot of inventory? And what is our inventory situation in the market?

Mithun Chand: I don't think we are done. Against INR97 crores or INR96 crores, we have done INR87 crores in maize. We are just down by 8% to 10% in maize in terms of the revenue. In terms of the volumes, they are down by 25%. But when we talk about the volumes, we have not participated in the subsidy this year because we are not having inventory. And subsidy is a low-price business. So, we have not participated in that. But you see at the overall level, we are just down by 8% to 10%. But we are very confident that during the course of the year, we'll exceed the maize revenues by the end of the year. And rainfall was also delayed. There was some spillover sales, which can get registered in Q2 and the rest of the year.

Himanshu Upadhyay: Okay. Because on Slide 8, there is some issue with maize. As you say, INR87 crores of revenue in FY '24 and FY '23, it is written INR43 crores. And then the growth is?

Mithun Chand: I'll just see if that is the case, I'll correct it. But last year, it was INR96 crores to INR97 crores. This year, we have done INR87 crores.

Moderator: Next question is from Nitin Awasthi from InCred Equities.

Nitin Awasthi: I want to understand how much was the illegal seeds penetration last year and how much was it this year in cotton specifically? Because what I'm trying to get at is that what we are hearing in news is that there has been significant reduction in illegal cotton seeds, hence the legal seed market should have grown significantly. But there was a

shortage of seeds in the market, so there was enough demand for the cotton seeds. However, our volumes are flat. So

, I just want to
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understand if you can explain what happened to us specifically and industry?

Mithun Chand: If you see the overall acreage at the India level, the cotton acreages are stable, which has not grown much. But even if you see the illegal seeds as compared to last year to this year, it was flattish. I mean from last year itself; we have seen a decline in that. But if you see as a percentage of illegal seeds as compared to last year, it is almost the same size as last year. But this year, most of the companies are not having over inventory, they were having enough inventory, that's the reason most of the companies have realized more.

Nitin Awasthi: So, you are saying we have not lost any market share?

Mithun Chand: No, no. We've not lost any market share.

Nitin Awasthi: And the news about illegal seeds being lower than last year, as of now has not cleared out...

Mithun Chand: Flattish when compared to last year, it's almost flattish, even the illegal seeds are almost same as compared to last year. So anyhow, illegal seed is coming down.

Nitin Awasthi: By the next year I think there should be a significant reduction, right, because of the track down that has happened.

Mithun Chand: I see the same amount continuing, because it's like 8% to 10% of the total market. I don't think it will go further down from there unless and until the new technology is introduced. But next year, the cotton seeds we need to see because of the delayed rains, delayed sowing, then their crops have been impacted -- early sowing crops have been impacted. But we need to see the quarter inventory for the next year. Quarter inventory is very tight in the industry for the next year. By seeing this condition, I don't see any reduction in the illegal seeds for the next year.

Moderator: Next question is from the line of Vidit Shah from IIFL Securities.
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Vidit Shah: My first one was on the maize volumes. Last year, what percentage of volumes were towards the subsidy participation? I understand that we had stopped doing this a couple of years back, right?

Mithun Chand: No, we still participate in the subsidy programs, but based on our availability of the seeds we participate. This time, we were having lower inventory, so we have not participated in that subsidiary program because even the prices are up this year. As you see, the maize prices are up, the inventory cost is also up. So, as we go to subsidies, the realizations are very low. But by keeping this in consideration, we are not participated in subsidy. Subsidy was last year, first quarter, we have done a sale of close to 1,000 tonnes.

Vidit Shah: Okay. Got it. So, a major part of the decline in volumes is just natural, right? Because the subsidy of 1,000 tonnes is just about 5%, 10%.

Mithun Chand: Yes, that's the main thing. But whatever the other decline, as in normal market conditions, that will definitely come up in the second quarter and the rest of the year, because there was some spill over sales of maize in the second quarter. Because as you see, you have seen a delayed monsoon and then continuous rainfall. So that has impacted to some extent. So, I don't see any pressure in maize volumes in the normal trade, leaving subsidy growth. I mean, we will be up when compared to normal trade by the end of the year.

Vidit Shah: So, assuming about 10% is subsidy, can we anticipate just a 10% degrowth in volumes in maize by the end of the year? Or do we expect to catch the stock with that?

Mithun Chand: What I'm trying to say is that if you take out subsidy for the first quarter, we are just down by 8% to 10% in terms of the volumes. But if you compare '23 figures to '24 year-end, by year-end, we'll be up in overall maize volumes in the normal trade. We'll cover up that loss revenues in quarter 2, 3 and 4.

Mod

erator: Next question is from the line of Udhayaprakash from Value Research.
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Udhayaprakash: Congrats on a great set of numbers. My first question is on the side of exports. Can you tell me what is the percentage of revenue that we have currently in exports this quarter? And also, last year, our export percentage was around 2%. Now this year, since we are also trying to find new opportunities and are going to start the export of mustard seeds and all. Do you think that number can increase to maybe 3% this year or it would still be around 2% in FY '24, too?

Mithun Chand: We have just started doing it this quarter, but majority of that comes in the second and third quarter. Some in the fourth quarter as well. But if you see our overall percentage, last year, it was 2-odd percent. This year, it should be in between 3% and 3.5% of the total revenue. But the other thing what we need to see is that instead of percentages, we are trying to export to other countries.

As we try to expand to many countries, we have enough product portfolio. So, we can easily get good revenues from different countries. So that's an advantage. In the initial stage, it is very low. But once you penetrate there, it's very easy to enter this new hybrids and to get good traction in the present selling hybrids. So that will help us.

Udhayaprakash: Okay. And this quarter, export as a percentage of revenue, is still small?

Mithun Chand: It is very small. It is very small this quarter. But majority of that will be done in the 2, 3 and 4. 2nd and 3rd are the major quarters. These are the major revenues. For example, last time we had INR20 crores, INR21-odd crores, this year, it should be within INR30 crores, INR35-odd crores.

Udhayaprakash: Okay, sir. My next question is on side of vegetables. You already provided enough detail for us. The only part I want to clarify with you is, are there any vegetables which offer good margins? And are there any vegetables which offer bad margins or have lower demand fluctuations like that within the vegetable segment itself? And in the
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future, do you have any plans to exit any one of the vegetables like that?

Mithun Chand: So basically, all the vegetables are very profitable, the EBITDA margin between 30% to 60%. There are some varieties where we have lower margin, but there is very few varieties where we try to sell those varieties. But in terms of the hybrids, most of the margins are very attractive.

As I said earlier, vegetables chili, okra and tomato are the 3 major crops. If you are able to sell products in these crops, we'll have higher revenues and higher margins. But other crops, like cauliflower, cabbage, carrots, we import from other companies and sell it because the market is also growing for these crops. So, we don't do research in that, but we source material and sell it.

So, in terms of we are exploring all options as vegetable is a year-round business, so we want to be aggressive in vegetable division. As the markets are also growing, it is growing more like 15% to 20% year-on-year on an industry basis. So that's a very good space to be. And we have started aggressively last 7, 8 years back. And I think in the next 3 to 5 years, definitely, we'll see result of that.

Udhayaprakash: Okay. So, you're treating vegetables like you treated hybrid rice 2 years ago?

Mithun Chand: Yes. But both are different segments. Because in rice, I'll say 4 or 5 varieties rule the entire market. Whereas in vegetables, every state and every territory have a different taste. So, it is a bit difficult to be a uniform product, but that's the reason we have many hybrids, which we have introduced. But vegetable is a very good space to be.

As a portfolio, we are the only company in India where we have very high product range, I mean to say high cr

op range, and in each and

every crop with a huge product portfolio. So that even minimizes our

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risk on a single crop dependency, and we'll add value from each crop wherever it's possible.

So, for example, we have added mustard now. Mustard, as a size, is a very small market when compared to cotton or maize or rice. But it's a highly profitable margin, and we can easily do a revenue of INR50 crores to INR100 crores in that. So, these are the ones which will really add some value to the company.

Udhayaprakash: Okay, sir. My final question is on do we have any update on GM crops, sir. Last quarter, you said that you're already in a partnership with Monsanto and you're waiting for some government approvals.

Are there any developments on that?

Mithun Chand: Yes. The process is on, very shortly will be released. It's taking some procedural time. But definitely even both the companies and the government, both are working aggressively on that. We don't see any difficulty in getting as of now. I think this year, it should be clear.

Moderator: Next question is from the line of Sanjeev from DreamLadder Investments.

Sanjeev: Yes. Sir, I wanted to know that now that you have declared good results, whether this kind of a trend in profits would continue in the future?

Mithun Chand: Yes. If you see in the last 5, 6 years, we had a muted growth. There were many challenges. If you go back to 2015, where majority of our dependence was on cotton. More than 70% to 75% of the revenues were contributed from cotton. Last year, it was below 35%. And we are adding many crops to it.

Now from here on, with the kind of portfolio what we have, and the amount, what we invested in the last 5 years, if you see in the last 5 years, we invested close to INR180 crores in research itself. So, in terms of the capex, in terms of the infrastructure, setting up new plants

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and everything, we've invested more than INR250 crores in the last 5 years, apart from the research part.

So, this all, we have added facilities, we have added new infrastructure, we have strengthened our manpower, strengthened our R&D facilities, strengthened our R&D work in that. But seeing all the work what we have done in the last 5 years and the kind of hybrid portfolio what we have in different crops. By seeing this, we are pretty confident that the growth will continue for the next 3 to 5 years. We don't see any difficulty there. The growth, which was muted in the last 4 or 5 years, I think it will start coming this year.

Sanjeev: And sir, my next question is regarding the exports. Can you give us a picture of how the exports would look 3 years down the line? How sizable the business would be?

Mithun Chand: Export business is a very big business. For example, when you talk about maize and rice, these are the 2 big crops which have got very good potential. For example, if you take in Philippines or Vietnam, or

if you take some Thailand, where maize and rice are the major crops. Even if you take Bangladesh, Pakistan, Nepal, they have maize. So, we have very good hybrids in maize, so we can easily sell them, right? So, we have done trial in Vietnam. Those were very encouraging. Recently, we had talked to the government also from the Vietnam Agricultural Ministry to introduce our hybrid there. They have put it under trial, and we have got a very good result there. If these are the trends in the next 3 to 4 years, it will not grow in a year or 2, but down the line 5, 6 years, these are the areas where we have good growth potential, and we can easily do a revenue of INR200 crores, INR300 crores in export down the line in 4 to 5 years. Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Mithun Chand for closing comments. Kaveri Seed Company Limited

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Mithun Chand: Thank you for joining us for the investor call. For any further queries, you can always feel free to call or ping our investor desk. Thank you.

Moderator: Thank you for joining the call. For any other information, please be in touch with Rama Naidu from Intellect PR on 992-020-9623. On behalf of Kaveri Seed Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

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"Kaveri Seed Company's Q2 & H1 FY24 Earnings Conference Call "

November 09 , 2023

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR ,
KAVERI SEED COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Kaveri Seed Company's Q2 & H1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference call will be recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risk and uncertainties. For a list of such considerations, please refer to the earnings presentation. I would now like to hand over the call to Mr. Mithun Chand. Over to you, sir.

Mithun Chand : Thank you. Good afternoon. Welcome everyone to our quarter 2 and H1 financial year 24 earnings conference call. We hope you had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company and then open the floor for question and answer session. Revenue from operations has registered a growth of 5.75% to Rs. 863.42 crore as compared to Rs. 816.44 crore in first half financial year 23. EBITDA was at Rs. 298.88 crore as compared to Rs. 259.72 crore in financial year 23, increased by 15.08%. EBITDA margin improved to 34.62% from 31.81% in first half financial 2023, improved by 301 basis points. Net profit grew by 14.45% to Rs. 278.56 crores as compared to Rs. 248.39 crores. PAT margin was at 32.26% as compared to 29.81%, grown by 245 basis points. Cash and books stood at Rs. 732 crore as compared to Rs. 497 crores.

Major Highlights: Board has recommended 250% dividend, that is Rs. 5 per equity share on a face value of Rs. 2 per equity share. Despite stable volumes in rice and cotton, better realizations translated into Kaveri Seed Company Limited
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substantial revenue growth which has fueled significant improvement in margins. The surge in global rice prices has propelled a remarkable 10.8% increase in rice cultivation area. The company is not only witnessing unprecedented success in the vegetable business, but also aggressively expanding its footprints in international markets. In

vegetable , major focus is on cold crops like cauliflower, cabbage and carrot. Cotton volumes are stable and revenues increased by 6.77%. Hybrid rice volumes are stable, revenues increased by 9.97%. Selection rice volumes grew by 4.87% and revenues by 14.8%. Maize revenues were grown by 13.96%. The contribution of new products was up from 44.46% to 58.71% in Bajra. Vegetable seeds volume increased by 25% and revenues increased by 20.6%. Vegetable crops like bitter melon, tomato, okra and watermelon have done well. Export business has increased by 146.49% on account of expanding US geographies. Maize sales export volume increased by 129.91% and revenues by 140.52% . I would now open the floor for question and answer session. Thank you. Mithun Chand : Thank you very much. We will now begin the question and answer session. The first question is from the line of Madhur Rath from Counter Tech . Please go ahead.

Madhur Rath: Sir, I wanted to know, sir, our cotton revenues from Q2 -on-Q2 basis have fallen. So, why, what is the reason for that?

Mithun Chand: Second quarter is a very lean quarter for us. Whatever sale we get is a spillover sale. Compared to last year, if you see, because of the thin volumes, the cotton sale is lower. But that is not significant. It's only 2,000 packets , lower than last year.

Madhur Rath: So, there was a report that this year cotton production was lower. So, do we think that next year cotton seed or sales will be better than expected
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or

what kind of growth are you expecting in the cotton segment for the next year?

Mithun Chand: The cotton production is a bit tough this year which we are going to sell for the next year , but that's too early to predict the output on that. We can only say by the month of January or February what is the production that we are going to get.

Madhur Rath: Sir, in your experience, how was the year post El Nino year been in our business segment of cotton and other seeds?

Mithun Chand: So, basically we have done well instead of this tough condition this year , most of the crops were stable or lower, but even in these tough conditions we were able to increase the revenues and some cross the volume as well. And being a multi -crop portfolio, we don't see that sort of a risk when compared to the other companies which are constantly in one or two products. In that way, we are very much pleased and El Nino year and the other normal years are well in the cycle. So, we don't see much of a difference and we are quite bullish in the second half and even for the next year.

Madhur Rath: Hybrid tobacco seeds that we had guided in our AGM that we had launched. So, how are they doing?

Mithun Chand: Hybrid tobacco seeds? Which seeds you are talking about?

Madhur Rath: Yes sir, we had launched hybrid tobacco seeds, we had guided in our AGM. So, that's what I was asking. How has that responded? Hybrid tobacco seeds sir ?

Mithun Chand: Hybrid tobacco, we are not in the tobacco at all.
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Madhur Rath: And sir with Rs. 732 crores on our cash, please do a buyback sir , it will be very helpful for our shareholders.

Mithun Chand: Definitely , we will definitely consider but it is subject to the board discussion , we will definitely consider it.

Moderator: Thank you. The next question is from the line of Anand, who is an individual investor. Please go ahead.

Anand: My first question is on cotton seeds. What I realize is that seeds like Jadoo , ATM although they had a very high yield but the feedback that I have received is these old hybrids take around 160 to 180 days for maturity and currently these seeds have become susceptible to bollworm in the later stages of crop. So, is that a fair understanding?

Mithun Chand: Yes, as we move forward , these are old hybrids and if you see after Jadoo

became ATM was there, ATM is still doing well in some parts and after that, we have introduced Money maker which is also doing well now. After that, now we have introduced couple of hybrids for the north and the central regions also which are doing well. So, it's a combination of all and definitely in the industry and as we go over the years previous hybrids get faded out and new hybrids come in based on the challenges. Most of the hybrids as you rightly said that we are trying from virus, some second best resistance that we are looking at.

Anand: So, the two hybrids that I hear from Kaveri's table are 144 and 36. These are the hybrids which matured much earlier in the cycle like 100-120 days. So, where are we in, if I were to look at last season, if you can give us a break up of how our sales were between these older hybrids which would take higher maturity and these newer hybrids which would mature much earlier in the season?

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Mithun Chand: Basically if you take our portfolio, Jadoo, ATM and Money maker contributes to more than 85% of the revenue. There are other hybrids which are sold in very small quantity. So, these are all the new hybrids which are introduced recently like half a lakh, one lakh packet. So, based on next year and we are waiting for this year result, as of now it looks good. But for the next meeting, I can be telling the exact position which are the promising hybrids based on the performance this

year. But what

we see as of now is they are performing well and going forward these will pick up the volumes.

Anand: So, if I were to look at this season, I think on a combined with it around 57 lakh packets as a company, a consolidated company, is that the number?

Mithun Chand: Roughly, I don't exactly remember but it is close to last year..

Management: 55-60 lakhs somewhere in between.

Mithun Chand: It was close to last year 1 lakh plus or minus. It's only 2% more than that's it.

Anand: So, going ahead, do you see that so some of these hybrids let's say 36 or 144 depending on how these hybrids perform, do you think that the share of these would continuously keep going up?

Mithun Chand: Definitely, we think we have very promising hybrids. As I said earlier, we will wait for another season, but this season end we'll be knowing the exact system about the performance of that. And we'll be giving guidance which are the hybrids which are looking better. And not only these two, but we have also tested many other hybrids in different codes, which I can't reveal right now. We're all testing stage, once we are there we will disclose. But definitely we see very promising hybrids in our portfolio. Going forward, we see momentum in cotton fields as well.

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Anand: The next question that I have is again on the same thing. So, what has happened in the last like I've been tracking Kaveri Seeds like maybe 2015 or maybe even before that. The price of packet of seeds has not moved much like from Rs. 800 to Rs. 850 right now, roughly Rs. 845 I think that's the price. So, do you see significant margin pressure, and do you also see production volumes going down because the farmers are not getting compensated enough for that?

Mithun Chand: Yes, if you see cotton seeds from the last 8-9 years, it has not moved up when compared to 2015. But in the last 2 years, the selling price is moved. It might be so because now the production is very difficult. The cotton seeds production cost is also going up. So, that is putting a pressure on the margin, but definitely we are trying to increase the selling price so that it can compensate.

Anand: One more question in terms of the production side. So, if we have to plan for next season, then by when can we have seeds which can be used for production?

Mithun Chand: So, already we are trying for next year production. We usually sow in

the month of May 23 for selling something in the Kharif of 24.

Anand: And going by our current production plans, what could be the maximum number of packets you can do in the next season?

Mithun Chand: I may not be disclosing the exact figure that we will not reveal as of now, but we have enough production for next year. As I said in the earlier question, what is the productivity of that, which only we will get to know by year end because the season was also not good. Pest attack was also more so that we'll get to know by December to January.

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Anand: But I understand your difficulty in giving that kind of a prediction, but can we assume like it could be like 20% to 40% more or any range that you can get as compared to last year?

Mithun Chand: So, usually we are saying that cotton will grow in between 5% to 10%.

As a guidance, we are saying cotton will grow in between 5% to 10%.

We are on target on that as of now, but again, subject to the weather conditions.

Anand: So, basically for next year, as of now, things might change, you see a 5% to 10% growth in the cotton seed?

Mithun Chand: We have already given this guidance long back. In the past 1-2 years, I think 5% to 10% in cotton for the next 2 to 3 years. So, we still give the same guidance.

Anand: I'll move on to other crops now sir. We have seen significant growth in

Q2 in maize and you have also highlighted that there is a very strong demand for maize going ahead. So, if you can tell us that what areas this demand is coming from and also on the export side, our exports have grown significantly this quarter. You have also alluded to export growing significantly going ahead. So, what kind of registrations we have in different countries? That is one thing I want to know. So, what are the crops in that sense? And how do you see export growth going ahead in the next few quarters and the next year? And also finally on maize, what kind of growth are we looking at in the coming year?

Mithun Chand: So, maize as a crop looks good both in terms of domestic and internationally. We gave a guidance of 10% to 15% growth in maize, on a longer term of 3 to 5 years. That we are pretty confident that we will be able to achieve it. And this quarter, especially when talking about coming back to this quarter, maize revenues contributed to the major

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growth. One is both in domestic we had a good sale and across India because anyway it's a very lean quarter for us. Second quarter, most of that is spillover sale. Might be in Karnataka, might be in some parts of Andhra, some parts of Maharashtra. But major contribution was from exports, where we have done Rs. 15 crore more than last year. So, again, Rs. 10 crores of exports, we had Rs. 25 crores of exports. That was a major revenue. And out of those exports, more than 90% of that was maize.

Anand: Can you see this trend continues?

Mithun Chand: Maize as a crop looks good. Going forward, we see maize going better in exports also. And we are exporting to other countries, so the majority of the exports earlier was only to Bangladesh and some of Nepal, now we are even looking at African countries. And we are concentrating on crops like maize, sunflower, vegetables, and rice. Rice especially for the Southeastern countries like Indonesia, Philippines, Thailand, these are the countries which are concentrating more, including Vietnam. So, we see a good growth coming in there. And wherever we are tested, our rice hybrid, that's very positive. So, definitely, as you know, it will take some time for us to make growth, but it's very positive, we are moving in a very positive direction and as a company, we are very much bullish on this export segment.

Anand: So, you also mentioned in the presentation this time that vegetable seed

growth has gone up by 25% and 26% roughly, and the revenue grew by around 20%. And you also mentioned that there is unprecedented growth in the vegetable segment for us, success. So, how do you see this portfolio has not changed in last 5 years from like roughly say even stagnant at around Rs. 30 crores. So, how do you see this vegetable Kaveri Seed Company Limited
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going ahead like for this year and for the coming year? How do you see it changing?

Mithun Chand: Vegetable is a very big segment in India and this is a faster growing segment. We are very small in the vegetable segment by seeing the overall market. And the way what we have worked in the last 10 years, we have very good hybrids which are there in a pipeline and some hybrids are already launched in the market. And last year, we had done close to Rs. 45 crores as overall sale for vegetables. Again, first half it was Rs. 22 crore as compared to Rs. 26 crore this year. So, in the second half also, we see a similar growth. And we think that vegetable year-on-year will grow by more than 20% to 25% something like that.

Anand: Last question from my side. It's more of, in case of vegetable companies, to some extent, the demand outlook that we have can also be visualized from the balance sheet in terms of the kind of advances that we get from the customer. So, if I were to look at our H2 of

her current liabilities,

which I think are mostly coming from advances from customers, they have gone up, they used to be like Rs. 80 crores – Rs. 90 crores 5 years before and now they are almost at Rs. 270 crores. So, if you can give some kind of a breakup of those advances

Mithun Chand: You are talking about current liabilities?

Anand: Other current liabilities, which are Rs. 270 crores and...

Mithun Chand: So, that means that other current liabilities not only advances, that also is a payment which we need to give for the production.

Anand: Which we also need to give for the production.

Mithun Chand: Usually, it is a very lean season. We don't have much of advances for this second half. Usually, we get advances for the first half, but the Kaveri Seed Company Limited
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industry is changing. Nowadays, we are not taking much of an advantage because we need to give more discounts. So, we have slightly slowed down on that.

Anand: One last question, sir. So, on the company stock, one of the major hangovers has been the income tax issue. Two things, sir, what could be our maximum liability here in this case, in case we lose the case and we do think there could be some kind of a settlement with the department so that this hangover is taken care of?

Mithun Chand: Basically we don't have any litigation as of now. I mean to say we don't have any pending demand other than what we are disclosed in the balance sheet or to the exchanges. Other than that, we don't have any pending demands. We are claiming it as an agriculture income. They might deny it. For that, the liabilities are calculated what basis they do it. But as of now, we have only one year litigation that we are seeking. The other litigation is a different litigation. We never got any demand for that.

Anand: And what is the amount? I mean, if you can...

Mithun Chand: They never derived any amount for that because as they have not given any demand, so there's no derivation for the liability.

Anand: This is a major, major hangover because the rest of the crop companies that I see, even some of the competitors, they actually don't consider it as an agriculture income like DCM Shriram and others.

Mithun Chand: I don't know which companies you are seeing it. Many companies doing that way. But then the subject is pending and everything is disclosed.

The reports and everything is transparent from the company side. Based Kaveri Seed Company Limited

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on the other unexpected liabilities, we don't know. If something is there, definitely we will try to intimate.

Moderator: Thank you. The next question is from the line of Manish Shah, who is an individual investor. Please go ahead.

Manish Shah: Sir, in the presentation, you told that the second half also is looking very good. So, what crops are looking good and what kind of revenue growth you can do compared to last year, sir ?

Mithun Chand: Basically second half is all contributed by maize and the other segment what we are looking at exports . These two contributes to the major second half . Both the segments should do well .

Manish Shah: Sir comparison to last year second half should be what 15 % , 10% more ?

Mithun Chand: So, we have given a guidance between 10% -15%, that is what we see for.

Manish Shah: In the guidance you have told that the profit can grow by 15% CAGR for the next 2 -3 years. Do you stick by that guidance sir?

Mithun Chand : If you see the first half , here the profit has grown by close to 14%-15%.

Manish Shah : For the next 2 -3 years is it possible sir to do this kind of numbers?

Mithun Chand : Yes, on a consolidated basis for the first half grew by like 13.5 % . We only said 12 % to 15 % of the bottomline. We are still stick to that.

Manish Shah : Sir, another question is about the exports and the vegetables. Sir, in the

next 3 to 5 years, what kind of figure can you like, can it be a Rs. 100 crore business or more than that exports and vegetables or any other?

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Mithun Chand : Next 3 to 5 years, what we see, both exports and vegetables should be close to 100% .

Manish Shah : A single segment or both?

Mithun Chand : As a single segment.

Manish Shah : And sir, any other promising crop?

Mithun Chand : we have started selling mustard also. That is also a good crop. We also see growth in that mustard.

Manish Shah : And sir, about the cash on the books of Rs. 732 crores, what are the future plans, sir, any acquisition or any other thing?

Mithun Chand : We are open for acquisition. In the previous, as you were not able to find any growth, we have given dividend or buyback. So, again, based on the current scenario, we'll see whether we need to go for the buyback or based on the opportunity we need to acquire a company. That will disclose , but again, that depends on the board . Once any outcome from the board, definitely we'll let you know.

Manish Shah : Sir, what kind of area in acquisition are you looking sir because in the presentation, you have given that the cotton seeds, we are the number two player. And in other segments, where are you looking for acquisition, sir?

Mithun Chand : Basically for some vegetable companies or some technology.

Manish Shah : Sir, any specific, sir?

Mithun Chand : As of now, nothing. I said that we have not identified any company, and we are open for it. If any company comes in, definitely we will identify .

As of now, we have not identified anything.

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Manish Shah : So, sir, if there is no acquisition , then there is a buyback ?

Mithun Chand : Yes, that I will not comment as of now. That, again, subject to the board decision, any decision taken will definitely inform.

Moderator : We would take that as a last question. On behalf of Kaveri Seed Company Limited , I would like to thank all the participants for joining the call. For any further information, please be in touch with Rama Naidu from Intellect IR. You can reach him on 992 -020-9623. On behalf of Kaveri Seed Company, that concludes this conference. Thank you for

joinin g us, and you may now disconnect your lines.

Call: Feb 2024

08th February 2024

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q3 & FY 2023-24 Results Conference Call on
Monday, 05th February, 2024 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q3 & FY 2023-24 Results Conference Call made on Monday, 05th February, 2024.

The transcript and audio is uploaded on the Company's website as well on below link:

<https://www.kaveriseeds.in/wp-content/uploads/2024/02/Kaveri-Seed-Conference-call-transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited
Q3 FY'24 Earnings Conference Call "
February 05, 2024

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

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Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed
Company's Q3 and Nine Months FY24 Earnings Conference Call. As a
reminder, all participant lines will be in the listen -only mode, and there
will be an opportunity for you to ask questions at the end of today's

presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Joining us today on this call are Mr. Mithun Chand, Executive Director.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation. I now hand the conference over to Mr. Mithun Chand. Thank you, and over to you, sir.

Mithun Chand: Thank you. Good evening, and welcome, everyone, to our quarter three and nine months financial year '24 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company and then open the floor for question-and-answer session.

Our revenue from operations was at Rs. 981.89 crore as compared to Rs. 939.93 crore, a very steady growth of 4.46%. EBITDA was at Rs. 321.13 crore, that's compared to Rs. 303.67 crore and increased by 5.75%. Net profit was at Rs. 290.22 crore as compared to Rs. 280.93 crore, a very steady growth of 3.3%. Cash on books stands at Rs. 587 crore as against Rs. 403 crore.

Our quarter three financial highlights. Revenue from operations was at Rs. 118.47 crore as compared to Rs. 123.49 crore, down by 4%. EBITDA was at Rs. 222.25 crore and net profit at Rs. 11.66 crore. As envisaged, maize and vegetables are growing in both volumes and revenues and the same trajectory will continue in the coming quarters too. Company continues to deliver good realizations in both cotton and Kaveri Seed Company Limited
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rice in spite of volumes remaining stable. Increasing trend of new products contribution in bajra and maize. Efforts in exports, yielding results and put the company on the fast track in international markets. On a quarterly trend, other income was down by Rs. 19.14 crore and depreciation increased by Rs. 1.5 crore, and the rest all it remained flat. The higher other income in quarter three financial '23 was on account of redemptions done from investments made by the company for the implementation of early buyback done during the last financial year. As a part of our continuous endeavours to reward our investors, the company had announced a buyback of shares at Rs.725 up to Rs. 325 crore.

Operational highlights. Cotton volumes are stable, but revenue increased by 6.03%. The contribution of new products was up from 45% to 59.67% of volumes in bajra. Hybrid rice volumes are stable but revenue increased by 9.26%. Selection rice volumes are stable, but revenues increased by 8.16%. Maize, increase in maize revenue by 5.36%. Contribution of new products was up from 36.67% to 49.45% of volumes in maize. Vegetables seed sales volume increased by 22.13% and revenue increased by 24.4%. Revenue -- vegetable crops like bitter melon, tomato, okra and watermelon had showed good performance. Contribution from exports to revenue has increased by 139%.

I will now open the floor for questions and answers.

Moderator: Thank you very much. We'll now begin the question and answer session. The first question is from the line of Siddhant Dand from Goodwill Securities. Please go ahead.

Siddhant Dand: So my first question was employee benefit expenses have really shot up this quarter, and it's

our highest ever for any quarter. So any reason as to - any one-off? Or is it a higher expense in general?

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Mithun Chand: No, that is a continuous trend what we are seeing in the last five to six quarters, as we are increasing the headcount and that's reason the employee cost is going up.

Siddhant Dand: We can expect it to be around Rs. 3500 lakhs

Mithun Chand: Yes. Rs. 3500 lakhs.

Siddhant Dand: Okay. My second question is on a longer term three, five -year basis, how much can we expect our R&D expense as a percentage of sales to be because it has gone up over the years?

Mithun Chand: If you see in the last five years, we have spent close to Rs. 200 crore.

Year -on-year basis , it's coming up to like 5% to 6% of our total revenue.

So I think this will continue. And going forward, the trend will continue.

Further, it may go up.

Siddhant Dand: Okay. Any views on new genetically modified seeds that can be allowed in the market by the government? And when can we expect th at to happen?

Mithun Chand: As of now, we are not working on any genetically modified crops.

Working in a sense, we are not developing any technology for that. We are dealing in cotton crop, which is only one crop which is genetically modified crop. But recently, they had a n argument in the Supreme Court regarding the genetically modified mustard but the judgment is reserved. Based on the judgment, new technologies may come for it and the government is favo uring for new technologies. So I think if that is clear, most of the t echnology is going to come to India.

Siddhant Dand: So how quickly can we ramp up in case of mustard or a maize or any crop that is allowed? Can we ramp it up ...

Mithun Chand: The technology is already available outside of the country and the most of the tri als are also done in India. So o nce it's approved, it may take three to four years to get introduced.

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Siddhant Dand: My other question was, can we expect the promoters to participate in this buyback?

Mithun Chand: Yes. Our offer is that even the promoter w ill participate in the buyback , to what extent, that we 'll decide later on.

Siddhant Dand: I just wanted to understand this accounting query. What is the difference between your CWIP and your biological assets because you have classifie d them as both in th e current assets?

Mithun Chand: Biological assets are the crops, which are, I mean the standing crops which are there in the field. When we give it for the production, some stock wil l be there in the field, so that we call it a biological asset.

Siddhant D and: Okay. And then the RM, CWIP and finished goods will be what assets?

Mithun Chand: That are whic h is already received , which we can physically see that.

Moderator: Thank you. Next question is from line of Yash from Dante Equity. Please go ahead.

Yash: Yes. If you have a retrospective tax on our contingent liabilities for the case that's going on, till what extent are we covered?

Mithun Chand: So what do you mean by that retrospective? We have one case, which is going on, which is already disclosed to th e exchanges and we already mentioned in the annua l report. That's the only thing, which we are having as of now. Any other thing of conce rn, we will definitely disclose

Yash: Yes. So what is the extent of liability if you lose the case?

Mithun Chand: So th at we have given, like for one year financial year, the demand was like for Rs. 65 crore or Rs. 70 crore. I don't remember exactly, that we have already mentioned in the annual report.

Yash: Also, are you sticking with the growth guidance of 12% to 15% consolidated profit and the 12% to 15% consolidated profit growth, does that include the buyback EPS growth or not?

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Mithun Chand: Yes, that's a long-term guidance what we had given. We are still going with the same thing.

Moderator: Next question is from the line of Sanjeev Zarbade from Dream Ladder Advisors. Please go ahead.

Sanjeev: It was regarding the Rs. 1 lakh crore allocation that the government has done regarding the agricultural sector and R&D. Do you stand to benefit from this initiative, sir?

Mithun Chand: Definitely. Anything in agriculture, we will definitely get benefited, may not be directly, but a lot of indirect benefits will be there. If you can give farmer subsidy or if you can provide some sort of an irrigation facility or some sort of logistics or to maintain processing anything in respect to agriculture, definitely that will help us indirectly. As the farm income goes up, definitely the farmers can afford good seeds.

Moderator: Thank you. Next question is from line of Dhruv from Flute Aura. Please go ahead.

Dhruv: I just wanted to understand by what time are we expecting the buyback?

Mithun Chand: So we have already given the postal ballot notice. The results are on February 8th. Once we get the shareholders' approval, after that it may take another one month's time. So most probably, it will complete by March 10th.

Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical. Please go ahead.

Madhur Rathi: Thank you very much for the sixth consecutive buyback, which is the largest in our history. I want to thank you on behalf of all the shareholders for the buyback. Now sir, the concern is that, you are constantly mentioning that we hope to grow by 10%, 15% but in the nine months also, we grew by less than 4.5%, which is less than the rate of inflation. So till when do you think we can again come back to our growth path?

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Mithun Chand: So given a growth of 10% to 12% as a long-term growth, still I'm very much confident that if you take the long-term rate that will match. But based on the seasonality, a year or two, we may lose it, but on a long-term basis, we'll grow in that fashion.

Madhur Rathi: Sir, also wanted to understand that what is our market share in cotton seeds in this financial year?

Mithun Chand: We have close to like 15% market share -- 14% to 15% market share for cotton.

Madhur Rathi: Sir, also, sir, in FY15, we used to have 12% market share in pearl millet. So what is the status of this now?

Mithun Chand: Yes, we are working on pearl millet. There are very good pipeline hybrids in pearl millet. We think that we can get back market share and much higher market share what we used to have earlier. We are pretty bullish on pearl millet and we have already tested a couple of hybrids, which are doing well. We can expect pearl millet sales coming in the next years.

Madhur Rathi: Sir, what is our market share in the current financial year?

Mithun Chand: As of time, it's very low. It's like 2% to 3%, not more than that. But we have huge scope to grow in that area.

Madhur Rathi: So now the thing is that our revenues are flat since FY15. But sir, if we see our R&D expense has increased from Rs. 12 crore to Rs. 63 crore. And similarly, our employees have increased from 814 to 1,275 people. And so similarly, our sales promotion, farmer meeting expenses, staff and dealer meeting expenses, everything has gone up. So now the thing is that we are spending more on everything, then why are we unable to get the business?

Mithun Chand: So if you see the '14, '15, the mix was like more than 75% was from cotton. The other crops contributed only 25% to 30%. The scenario was different. The margins were pretty high in cotton earlier, 35%. But right

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now, if you see, the cotton margins are like only 15% odd. And if

you

see the present composition, cotton hardly contributes 35% and we are growing in all other crops except for cotton, where we have declined.

And so that's the reason for the flattish revenues and being normal for the last 10 years. But if you see other crops, if you take minus cotton, we are growing in each and every crop. The other thing regarding the costs, it is quite visible that how much we are spending on R&D. We have increased our headcount. We have increased our -- I mean to say, like our network.

We have more dealers now than what we used to have in 2014, '15. But as we said, we are working for the future. We are very confident about our product pipeline. And what we are spending now that will be reflected in the future growth.

Moderator: Thank you. Sir the line for the participant dropped. We move to the next participant. Next question is from the line of Rohan from Turtle Capital. Please go ahead.

Rohan: Sir, lately, our market share in cotton in Andhra Pradesh and Telangana has decreased. So whom have we lost our market share to? And what can we do to recover that market share? And do we have already plans to recover our market share?

Mithun Chand: So basically, across India, the majority of the market share was taken by RASI, one of the companies. Here also, RASI is the main player. And we are pretty confident about, as I said earlier, we're very confident about a new pipeline of hybrids where we can think that we can get back on market sharing going forward in cotton as well.

Rohan: Are you saying that RASI is a market leader?

Mithun Chand: Yes.

Rohan: Okay. And lately, we are also having issues with illegal cotton seed. So how big is illegal cotton seed as a market?

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Mithun Chand: As a percentage, it remained same over the years, like 8% to 10% that remained same for over the years. But going forward, once the new technology comes in, we might not see this illegal cotton. So I think that will remain sideways for the next year or two on a percentage wise.

Rohan: Yes. So for a year or two, the market share of illegal will be sideways, but afterwards, it can reduce?

Mithun Chand: No, what I mean to say, as the technologies are pretty old. That's the reason we are seeing illegal cotton. Once the new technology gets into place, then we don't see this type of illegal product coming in.

Rohan: Okay. So another question is that what are the challenges you are having in scaling vegetable business because in the last few years, it has not grown very highly but you are lately saying that you want to double it up or grow 25% to 30% in three years. So what are the actions you are going to take? What are the new hybrids you are going to bring in vegetables?

Mithun Chand: If you recollect what we are saying is that in vegetables we will grow at year-on-year at 20% to 25% for the next five years. For last year, we were a bit flattish. I mean to say we just grew by 7% to 8%. This year, we have grown by almost like 10% to 12% as compared to previous year. But as it stands, as I said earlier, because we are more dependent on season and climatic conditions, some years might be good and some years might not be.

But as a long term, you see that we'll attain in that 20% to 25% growth over a five-year period of time that we are pretty confident and we are already seeing the results for that.

Rohan: Okay. And on export side, what are the geographies that you are targeting for export? And have you created any crop or vegetable portfolio that you want to focus on in export side?

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Mithun Chand: Yes. Basically, in vegetables, we are considering on gourds, tomato, hot pepper and okra. So these are the crops we are already exporting also. We have done Rs. 1 or Rs. 2 crore of exports

of vegetable this year as

well. So if you see our export sales have increased comparatively than previous year.

We are considering countries like neighbouring countries, especially Bangladesh, Nepal, the other countries like African countries and countries like Indonesia and Thailand.

Rohan: Okay. So are you also focusing on field crop side for exports? Because America is a bigger market.

Mithun Chand: We are mainly focussing on crops like rice and maize. These are the two crops which are there in the countries where we are operating, and we are targeting those markets. This year we have done sunflower also. Yes, we have sent sunflower to Tanzania. I don't think that might come next year because it's a one-time sale what we have done and that's a government order.

Further going down the line, if we get a government order of that size, we can do. But otherwise if you take that out of the entire export sale, from Rs. 20 crore, we'll be having that Rs. 45 crore, Rs. 50 crore of exports this year, minus government sale.

Rohan: Okay. And in next three to five years, how big can export be for us in revenue size, like how big it will contribute?

Mithun Chand: What we are seeing is that export from last year, it was around Rs. 20 crores, Rs. 25 crores, we feel like, it should cross more than Rs. 100 crore, in the next three to four years.

Moderator: Thank you. Next question is from the line of Ankit Gupta from Bamboo Capital Partners. Please go ahead.

Ankit Gupta: Yes. So we are likely to end this year sale of around Rs. 1,150 crore and almost I think the sales, which we had done in 2015. So Mithun, from Kaveri Seed Company Limited
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here on, will it be possible to reach Rs. 2,000 crores kind of revenue over the next three to five years? And if it is, which all segments are expected to contribute towards it?

Mithun Chand: From here, from taking the base year of '24, up to 2030, we can easily reach Rs. 2,000 crore. We have a very good pipeline. And as I said, these are the three main crops, field crops like cotton, maize and rice and other crop is vegetable, these four will contribute to the majority of the growth. And on the crop, what I mentioned above, we have very good pipeline coming up.

We have very good hybrids, which we are there already trialling, so we are fairly confident that we can go back to our main market shares, and we can further increase our market shares also. From here on, Rs. 2,000 crore, it looks quite possible and not far away.

Ankit Gupta: So if you look at it, cotton sales that cotton, of course, because of the price controls, revenues have fallen, but even our volumes have not grown over the past seven to eight years. Even if I look at maize, there's hardly any growth in volumes that we have seen in maize and revenue also in 2015 was around Rs. 160 crore, which last year was around Rs. 230 crores. So what efforts are we taking to grow these two segments for cotton and maize specifically so that our revenue can touch the guidance that you have given?

Mithun Chand: If you see maize, it was like Rs. 130 to 140 crores at that particular time, maize today 9MFY24 was at Rs. 198 crore. And if you take rice, rice was hardly Rs. 20 crores, Rs. 30 crores at that particular time. Now, it's more than Rs. 225 crore. Vegetable, we were zero. Now we will be closing around Rs. 50 crores, Rs.55 crore of vegetables.

So except for cotton, on as a crop, we have grown. And we are very

confident that we'll grow going forward. Cotton, one thing; the acreages were down. I rightly said, because of the price control order and all other things, the margins were down in cotton. The overall acreages were down. And over and above that, we lost some market share in cotton.
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So three, contributed for a decline

in cotton. But going forward, what we see, we have very good average. We have enough pipeline. We're already testing a couple of hybrids in Northern India also, which are doing well and in central base also. So in the next three to five years, we think that we can get back our market share to what we used to have earlier, like the 20%-odd market shares and we are fairly confident about that.

Ankit Gupta: Okay. Cotton, we can understand, but even in maize, we haven't done well over the past seven, eight years.

Mithun Chandra: So maize, I just need to check it out. Maize is like for Rs. 140 crore to Rs. 250 crores now.

Mithun Chandra: That was one year where we had one huge sales that was in 2013 or 2014, after that it came down, but the portfolio has also changed now.

Earlier, the entire market share was in Karnataka and Andhra, combined Andhra but now we are expanding across India and our market shares are up and we're all moving to single crop hybrids.

Ankit Gupta: Okay. What is the market size of rice seeds and vegetable seeds in India?

Mithun Chandra: Market size, like 8% is like hybridization, you can see 55,000 tons of rice, 55,000 to 60,000 tons of rice of hybrid rice. And vegetable market size is close to Rs. 2,500 crore to Rs. 3,000 crore, slightly above than that.

Ankit Gupta: Okay. Even in vegetables, although we were hardly present in vegetables in FY15. But over the around seven to eight years, our sales have hardly grown to let's say we'll end up this year with somewhere around Rs. 60 crore. So, although this has gone from nil to Rs. 60 crore, but its impact on our overall revenue hasn't been that significant.

Mithun Chandra: So one thing. As I said earlier, cotton has contributed to 75% of the total sale in 2015, 73% to 75% of the sale. That's come down to 35% now as a percentage. You can see the growth in other crops. Yes. That's the main

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difference as of now. But if you see any crop portfolio minus cotton, they are growing in a good pace.

As going forward, you can see that what is the amount that we have spent in the last five, six years in terms of the R&D or in terms of the headcount we have in terms of the increase the market presence, increasing the network and setting up these facilities. And if you see the grower base of more than 1 lakh acres.

So that shows how fast we are going on all the crops except cotton. But as the cotton is a major portion for the company and for the industry as well, so from the cotton also we will grow in the next years to come. So that the entire growth will come going forward.

Moderator: Next question is from the line of Udhayaprakash from Value Research. Please go ahead.

Udhayaprakash: I know that you already answered the question on exports. But if you could give us a little bit on what is the contribution of exports to total revenue on a nine-month basis. And what is the growth too year-on-year?

Mithun Chandra: So for the nine months, we have done around Rs. 40 odd crores, but -- it was for the entire year Rs. 22 crore last year. It is almost like doubled this year, INR40 crores. And we will end up in between like overall for the year, it will be around Rs. 60 crore of exports because some orders are pending.

So we'll do that. Out of which Rs. 15 crore to Rs. 20 crore of exports are a onetime sale, as I said earlier, what we have done doing sunflower, we have shipped one to Tanzania. That may not come next year. But overall , we are like 75% to 80% more than last year.

Moderator: Thank you. The next question is from Sandeep Abhang from LKP Securities. Please go ahead.

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Sandeep Abhang: I'm saying I had a question regarding non-cotton volumes. So your non-cotton volumes have grown significantly in the past

five years. We may

see in the hybrid rice and in vegetables as well as in election time. So I just wanted to have an outlook going forward, like how big we are seeing in terms of the non-cotton. Apparently, it is contributing around 65%.

Are we expecting similar kind of contribution going ahead like in the next two to three years? Or it will like go past the 65%.

Mithun Chand: So what we see is that as we were saying earlier, cotton should contribute in between the 30% to 35% because cotton is a very big market. And from the base where we are right now, I may not comment upon in a year or two, but down the line, we have a huge scope of doing cotton also. So I don't think the composition will change much. It will be in that about 70% and 30%. 30% will be around cotton and 70% will be non-cotton.

Sandeep Abhang: Okay. And secondly, I have a question

Mithun Chand: As we see growth in cotton also, that's the reason we say that cotton will also contribute to that 30% going forward. In the next...

Sandeep Abhang: Okay. So we can expect a 70-30 kind of ratio going forward?

Mithun Chand: Yes.

Sandeep Abhang: Okay. And secondly, I have questions regarding your margins vertically, can you give some clarity on your margins in hybrid rice, maize, vegetables, like you say in the quarter you have 15% approximately margins in cotton. So can you give some like the ballpark number in terms of margins in your verticals, like if you can give us an idea

Mithun Chand: You see our EBITDA margins are in between the 27% to 28%. It was in last four to five years between 27% to 30%. So in cotton, we are in between the 15% to 18% margins. And non-cotton segment we'll have that 35% to 40% segment. Even in each crop, each hybrid has got a

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different margins. So overall I am just giving a benchmark of the 35% to 40% EBITDA.

Sandeep Abhang: Okay, okay. And is that -- do we have high margin in hybrids, hybrid rice and vegetables? Or is it kind of in the similar space?

Mithun Chand: Usually the margins are a bit high in vegetables, but the volume is very low. As of now, we are operating as a separate division. So the expenses are also pretty high. Once the volume and price goes up, then the chance of margins going up are pretty high.

Sandeep Abhang: Okay. And just ending in the same note, like in the same verticals, like how is the overall market share, like in hybrid rice and selection rice and maize, if you can give some clarity on that?

Mithun Chand: Maize, roughly, we have 8% to 9% market share. Hybrid rice, we have 10% to 11% market share. In selection rice, we have 10% to 12% market share.

Sandeep Abhang: Okay, sir, that's very helpful. And overall, how is the realization in terms of value growth as well, like are you seeing good value growth across your non-cotton portfolio? I just wanted to take a view on the value growth, how is the value growth doing?

Mithun Chand: Volume growth?

Sandeep Abhang: Value growth, value growth. Like volume growth, I'm not talking about volume growth, I'm talking about the value growth, the realization

growth in the realizations across your non -cotton portfolio?

Mithun Chand: So as I said that we work on margin in between that 35% to 40%, in between 30% to 40% crops. So that will remain the same going forward also. But as most of the costs, you can see the headcount and if you see, the R&D expense are pretty high, even the depreciations are pretty high. Once the sales volume goes up, definitely the margins will be slightly 2% to 3% better than what it is right now.

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Sandeep Abhang: Yes, you have given a guidance of Rs. 2,000 crores by FY 2030. So in that, like what we have seen in FY '15, you had a major contributor cotton. But right now, you

have quite diversified. So how are we expecting the non -cotton portfolio to majorly contribute to the Rs. 2,000 crore revenue? And as well as exports like you said exports would be around 100% and all. So how would be the split of domestic and export and how much will be the cotton and non -cotton, like on the Rs. 2,000 crores?

Mithun Chand: So majority of that will be a domestic one. We see at least like 7% to 8% from the export market like around Rs. 150 crores from the export market. But as I said, the composition will be 30% to 70%; even in that scenario, 30% will be from cotton and 70% will be non -cotton.

Moderator: Next question is from the line of Amit Doshi from Care Portfolio. Please go ahead.

Amit Doshi: Sir, recently, there's been news about this maize in focus going for this ethanol production and the news that sugarcane farmers are also shifting to maize crop. So do you see anything on the ground, just want to have your comments overall on that and impact on Kaveri?

Mithun Chand: So maize is a very good crop both in terms of climatic conditions and in terms for the farmers. And with the ethanol coming up, as of now the estimated is like 1/3 of the total production is required if all the plants are commissioned. And going forward, we see that the maize acreages may go up and that will help definitely Kaveri because we are one of the major players in maize. So that will definitely help Kaveri also.

Amit Doshi: And do you see that thing changing on the ground in terms of farmers shifting their sugarcane crop to the maize?

Mithun Chand: It's too early because the plants seem to be commissioned. But down the line, we will definitely grow.

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Moderator: Next follow -up question is from the line of Madhur Rath from Counter Cyclical. Please go ahead.

Madhur Rath: So I was talking about a news article which appeared recently, which said that Nuziveedu seeds will double their revenues in 5 years and they hope to recoup their lost market share in cotton from 15% now to 30%, and we are also more or less talking about the same thing. So I mean, everybody cannot take market share because the market is constant. So basically, what edge do we have vis -a-vis the competition? And sir, what has changed in the past 2 years that market share that we have lost in cotton, what gives you confidence now that this will get reversed?

Mithun Chand: I may not comment about the other companies about their projections and what they do. But coming back to Kaveri, we are pretty confident about our hybrids. The entire projection base or entire comment what we are doing as of now, it's only on the basis of the hybrids, which are there in the pipeline. So we are seeing the performance of the pipeline hybrids, we are pretty confident that we can go to those levels.

Madhur Rath: Okay. And sir, there was like news articles regarding the cotton association telling that the seed production would be 30% to 40% less in this Kharif season. So do you see an impact of that on our seeds?

Mithun Chand: I may not say that 30% to 40% down but this as slightly lower as

compared to last year production, overall cotton is down, down for this year, but going forward, even I see the same issue for the next year as well because we see a shortage in the seed.

Madhur Rathi: And sir, what about our production?

Mithun Chand: As of now, we have not received the entire production, even we will be also shortage of that seed. But as of now, we are still receiving in this year, and we are testing the quality of it. Once we get that report, we'll let you know. By next quarter end, we'll give a clear picture for that. But as of now, initially, what we say is that even our production got impacted

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that we were saying for the

last 2 quarters, to what extent, that we need to see.

Madhur Rathi: And sir, do we see some kind of price spike in this year Kharif season as well as the next year when the production will be down?

Mithun Chand: I don't know. Again, it's all again the government need to decide, the central government need to decide on the pricing. We need to see that. But definitely production costs and everything has gone up. So in that view, the price also needs to go up.

Moderator: Next question is from the line of Mohammed Patel from Care Portfolio. Please go ahead.

Mohammed Patel: Can you give some more qualitative details on the production in the pipeline, both cotton and non-cotton?

Mithun Chand: So this year, the entire production, both cotton and non-cotton got affected. But in non-cotton, we have enough inventory, enough production, we have planned in different locations. So we are quite saved when compared to industry. But in cotton, as the areas are very limited, we got affected in cotton production.

To what extent, that only after the next 1 to 2 months, you can get to know because as we are yet to receive the stock, we need to test for the quality. Then only we can get to now. But for sure, we have been impacted. To what extent that I can give in the next 4 or 5 weeks later.

Mohammed Patel: So you are saying that FY '25, the cotton sales could get impacted because of this?

Mithun Chand: Yes, definitely. To what extent, I don't know, but whether we'll have the same level of production or slightly above or lower 5 to 10% that we need to see.

Mohammed Patel: Okay. Can you give some more details on the pipeline, both cotton and non-cotton, based on which we are confident of growing?

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Mithun Chand: So we have a very good pipeline in hybrids, both cotton and non-cotton segment in all the crops, in fact, we have been in different zones, as I said earlier, we had tested one in Northern India, one in Central India. So we see a good performance as of now, and we are pretty confident about that.

Mohammed Patel: Can you share the number of products in pipeline for cotton and non-cotton?

Mithun Chand: That's a different thing because there are a number of products. So only one or two will be there. So once we launch officially, we can share the number of products.

Mohammed Patel: Okay. And next question is, how many products have we launched in FY '24?

Mithun Chand: I just need to take the figures, but across the crops, we might have done like 12 to 14 products approx.

Mohammed Patel: Okay. And how much do we expect on...

Mithun Chand: Just we need to check on that number. Usually, we don't track that number, how many products because we have got like 8 to 10 crop portfolios. For example, only in vegetables, we have 10 crops. So each

crop will have different hybrids in different segments. So usually, we don't track that number.

Mohammed Patel: But do we expect to launch more than 12 to 15 products on an annual basis?

Mithun Chand: That's a minimum number what we test every year. That's just a minimum number of what we do every year. So tracking that number will not give any figures as such.

Mohammed Patel: Okay. So I just wanted to understand out of this 4% growth that we have done in the 9 months, how much of that would have come from the new products?

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Mithun Chand: That we have already given in the presentation, each crop has got a different contribution. What we see is a new introduction, new products, everything has contributed more and each crop details, we already shared in the presentation.

Moderator: Thank you. Next question is from -- next follow-up question is from the line of Sandeep Abhang from LKP Securities. Please go ahead.

Sandeep Abhang: Just had

a follow-up question on the size of the market, like can you give a number in terms of how big is the unorganized market like versus organized one in the seed, hybrid seed market?

Mithun Chand: Overall Indian seed market, we are estimating around Rs. 55,000 crores to Rs. 6,000 crores, out of which hybrid seed market, most of that is organized market, it's like around Rs. 22,000 crores to Rs. 25,000 crores.

Sandeep Abhang: Okay. So almost half of it is organized and half of it is unorganized?

Mithun Chand: Yes. Basically, the unorganized market is there in varietal crops, wherein unorganized is the sense that the farmer reuses his own seed, but basically in the last 15 years, the seed replacement ratio has also gone up to 60 to 65% level from 20% to 25% levels. So they are all moving to the organized market.

Sandeep Abhang: Okay. So what is the seed replacement pattern in the non-cotton portfolio, like across your non-cotton portfolio?

Mithun Chand: No. Only in varieties we talk about seed replacement ratio, whereas in hybrids, there are 100% seed replacement.

Sandeep Abhang: Okay. And just to understand the hybrid penetration of like you mentioned in hybrid rice, the hybrid penetration is still 6% to 8%. But what is it for non-cotton portfolio, how is the hybrid penetration in that area?

Mithun Chand: So the rice is also year-on-year increasing but not to the pace as we thought, but right now it has reached like 8% to 10% of the overall

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portfolio. Whereas in maize, it's almost like 75% to 80% is hybridized. So majority of that is already hybrid. Only area which is not hybridized is rice. That is slowly going up.

And there are different reasons for that because there are different segments in rice, we are yet to get good hybrids which can replace varieties which are high yielded there. But year-on-year, it's changing, and we see a huge potential in rice. And going forward, it will definitely increase.

Moderator: Next follow-up question is from the line of Siddhant Dand from Goodwill Warehousing. Please go ahead.

Siddhant Dand: I just wanted to understand what the worst case scenario that cotton will be affected this year?

Mithun Chand: As I said earlier, it's too early for us to say. But might be a 5% to 10% plus-minus than the previous years.

Siddhant Dand: Okay. I just had a question that in case there's a proper disaster or something, do we have insurance over our crop or something like that?

Mithun Chand: We had some but not successfully done here. We don't have insurance

for that.

Siddhant Dand: Okay. Apart from that, the rice, there's some restrictions on rice exports, will they affect the production or sale in the year?

Mithun Chand: I don't think so because what we are doing is hybrid market. So the exports imports, that's the government policy, usually that will not impact the acreages as such when we have seen the acreages in the rice in the last 15 to 20 years, it remained stable at that 40 to 44 million hectares.

Siddhant Dand: Okay. Are we present in Basmati over there?

Mithun Chand: Right now, no. but we are working on Basmati also.

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Siddhant Dand: Okay. Any potential market size for us in Basmati?

Mithun Chand: Yes. Potential is already there, but usually, we are working on the hybrid, which has got major market shares like medium slender or something like those type of grains maturity. We are working on those.

These are very niche markets, very specialized markets for that. We are doing well, but our main focus is on the mainstream.

Moderator: Next question is from the line of Anurag Jain, Individual Investor. Please go ahead.

Anurag Jain: My question is, in the quarter gone by, how has been the performance of mustard seeds?

Mithun

Chand: Mustard is good. We have tested one hybrid last year. That's still in a trial, trialling stage. It's still in sleeves. Last week, we visited, but it's good, it's doing well. Mustard is a crop which will have a good scope in India, and we are working on hybrid mustard. So definitely that will also contribute going forward.

Anurag Jain: Okay, sir. And one earlier answer, I wanted to clarify on the R&D expenses, the R&D expenses are around 5% of sales. And you mentioned that you expect this to increase. So at what level do you think this will stabilize; R&D expenses as a percentage of sales, at what level they will stabilize from the current 5%?

Mithun Chand: So it might go up to 8% to 9% going forward, that includes your capital expenditure.

Moderator: Thank you. Next follow-up question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: So, my question is, looking at your commentary in the current call and in the past, essentially three things are clear that you will gain market share in the cotton side. And then I think your non-cotton portfolio will grow at 15% to 20%, all put together. So non-cotton has a higher margin.

So I'm slightly not sure how to read into that 12% to 15% growth

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guidance because if you put this all together, I think it should be higher.

So am I missing here?

Mithun Chand: So that's the guidance what we have given right now. So 12% to 15% is what we see. The next six years, it is almost like 70% to 80% growth.

Dhwanil Desai: Okay. But is it fair to assume that your non-cotton portfolio will grow at 15% to 20% because your export and vegetables will grow at much faster pace?

Mithun Chand: Yes, that's all comes to the non-cotton segment?

Dhwanil Desai: Okay. So by saying that non-cotton as a segment can grow at 15% to 20%, is that a fair assumption?

Mithun Chand: So what we say is that overall, as a company, we will grow in between the 12% to 15% growth for the next 5 to 7 years. And the percentage will be like 30% cotton and 70% in the non-cotton, the mix might remain same.

Dhwanil Desai: And I think you guys are at 8% to 9% in the maize and in the hybrid, right, I think you said around 10% market share. And we have been in

both these segment for a long time. So how do we see room to increase our market share from 10% to like 15% to 17%? What are the levers to do that?

Mithun Chand: One thing the maize market itself is expanding. We may not be necessarily that from the other market share we'll take it. If you see in the last 7 to 8 years, it has gone up by 20% to 30%. And as a trend as an industry, what we see, they give a growth rate of 7% to 10% for the next 20 years for the seed industry. So we'll grow in that respect as a company as we are there in money crops. We are adding new portfolios, which aims between the 12% to 15% growth for us. And by seeing the pipeline hybrids and wherever what we have done in the last 5 to 7 years, we're pretty confident that we will reach the position what we are at this now.
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Moderator: Thank you. Next question is from the line of Manish Shah, Individual Investor.

Manish Shah: Sir, our seed business, cotton seed business might be affected due to lack of production. You told that it should be minus 5% to 10% but it should be maximum minus 5% to 10% or it can go more, sir?

Mithun Chand: As of now it looks like that. As I said earlier, it may take like other 3 to 4 weeks. But as of now initial like 5% to 10%.

Manish Shah: So 5% to 10%, I think it's the normal. I think every year 5% to 10%, even the acreage is also dropping by 2% to 3%. So I think 5% to 10% should not be an issue

Mithun Chand: Usually we maintain inventory. This time based on that inventory and

everything, we are getting short of it. But I tell, it's too early for me to say, but as a guidance, I'm just saying, but I will get to know only after 3 to 4 weeks later.

Manish Shah: But sir, if the production itself is affected in the whole industry, then the acreage should also get affected and farmers will go for other crops. So what do you think the other crop should be?

Mithun Chand: Usually, in the inventory, as an industry, they have 15% to 25% more inventory than required. So the acreages what it was laid, it may remain same or slightly come down by later. But this time, for a good quality seed, there will be shortage. I mean to say that my hybrid is in demand. I may not be having those hybrid seed, but a different hybrid seed will do.

Manish Shah: So do you think the price should go up then?

Mithun Chand: I said it's a government controlled thing. And it being an election year, I'm not particularly sure how much will it go up.

Manish Shah: Sir, what are the other products which we are going for in this Kharif season? Other big launches?

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Mithun Chand: So basically, we are there in rice, maize and other crops. So all other crops will do well. We don't have any issue with the inventory.

Manish Shah: And sir, one thing I wanted to ask you is that the cash on book size has dropped from quarter-on-quarter. What is the reason, sir?

Mithun Chand: What was that on September?

Manish Shah: Yes, it was from Rs. 787 crore. Now has come to Rs. 587 crores.

Mithun Chand: We may have done some investments. I mean, we have made some farmer payments, production cost, inventory we will be receiving it, the payments we have made.

Manish Shah: So you are building up inventories?

Mithun Chand: Yes. This is the time we pay for the inventory.

Manish Shah: Sir, what are the other new products which will be targeting in this Kharif season like new hybrids or something other new products, special products or something like that?

Mithun Chand: No, all whatever products we launch will be in those hybrids in those

crops where we are dealing with. As I said, like rice, maize, cotton and vegetables are the major crops where we focus on and that there, the launches will be also there in these crops.

Manish Shah: And sir, one more question about the consolidated employee cost, which has gone up by 30%. It should be because of some temporary hiring or something like that or what?

Mithun Chand: No, we have had many people in R&D. We have increased the same to close to 200 now. And we have appointed many people across in all locations. So that's the main cost for us.

Manish Shah: So that would be a permanent cost now?

Mithun Chand: Yes, That will go up.

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Manish Shah: So what is the reason for hiring -- are you very hopeful of the next year? Or what is the reason?

Mithun Chand: This is a continuous activity, we have developed many hybrids. We are marketing in to areas as of now. That's the reason the headcount and the salaries year-on-year, both are going up.

Manish Shah: So we are pretty confident that next 2 to 3 years will be very good?

Mithun Chand: We are pretty confident about our business, not for just 2 to 3 years, on a long-term basis, also, we are very confident, bullish on business.

Moderator: Next question is from the line of Udhayaprakash from Value Research. Please go ahead.

Udhayaprakash: Yes. Sir, I just want to ask if you could elaborate between what is the difference between the selection rice and hybrid rice. And what is the margin profile? Is it same or are they different?

Mithun Chand: Hybrids are nothing but where two different parents are involved. Selection rice is like the varieties. That's it. But these are the varieties which are developed by o

ur own company , that is the reason they are called the selection rice.

Udhayaprakash: And the margin profile for both, is it same or is it different, sir?

Mithun Chand: Hybrid rice has got a slightly higher margin.

Udhayaprakash: Sir, the last call, you had stated that we focus more on vegetables not just because of the margin but also because it is not as seasonal as other crops. And also the use cases in most states as compared to other crops. So do we have to special focus for the supply chain in order for the growth to territory of the seeds or what are we trying to do there on a supply chain front for vegetable seeds?

Mithun Chand: So we have a separate division for vegetables even though that is part of Kaveri. It's 100% part of Kaveri, but we run it as a separate division because as I said, it's a year-long crop. The payment, the collection, the Kaveri Seed Company Limited

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crop cycles are entirely different. That's the reason we have set up a new team for that for the last 6 to 7 years. That's how they are running the business that operates independently.

Udhayaprakash: Okay. So my next question is also in the last few years, hybrid rice and selection rice have been the growth driver for us and since after 2015 the focus on cost then started shrinking. So do you believe that rice will be the growth driver going forward or do we have identified any specific growth driver or all the crops that you're focusing on, we are betting on them for future growth?

Mithun Chand: So we, as a company, we are there in many crops and all crops are important for us. But based on the conditions like acreages and conditions, these are the 3 main crops; cotton, maize, rice and all vegetables including. These are the 4 main crops, which we need to focus on. And majority of the growth will also come from this because the other crops are also there like mustard, like pearl millet, Sorghum, Sunflower. But the overall size, overall size of the market to the entire

seed market is very low. Even though we are big in that, we cannot make a big impact in terms of the revenue. But these are the 4 crops where we have the growth and which should contribute to the major revenues. Saying that, we do not regress those crops also, we are working on those crops also.

Udhayaprakash: And so sir, is it safe to assume that whatever R&D that we are going to do going forward in 3 to 4 years, it is for 3 to 4 crops, it appears. Is it safe to assume that?

Mithun Chand: So we are doing R&D in many crops. But as I said, as these 4 crops are contributing to 80% to 85% of our sales, even the R&D spend will be 80% to 85% on these crops only.

Udhayaprakash: Okay. And finally, my question is on exports. Can you give the revenue contribution to export on a 9-month basis? And what has been the year-on-year growth?

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Mithun Chand: So overall, the growth is like 140% like or so. The production, the overall export for the 9 months is Rs. 40 to Rs. 45 crore. But I think we have given in the slide in the presentation also, but for the entire year, it should be around the Rs. 60 odd crores, it will be like 4% to 5%.

Udhayaprakash: Okay. And finally, you've answered this enough, but it's hope that interpreted the idea. So in 2015, let's say, till TDM basis, our revenue has been around the same level, and that is mostly because of the contribution of cotton has fallen over the years. But on the other crops also, we had to start almost from scratch and only now let's say, we have a very established trends on all the crops. So can we say that this stagnation won't persist going forward now given that we have good presence in all the segments?

Mithun Chand: So as I said that like more than 70% was contributed by cotton in 2014, '15. From there

now 65% to 70% of the total volumes or the total revenue is contributed to noncotton crops. Even in non-cotton crops, we are having portfolios like rice, which was very low earlier, then vegetables which also we have added. So in that way, we are focusing on more crops and we are increasing revenue in most of the crops where we are operating.

Cotton is the only product where we have lost our sales and revenue and margins. Even in these tough conditions, we were able to maintain the entire margins. If you go back to those levels, the EBITDA margin was around 30 odd percent. Now also with very low margins in the cotton, we are able to maintain the 27% to 30% EBITDA. And if you see the R&D spend or if you see the infrastructure and the head count what we have now as compared to 2014 and 2015, it is pretty high now. I have rightly said that employee costs sits at double or triple as compared to those levels.

So what we see as we are adding more crops, we see good years going forward. And whatever we had spent in the last 5 to 7 years that will convert to revenue in the next 5 to 10 years.

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Udhayaprakash: Okay sir. Thank you. That's it from my side.

Moderator: Thank you very much. As there are no further questions, I thank all the participants for joining the call. For further information, please be in touch with Rama Naidu from Intellect IR on 992-020-9623. On behalf of Kaveri Seed Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

27th May 2024

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q4 & FY 2023-24 Results Conference Call on
Thursday, 23rd May, 2024 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q4 & FY 2023-24 Results Conference Call made on Thursday, 23rd May, 2024.

The transcript and audio is uploaded on the Company's website as well on below link:

https://www.kaveriseeds.in/wp-content/uploads/2024/05/EarningCallTranscript_23052024.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited
Q4 FY'24 Earnings Conference Call"
May 23, 2024

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Kaveri Seed Company Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference call will be recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director. Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.

I would now like to hand the conference over to Mr. Mithun Chand.

Over to you, sir.

Mithun Chand: Thank you. Good evening, and welcome, everyone, to our quarter 4 and FY '24 Earnings Conference Call. We hope you had a chance to review the presentation of our results, which is also available on the website. I will touch upon the operational and financial performance of the company and then open the floor for the question-and-answer session.

Financial highlights for financial year '24. Revenues from operations were at Rs. 80.54 crores as compared to Rs. 60.64 crores in Q4FY23, grown by 32.82%. EBITDA was Rs. 15.5 crores as compared to (Rs. 6.73) crore last year, registered a growth of 3.32 times. Net profit was at Rs. 2.79 crore as compared to a loss of (Rs.13.89) crores, in Q4FY23, grown by 1.2 times.

Cash on the books stands at Rs. 443 crores in FY24 as against Rs. 538 crore in FY23. Revenue from operations were at Rs. 1,062.43 crore as compared to Rs. 1,000.56 crore in FY23, grown by 6.18%. EBITDA was at Rs. 336.63 crore as compared to Rs. 296.94 crore in FY23, grown by 13.37%. Net profit was at Rs. 293 crores as compared to Rs.267.04 crores, registered a growth of 9.72%.

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I'll just highlight some of the major highlights. Witnessed an increased trend of vegetable segments doing well on both volume and revenue trend on account of increasing share of new variants launched during the year. The volume increase in vegetable crops have resulted in good realizations. Other segments with cotton, hybrid rice and selection rice realizations were higher due to demand for these seeds segments and price increases.

Our efforts in the last three years in capturing the market shares in above outlined segments is really paying off. To fast-track company's growth in international markets recently incorporated subsidiary in Bangladesh. Exports are showing good traction and expected to be sizable business. In our endeavour to reward our shareholders, the company had done a buyback of 44.83 lakh shares at Rs. 725 per share announcing amounting to Rs. 325 crore.

Some of the operational highlights. Cotton volumes were stable, but revenue increased by 3.37%. Selection rice volumes are stable but revenue increased by 10.43%. Maize revenue increased by 2.79%. The contribution of new products was up from 33.87% to 47.96% of the total volumes in maize crop. Vegetable seed sales volume increased by 19.79% and revenue increased by 23.69% as compared to last year. Vegetable crops like bitter melon, tomato, okra and watermelon had shown good performance this year. Exports increased by 250% as compared to last year.

Now I would like to open the floor for question-and-answer session.

Moderator: Thank you very much. The first question is from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: I had a few questions, one regarding the Bangladesh market and remaining related to core products in India. I'll start with the Bangladesh market questions. Sir, I just want to understand that cotton in Bangladesh, the BT, if I'm correct, has been approved. Is that correct? Or is it still at an approval stag

e?

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Mithun Chand: I think they are approved, but as far as the license agreement, we can't export to any other country apart from India. We need to sell only in India. So we are not doing any cotton sales in Bangladesh as such.

Nitin Awasthi: Okay. There are universities which have tied up with companies and

they have developed traits of Bt. Can you do something like that and export to Bangladesh or you have to do that with the university or any organization in Bangladesh?

Mithun Chand: So basically, as of now, we are not looking for cotton as such in the present couple of years, but Bangladesh market is growing big. And we were doing a business from India. We are willing to add distributors and they were selling. So we want to pick up our own brand, develop our own brand and research there. So that's the reason we have set up a subsidiary company. So it may take two to three years to get the entire base and first, we will do marketing, then we will start research there.

Nitin Awasthi: Okay. Understood. So basically, the business as of now is just export and people can brand in their own brand and sell it in Bangladesh. The move is within two to three years to convert that into your own brand owned products?

Mithun Chand: Yes.

Nitin Awasthi: Okay. Understood. And cotton market as of now, we are not entering in Bangladesh?

Mithun Chand: Yes.

Nitin Awasthi: Okay. That is the question for the Bangladesh market. Secondly, on the Indian products, cotton market, this year, I think government has not given a very big hike in the approved increase in sale price, it's about Rs. 10 per packet. However, what I have observed is last year's massive hike of around Rs. 40 per packet was not completely gained by the company. So what are we thinking right now that we will be
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able to gain that both of these combined from Rs 810 to Rs.864, if I'm not wrong, where the rates have been changed to, can we still try and get around Rs. 30 or Rs. 25 of this increase?

Mithun Chand: We can definitely realize more than last year based on each individual company regarding the realization. But one thing we need to observe this year, the cotton production costs have also gone up. So a significant hike is there in the production costs as compared to previous year, the Rs. 60, Rs. 70 is more than a packet. We incur more than Rs. 60, Rs.70 per packet. But whatever we try to realize from the market, definitely we will realize more than what we had realized last year.

Nitin Awasthi: Okay. So basically, yes, there is an opportunity to gain more from the customer; however production cost is strongly be high if you are giving that rate. I don't think so that increases ever happened before in production cost?

Mithun Chand: Yes.

Nitin Awasthi: Okay. Understood. Sir, secondly, about the second product, which I want to discuss about a little was about maize. There has been massive campaign from the government side and other agencies to start maize farming in a very big way. And for the first time, we have seen prices stabilize much above MSP and stay there for some time, which is giving comfort to farmers to shift all across India to maize. Are we seeing growth in our segment, are we seeing growth in our demand for our maize seed products?

Mithun Chand: Definitely. Going forward, maize is a very good crop by even government has initiated ethanol plants. So as of now the estimate is like more than 33% of the total production will be utilized by ethanol when it is fully commissioned.

So definitely, there will be more pressure to produce maize. And as a crop now with the stable prices and these are not above the MSPs so it
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is much lucrative for the farmer. So definitely as a long-term crop, not

only for this year, definit

ely the maize acreages will slightly grow up.

And the longer term view also maize is a crop, which will definitely gain market growth.

Nitin Awasthi: As of today, in the market, what is our market share in the maize seed market? And what would be our ranking?

Mithun Chand: As of now in the markets, we are like close to 7% to 8% market share as of now.

Nitin Awasthi: Okay. And that would conclude us at which rank?

Mithun Chand: We are in the top 5 players.

Nitin Awasthi: Top 5. Okay. Understood.

Moderator: The next question is from the line of Sanjeev Zarbade from Dreamladder Investment Advisor. Please go ahead.

Sanjeev Zarbade: Yes, sir. Congratulations on a good set of numbers. Sir, I just wanted to understand your vision regarding the vegetable business and what kind of market size and the business can command in the medium term?

Mithun Chand: Vegetable market is a very interesting market in India. It's growing at much faster than any other crop. Major component in vegetables are chilly, okra, tomatoes and gourds. So these are the crops where we are concentrating much. And in the recent, we have developed good hybrids and even that has given a good performance in the markets. Our production is also stabilizing now in terms of doing that. So we see a very good growth in vegetables going forward. As of now, we are a very small base, but a decent base when compared to vegetable crop, we are close to that Rs. 55 to Rs. 60 crore mark. Definitely, we see a good growth in vegetable segment, at least 20% growth going forward year-on-year.

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Moderator: The next question is from the line of Guneet Singh from Counter Cyclical PMS.

Guneet Singh: Sir, in the balance sheet, we see that other current liabilities have gone up from around Rs. 400 crore to Rs 510 crore year-on-year. So what I would like to understand how much of this is the advances from customers?

Mithun Chand: I just need to check the exact number, it should be close to like Rs. 160 crores to Rs. 180 crores.

Guneet Singh: All right. Rs. 160 crores to Rs. 180 crores. And we are two months in to Q1, right, currently, and this is reported for us. So what kind of demand uptake are we looking at currently based on the current scenario?

Mithun Chand: We see good demand for across all the crops, but the main constraint is in cotton. We don't have enough production for cotton for this year.

That's the only crop where we are seeing a bit of difficulty. Whereas other crops, the demand is also good, and we have enough production for that. So we see good growth coming in other crops leaving cotton.

Guneet Singh: All right, sir. So in terms of cotton, I mean do we expect to maintain the volumes of last year? Or do we see a degrowth?

Mithun Chand: As of now, we see a slight degrowth in that because we don't have exact inventory. We have done 52 to 53 lakh packets in cotton last year. So we have inventory close to 47 or 49 lakhs. I don't know the exact number, something close to that. So we'll be down by 4% to 5% as compared to previous year.

Guneet Singh: All right, sir. And sir, I mean, what would be the main reason for this? We also heard some news of shortage of supply in cotton seeds. So has that impacted the company?

Mithun Chand: Yes, it's across the industry, we see a shortage across the industry. It's not only for Kaveri. We had a very bad year in terms of the production.

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So entire production got affected, it was India. And there was pests infected and different types of difficulty in producing. That's the reason the production is down and the production cost has also gone up. So these are the two impacts of that. Not only in cotton, in other crops also this immense pressure on the production and most of the industry says that this shortage of most popular hybrids. But in some other crops, w

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try to manage it, but in cotton, we are not able to do that.

Guneet Singh: All right, sir. Would we be able to maintain the EBITDA margins of last year in cotton?

Mithun Chand: Slightly down as compared to previous year because as I said that we might realize more in the market as compared to previous year, a couple of rupees having the increase in the price but the production cost has also gone up. So there's a slight impact on the EBITDA margin. But what we see is that, might be compensated with the other crops where we see good growth in other crops. And the cotton is only 30% of our total sale now. The other 70% will see a growth. So we have to be confident that we'll grow across on overall consolidated basis.

Guneet Singh: Right sir. And how do we look at the demand for non-cotton segments, specifically the rice segment, hybrid and selection rice?

Mithun Chand: And the other main crops like maize, rice and what we call it selection rice, even that is also rice. We see good demand in these crops, and we see double-digit growth in these crops.

Guneet Singh: All right, sir. And in terms of realizations for the non-cotton segment, how are they currently? And what that margin should we expect from the non-cotton segment. Do we see any improvement?

Mithun Chand: It should be in line with this year. Even though the production costs are up in those crops, we'll be able to pass it on to the farmer. So we don't see any pressure on the non-cotton segment.

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Guneet Singh: All right, sir. And on a consolidated basis, what kind of volume growth or degrowth are you looking at in FY '25?

Mithun Chand: If you see like non-cotton segment, volume growth is more than 10% across.

Moderator: The next question is from the line of Madhur Rath from Counter Cyclical PMS.

Madhur Rath: Sir, I'm trying to understand that according to news reports, the cotton seed production is down something like 25%. So firstly, I wanted to get your view on that, whether the shortage is actually 25% or thereabout? And sir, if so, then since we are expecting something like 5% volume degrowth in cotton, do you think it can be set off by higher realization in cotton seeds? And sir, also, what was our realization for cotton seeds last year and what is it now?

Mithun Chand: So I think you missed the first question. I've already answered this.

The realization will be slightly higher than last year, but the production costs have gone up. So that will compensate what we try to realize from the market. In fact, there will be some sort of a negative, I mean to say, we may not be able to maintain last year EBITDA margin because the production cost has significantly gone up. Even though we realize more from the market, since we'll have some dent on that.

Madhur Rath: So on an overall basis, in your best judgment for FY '25, sir, you think we can reach around Rs. 300 crores EBITDA that we are doing since last many years, or you expect a fall?

Mithun Chand: So if you see the overall percentage of cotton, cotton is only 30% of our total sales as of now, close to 30%. But we see a good growth in the other 70%. So definitely, we see good year coming. And in terms of what you say EBITDA, definitely, this will be higher than what it is now.

Moderator: The next question is from the line of Rohan Patel from Turtle Capital.

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Rohan Patel: Sir, as of now, what is about cotton market share?

Mithun Chand: We have like 12% to 13% of the total market.

Rohan Patel: And if you see over the period of time, we have lost our market share considerably, like it's half of what we used to be having before, some years ago. So who have we lost our market share to? Is it unorganized players or organized players? What has happened over there? Can you just elaborate it?

Mithun Chand: So I'll just try to correct, we

were never at 25% market share. We were at a market share of like 17% to 18% at peak. Then the cotton market size were also up to significant like 5 to 5.5 crore packets. Now the market size itself is 4.5 crores. The cotton market has declined, and we have lost market share, especially in Andhra where we had more than 40% market share that has come down.

And then cotton was shaken by all other players. And basically, there are one or two companies which have taken the majority of market share.

Rohan Patel: Okay. And are we trying any initiatives to recoup that going back to 17% on pan-India basis?

Mithun Chand: Definitely, because we have introduced many hybrids and still there are some more pipeline headwinds. So we are pretty confident going to that market shares in the coming years. They are very promising hybrids, some are already tested and launched in the market that we are going to see the sale in the next coming 2 to 3 years for that.

Rohan Patel: So it will take us 2 to 3 years?

Mithun Chand: I mean to say, this is the real growth towards that path, you will see in the next 2 to 3 years.

Rohan Patel: Okay. And as of now, what is the share of new products in cotton?

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Mithun Chand: This year, it's less because we were not able to produce the cotton. As I said that there was a tough condition in terms of production. If you see the major markets again with Moneymaker, Jaadoo, and ATM, these are 3 main products which are contributing more. But going forward, there will be other products which will be having a size in total contribution.

Rohan Patel: Okay. And what was the packet sold in 2024 or for the quarter?

Mithun Chand: That is already given in the presentation, it's around 51 to 52 lakh packets. The exact number is there in the presentation.

Moderator: The next question is from the line of Sandeep Abhange LKP Securities Limited.

Krusha Parekh: I just want clarity. So you mentioned that the advance from customers in the other current liabilities is, what's the number this year?

Mithun Chand: It's between Rs. 160 crores to Rs. 180 crores.

Krusha Parekh: Rs.160 crores to Rs.180 crores?

Mithun Chand: I will just find out the exact number, but it will be Rs. 160 crores to Rs. 180 crores. It's as of March 31, we need to see the exact number.

Krusha Parekh: Because I think last year, it was somewhere around Rs. 270-odd crores, if I'm not wrong?

Mithun Chand: Last time also, it's in the same number. Usually, it's in and around the Rs. 200 crores mark.

Krusha Parekh: Okay. So around Rs. 160 crores to Rs. 180 crores is what you're suggesting at. Okay. And second thing, we again got this income tax notice some month back or so. How different is the demand this time versus what we had received in some of the prior years. And I'm sure we are confident on the agricultural income portion of it. But how different it is versus the earlier claims that the department has made?

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Mithun Chand: On the same lines. If you see the previous year and a couple of years back, we had another demand. In the same line, the demand was raised this year, but nothing is admitted. Now the case is one of the cases in the commissioner of Appellate, nothing has gone through, it is still at the initial stages.

Krushni Parekh: Okay. Okay. But, so nothing different right

Mithun Chand: Nothing different. It was all done on the same lines.

Moderator: The next question is from the line of Yogesh Mittal, an Individual Investor.

Yogesh Mittal: I have a question about the vegetable seeds that I know that the company has multiple vegetable seeds as the offering. Out of these, which seeds are companies own development by the R&D and which are from like outside like the license or something like that?

Mithun Chand: More than 90% of the revenues are our own seeds. There are some

seeds like cabbage and cauliflower that we import. But otherwise, it's all our own seeds.

Yogesh Mittal: Okay, sir. Sir, one thing more, last year, what have been invested in R&D expenses, both capex and opex, FY '23 to '24?

Mithun Chand: For the FY '23, the R&D expenditure was Rs. 45 crores to Rs. 47 crores. For FY '24, it was around Rs.57 odd crores.

The majority of that is in the recurring expenses.

Yogesh Mittal: Majority in recurring. Okay.

Moderator: The next question is from the line of Anurag Jain, an Individual Investor.

Anurag Jain: I just wanted to clarify on the advance from customers. Sorry for repeating this question. See, earlier last year, the balance sheet shows that the advance from customers was Rs. 276 crores. So if this year, it Kaveri Seed Company Limited

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is between Rs.160 crores to Rs.180 crores, is there a change in strategy by the company?

Mithun Chand: Nothing, because I just need to check the exact number on 31st March.

But what we are seeing as compared to the last year, the advances are in line or slightly better than last year because we don't have cotton seed. We have got huge advances for cotton. Anyhow, I will come back on this on exact number.

Anurag Jain: Okay, sir. My second question is, sir, this is coming from the consolidated cash flow statement. The consolidated cash flow statement shows that for FY '24 and FY '23 combined the company has spent for property, plant and equipment almost Rs. 208 crores. Rs. 99 crores in one year and another Rs. 108 crores in FY '23. So I wanted to understand what is this capital expenditure of Rs. 208 crores on and by when the benefit for these would be available?

Mithun Chand: So there are a couple of things. One is the new office, which we are constructing, that we will move into next 1 or 2 months. The other thing is all about the plant. We have set up plants and cold storage in the last couple of years. So that the main capex what we have done. All the plants and most of the plants are already commissioned. From this year, we are already using it.

Anurag Jain: Okay. And Sir, the cold storage would be operational by when?

Mithun Chand: Even the cold storage is also operational.

Anurag Jain: Okay. And sir, one more question, in the fourth quarter, the other segment has witnessed sales of Rs. 31.5 crores. This was a significant contribution in the fourth quarter.

Mithun Chand: Sorry, can you please. I have missed it?

Anurag Jain: I will repeat, sir. In the fourth quarter of the previous year of FY '24 the other segment, basically, if I take the total sales of the company and remove the sales for cotton, rice, selection rice, hybrid rice and Kaveri Seed Company Limited

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maize then what is left is basically the others. So if I take the others, the sales contribution products has been Rs. 31.5 crores in Q4, which last year Q4 was around Rs. 5.5 crores.

Mithun Chand: Basically that is export business, which have come in from, that is sunflower.

Anurag Jain: Sunflower and exports business.

Mithun Chand: For exports, we have done for sunflower. Majority of that was in the fourth quarter.

Moderator: The next question is from the line of Sidhant Dand from Goodwill.

Sidhant Dand: My question on a broad basis, what does the industry need to do or the government needs to do to encourage in the cotton sales production or harvest to go back to the previous time that we saw a decade ago?

Mithun Chand: One thing, you're talking about the price or in terms of the area?

Sidhant Dand: Area.

Mithun Chand: Area that the government I don't think will act on the area because that all depends on the demand and supply.

Sidhant Dand: Demand and supply.

Mithun Chand: Yes, demand is low. But the price is good. So I don't see areas going down from here. If there's a real demand, the area will go up. But the one thing what we need to observe

in cotton is that there are new technologies which are waiting for the approval, that's one thing which will increase the value. And the other thing is that in terms of the close plantation, high-density population that is also coming in, wherein the volume will go up. The area might remain the same, but the volume will go up by 2 to 3 times. So these are the things which are awaiting, yes.

Sidhant Dand: Is there any timeline or something

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Mithun Chand: Nothing. No timelines. I think the new technology will come at any time. Most of the approvals have already done. That's most probably in the next 6 months, right? Hopefully, that should be done if nothing goes wrong.

Sidhant Dand: Okay, but you are not like 3 to 5 years.

Mithun Chand: Yes. And the other thing, even for the closed plantation, it's in very advanced stages. If you get the right product, definitely, it will also move in. So in the next 3 to 5 years, these are 2 things which are coming up. That will definitely increase the volumes of the cotton market irrespective of the area.

Sidhant Dand: Okay. Understood. And secondly, is there any update around new genetically modified sales possible? Or is it still a long time to go?

Mithun Chand: That's what I said. Most of the approvals have already done for

Sidhant Dand: No. I am asking for non-cotton.

Mithun Chand: Noncotton, its most of the crops are under trial. I think even when compared to a couple of years back, now we are on a very positive side, even that might be approved. That's my personal feeling. Nothing to add.

Moderator: Thank you for joining the call. For any other information, please be in touch with Mr. Rama Naidu from Intellect IR on 992-020-9623. On behalf of Kaveri Seed Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2024

16th August 2024

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q1 & FY 2024-25 Results Conference Call on
Tuesday, 13th August, 2024 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited
Q1 & FY 2024-25 Results Conference Call made on Tuesday, 13th August, 2024.

The transcript and audio is uploaded on the Company's website as well on below link:

https://www.kaveriseeds.in/wp-content/uploads/2024/08/Transcript_Q1_and_FY2024-25.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited Q1 FY25 Earnings
Conference Call"

August 13, 2024

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR,
KAVERI SEED COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q1 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.

I now hand the conference over to Mr. Mithun Chand - Executive Director. Thank you, and over to you, sir.

Mithun Chand: Thank you. Good afternoon and welcome everyone to our Quarter 1 Financial Year '25 Earnings Conference Call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational financial performance of the Company and then open the floor for a question-and-answer session.

The Company is very bullish on both Maize and Rice and expect both volumes and realizations to go up in the years to come. Increase in volumes in both Maize and Rice have resulted in good growth rates in revenues. The sowing area of Maize and Rice had increased across several states by 10% and 5.28% respectively as compared to last year.
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Company is able to successfully pass on the incremental cost of cultivation and are able to maintain our margins.

Exports during the quarter have been very encouraging and would continue to do well in the coming years to come. The contribution of new products have substantially increased in both Maize and Bajra. Cotton volumes and revenues were down by 35% and 27% respectively.

Standalone financial highlights:

Revenue from operations was at Rs. 808.08 crore as compared to Rs. 767.37 crore in Q1FY24, registered a growth of 5.32%. EBITDA was at 292.29 crore as compared to Rs. 279.09 crore in Q1FY 24, an increase by 4.91%. Net profit was at Rs. 282.91 crore as compared to Rs. 267.84 crore, registered a growth of 5.63%. The cash on books stands at 605 crores.

Hybrid rice volumes increased by 10% and revenues increased by 17%. Selection Rice volumes increased by 15% and revenues increased by 27%. Maize volumes increased by 97% and revenues increased by 80%. The Contribution of new products was up from 67.67% to 75.79% of volumes in Bajra. The Contribution of new products was up from 40% to 52% of volumes in Maize crop. Cotton volumes as well as revenue decreased by 35% and 27% respectively. Vegetable Crops like Beet root, Tomato, Ridge guard, Sponge Guard and Marigold have been performed well. Export business sales is increased by 451.73% compared to last year quarter 1.

I will now open the floor for question-and-answer session.

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Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Siddhant from Goodwill. Please go ahead.

Siddhant: You know, last quarter you had guided for a 4 to 5% volume fall in cotton, if I am not wrong. And volumes have fallen drastically by 35%. And what would your guidance be for a year or an approximate one? And what has caused this huge 35% fall?

Mithun Chand: When we started last year, we thought that the cotton acreage would go

up this year, and we thought that the supply will be lower this year. But when we see this year, the acreages were down by 10% across the country. And there was more steep fall in the states of northern India where we were very strong. And there was some issue with pr

oduction

also where the hybrids which were in demand was in shortage for us. And there was a huge supply in the market. And as we want to retain our realizations, we are compromising volumes as well. So, that is the major impact which we have seen this year.

Siddhant: Will we be able to catch up some of our cotton sales in the upcoming quarters, or is it?

Mithun Chand: Majority of the sale is already done for this year. I don't think the cotton acreage, cotton sales will happen in the next coming quarters.

But this is the sale what we anticipate, and this will remain as it is.

Moderator: Thank you. Next question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rishi Kothari: Sir, this is the first time I am attending the Kaveri Seed's Con Call. So, while going through the financials, what I saw is that on a quarterly basis, the June quarter is one of the quarters that posts the highest sales
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among all other quarters. So, what exactly is it because of the crop that we grow or if at all that is the reason? Is there any other possibility of changing the dynamics from a full year rather than a seasonal revenue posting for us?

Mithun Chand: We are in a business where it is very much seasonal because we get the monsoon in the month of June-July and the majority of the crop comes after the monsoon. Especially, for example, if you take cotton, cotton only comes in the month of May, June and July. So, we will be in line with the season, but if you see our portfolio, we have one of the largest portfolio with a good mix of crops. And going forward, I think this will remain the same, but the percentage is slightly changed going forward. But definitely, first quarter will be the major quarter for us.

Rishi Kothari: But eventually, let's say, 2-3 years down the line, what are the revenue targets do we have in terms of the growth targets? Do we have anything on our mind internally that we have decided?

Mithun Chand: So, we anticipated a growth of 10% in terms of the top line and 15%-20% in the bottom line. We gave that guidance, but this year, unfortunately, we couldn't do well in the cotton crop because the crop has come down and for various reasons might be there because of the pest attack or otherwise the returns on the crop were lower this year. But otherwise, if you see the other way, we have managed in spite of cotton being more than 35% of our portfolio where we have lost 35% of the revenue, in spite of that downfall in the revenues, we were able to manage by growing in other segments, especially like maize and rice, wherein maize has grown by more than 75% and rice has grown by more than 25%.

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So, that gives us a better edge than other companies where we have a good mix, and we can compensate revenue loss in other crops. But going forward, even we are bullish on cotton. As I said that sometimes based on the seasonality and the price of the commodity, it varies, but I don't see a threat on the long-term business as there will be a year or two where we see this type of unexpected thing, but we should take a compounded way, 10%-12% revenue growth and 15%-20% of the bottom line is quite possible.

Rishi Kothari: For how many years are we experiencing, for 2-3 years or any?

Mithun Chand: No, going forward, I am taking about 5-10 years' view.

Rishi Kothari: 5 to 10 years view, okay. And in terms of the cotton prices that you said, right now, I read the report that cotton prices recently have increased like on an average of 4 to 5%. So, is that beneficial to us or is

it a harmful thing for us as a Company?

Mithun Chand: It is a beneficial thing for us. If the prices go up, that gives more revenue for the farmer. But the other way is that even our production costs have gone up and we were not able to reduce

the cost of

production, and we were not able to pass it on to the farmer because it is controlled by government and that is one of the reason where we have lost the sales.

Rishi Kothari: So, we have in a way absorbed the cost of production that has increased for us and not passed on to the farmers. So, that is in a way capped our margins in a way.

Mithun Chand: Yes, exactly.

Rishi Kothari: And in terms of the CAPEX, what are we targeting for next year, FY '25?

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Mithun Chand: So, CAPEX is a continuous thing as we are increasing volumes in other crops, we require new plants and facilities to process the seed.

And the other thing is that we are spending a lot in R&D. So, as we have said earlier also, Rs. 40 to 50 crores is what we spend on a year-on-year basis for the CAPEX. That should be more than sufficient for us.

Moderator: Thank you. Next question is from the line of Jahnavi from Aequitas Investments. Please go ahead.

Jahnavi: My question is on the lines of the announcement on 109 seeds during elections by PM Modi. So, in a few articles, I read that these seeds also include a few rice and cotton seeds. So, could you help with out of 109 seeds, how many seeds can we end up benefiting from and what sort of size of opportunity are we looking at in case of approvals?

Mithun Chand: So, basically those seeds are released by the government. We need to see the performance of those seeds. But anyhow, we are not accessing those seeds. We have our own in-house R&D where we breed for it, and we sell in the market. So, we don't use those seeds. But the other way, we have ties with the universities where we source the main, we have access to their Germplasm, and we have ties with all the government bodies and international institutes where we take the access to the Germplasm in using or in developing hybrid seeds for us.

Jahnavi: But however, even if the performance for some of these seeds comes out really well, we would not end up using these seeds or not end up benefiting from this at all.

Mithun Chand: No, as of now because we have our own research, and we need to see that. But we have many hybrids which we need to see the performance

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of that. This is the first year where they are launching it. We can only comment after seeing the results of that.

Moderator: Thank you. Next question is from the line of Sanjeev Zarbade from Dream Ladder Advisors. Please go ahead.

Sanjeev Zarbade: Can you give me a sense of the demand outlook for the future over the medium term?

Mithun Chand: If you see the crop where we are dealing with, we are mainly with rice, cotton and maize. These are the three big crops. Apart from these, we are into vegetables, Bajras and all other crops.

But if you see the top four crops like maize, rice, vegetables and cotton, we see a good growth in most of the crops because the maize area is increasing year-on-year. As the government has initiated for the ethanol projects, that will give a good way for maize.

And in rice, the hybridization percentage is going up. That's a good sign for us to increase the market shades of hybrid rice and we are a part of it.

And apart from that, cotton, if you see year-on-year, it's coming down.

But definitely cotton has acreage in the medium term, three-to-five-

year view, definitely that should go up. And vegetables as a segment is increasing at more than 15% year-on-year. So, we are there in most of the segments.

Apart from that, we are there in niche markets like mustard and bajra. So, these are also doing well including sunflower. So, we see a good growth in most of the crops and we are not worried about the cropping pattern as such as we are a well-diversified portfolio and in most of the Kaveri Seed Company Limited
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crops we are in

the top 3. So, we will definitely get advantage of that.

We see good growth in the coming years.

Sanjeev Zarbade: And what would be the size of exports over the next 3 years timeframe?

Mithun Chand: If you see exports, last 3-4 years we have gained some traction in exports, especially in crops like sunflower, rice and maize. These are 3 big crops where we are exporting including vegetables is also there, where we are doing in a very small way.

But as you are aware it takes a longer time for us to establish in different countries, because the farmer only believes in seeing. So, it takes some time, but it is very fortunate that the samples or the experiments or what we have done in the last years, it has given a very good result.

Going forward, we are targeting many countries, especially the African countries and the Southeast Asian countries, these are the two new countries where we are concentrating on, and we are getting good traction through that. So, if you see in the down line 3 to 5 years, we are very bullish on exports and exports will definitely growing more faster than our normal growth.

Moderator: Thank you. Next question is from the line of Mohammed Patel from Care Portfolio Managers Private Limited. Please go ahead.

Mohammed Patel: Textile Minister mentioned that we can expect approval of the new BT cotton variety. So, where are we on that?

Mithun Chand: We are one of the largest pair in BT cotton segment, hybrid BT cotton segment and we are already a part of the entire program. Whenever they give the licenses, we will be one of the top most to get benefited Kaveri Seed Company Limited
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from that. So, we are very optimistic that most of the approvals will be given, approved now, and we already are in tie-up with the service provider. So, it should not be a problem for us and it's a very good sign for the industry as well, because once the idea of genetically-modified crops are cleared, there is not only cotton, there are many other crops to come in. So, that's a very good sign for the industry and we are very bullish and optimistic about that.

Mohammed Patel: So, can we expect this to be a part of our sales next year?

Mithun Chand: I can't time, we can't time exactly because it depends on the government approval, but by seeing the pace and by seeing the approach of the service provider and the government's approach towards approving the genetically modified crops, it looks that it will be released as early as possible.

Mohammed Patel: And whenever this happens, what kind of opportunity this can bring for Kaveri?

Mithun Chand: So, basically the entire cropping pattern will shift, will move to the new technology. So, as we are already there in that business and we are in line, we are in tie-up with the service provider, so, definitely we will be a part of it. And again, based on our hybrid performance, definitely we have an opportunity to increase our market shares. So, that's why we are in like very positive, very well placed for the new technology.

Mohammed Patel: And so, whenever this happens, we can expect to grow 20%-30% much higher than what you would have grown with the older technology.

Mithun Chand: See, that all depends. It's not about technology. Definitely, technology will definitely make an improvement in the yields for the farmer, but
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again it depends on the hybrid. The compatibility with the technology with the hybrid, that matters, but the pipeline hybrid is what we have. It might be too early, but the experience, what we can say is that the hybrids what we have in the pipeline will definitely help us to increase the market share.

Mohammed Patel: So, you are saying after the approval, you can see higher growth in the cotton segment for a few years?

Mithun Chand: Definitely, if not even, I will just say, even if the t

echnology is not approved, but the pipeline hybrid is what we have, are giving better yields. Down the line, we see that even if the technology is approved or not approved, we will definitely increase our market share in the coming years.

Mohammed Patel: And what will be the pricing for this new technology, with the government regulator pricing?

Mithun Chand: Again, that needs to be decided and discussed both with the technology provider and the government. We are too early on that, but definitely, they are working on that one, the technology. They will work on that once the technology is approved.

Mohammed Patel: My next question is, any update on the contingent liability and the tax matters?

Mithun Chand: As of now, I think what we have disclosed is what we have and something comes up, definitely, we will disclose it to the exchanges and investors.

Mohammed Patel: And what is the exports number for Q1? Absolute number?

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Mithun Chand: Q1 is a very lean quarter. Exports, I will just click it anyway, before the end of the call, I will just click it.

Mohammed Patel: It's okay. My next question is, so maize grew 80%. So, have we gained market share as compared to last year that is resulting in high growth?

Maize has grown 80%. So, I was just trying to understand, have we gained market share as compared to last year?

Mithun Chand: Definitely, the maize acreages are up by 10% and in terms of the volume, they are up by 50%. Definitely, we have gained market share in that.

Mohammed Patel: Can you share the number, market share? Can you share the market share number?

Mithun Chand: We will be around 10% to 11% of the market share now.

Mohammed Patel: And what was this number last year?

Mithun Chand: It will be, I am just figuring out the first quarter, but we need to see market share at the end of the year. It's too early to decide about the market share.

Mohammed Patel: What are the R&D spends expected for FY '25?

Mithun Chand: It will be 15% higher than last year. Last year was around 55% and the CAPEX was around 15 odd crores, 70% to 80% of the total expenditure on R&D. That will go up by 15%.

Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Some data points I want from your side. As for March, as for the Financial Year '24, what would be our cotton sale? As of March '24,
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for Financial Year '24, what would be our cotton sale in volume as well as in value? For Financial Year '24, what would be the cotton sales for the year in value and volume terms?

Mithun Chand: Our cotton sales usually, majority of the sale happens in the first quarter. The numbers which are there for the first quarter is more or less like for the year. Last year, we have sold around 55 lakh packets. This year around 35 to 36 lakh packets.

Rohan Patel: I am asking for Financial Year '24. Is this for financial year 24?

Mithun Chand: Yes, more or less like Financial Year '24, 55, 56 is the total sale.

Rohan Patel: And what would be in value terms for Financial Year '24?

Mithun Chand: As of now, I don't know the exact numbers of the entire financial year for cotton crop, but I can tell you the quarter basis because (+/-5%), this is the total sale for the year. For the Financial Year '23-'24, the cotton sale was close to 350 crores. This year it is like Rs. 250 crores, for the first quarter. So, more or less, it should look the same for the entire year.

Rohan Patel: And I just missed your comments on the reason why our cotton sales fair for this quarter 1 FY '25. Can you just help me?

Mithun Chand: I was explaining the earlier but anyhow, as we had lower inventory this year compared to last year, we had a constraint in getting this stock for our main hybrids. That

is one thing where we had lost the sales. The other thing, cotton acreage as a whole in India decreased by 10%. And in the areas where we are strong, especially in Northern India, the acreages accounted more than 20%.

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The other thing is that as the production cost has gone up, and I mean to say like the selling price got increased by only Rs. 10. So, we wanted to realize more. In that way, consciously we have lost some sales. So that's where we lost. There are four or five reasons as a combination of all where we have lost the market share and sale.

Rohan Patel: So, the main would be that one, the acreages are down by 10%; second, the cost has increased, which you could not be passed on. So, we wouldn't want to sell it at certain realizations which are not profitable for us. These are the two to three main reasons.

Mithun Chand: And other thing where we were very strong in northern India, we lost. I mean to say, the acreages were down by 20%.

Rohan Patel: Acreages were down by 20% for quarter.

Mithun Chand: Where we were strong, especially in northern India. And the other reason is that we were not having hybrids because there was a production constraint last year because of pest and rainfall. We couldn't get the desired quantities of the most, I mean to say, popular hybrids. That is one of the reasons.

Moderator: Thank you. Next question is from the line of Ranjit from IIFL Securities. Please go ahead.

Ranjit: First thing on the cotton front. So, would it be too early to kind of give some comments over the next year's availability? How is the production turning out this year?

Mithun Chand: It's early, but we will definitely get an indication because this year we were able to get more production area and as of now the crop also looks good because we have good rainfall this year. I don't see any constraint in terms of availability for next year, not only for Kaveri but

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for the industry. We don't see any constraint for that. The production will be sufficient for next year.

Ranjit: So, would it be fair to assume that we can go back to the FY24 kind of volumes?

Mithun Chand: Definitely, we are pretty confident about that and there are a couple of new hybrids which were launched last year, but we couldn't sell in a good quantity this year. Even we are expecting a good production for that hybrid. So, if that comes in, definitely we see a good growth in cotton.

Ranjit: And the second question is on the margins front. So, despite cotton

underperforming significantly, we are still able to protect our margins. So, what is happening on the non-cotton seeds front? Which are the seeds or the segments that we have seen a bit of an improved profitability this year and how sustainable that would be?

Mithun Chand: Non-cotton crops' pricing is not controlled by the government, and we can easily pass it on to the farmers. So, we work on different margins in those crops. Even though if you see the production costs have increased in non-cotton segment as well, but we were able to pass it on to the farmer. So, that's the reason we were able to maintain our margins.

Ranjit: Can you give ballpark numbers on the margins for the non-cotton seeds?

Mithun Chand: That will be a bit difficult, but if you see the first quarter figures, the EBITDA margins, I mean to say, they are like minus other income, the EBITDA margins stood at like 35%. So, this should be something like close to 38 to 39%. But when we talk about the margins, we need to

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see this for the entire year being first quarter being the major year, the margins look higher.

Ranjit: So, we should settle on 24% to 25%.

Mithun Chand: That's it.

Ranjit: Can you guide us how much has been the quantum of the price increases

in the non-cotton side?

Mithun Chand: If you see it's like the more than in between 10% to 15% is the price hike. That's the same we have incurred, I mean to say, even the cost of production has also gone up by more than 10% to 15%. We have increased in the same ratio as what the cost of production got increased.

Ranjit: And finally, any thoughts on continuing with the rewarding of the institution of these profits? So, we were earlier doing buybacks and dividends.

Mithun Chand: Again, that's a good call we need to take. But if you see in the recent budget, there were changes in the taxation front. That we need to again discuss in the board and then we will take a call on that. But we have not discussed anything about that because we had just completed a buyback last quarter. So, we will come up with the decision in a later part of.

Moderator: Thank you. Next question is from the line of Janish Shah, who is an individual investor. Please go ahead.

Janish Shah: Just wanted to get some understanding on the product mix. Basically, I think you have already managed to have almost like a two-third, one-third kind of a mix between the cotton and non-cotton in the season,

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basically the first quarter, which is the most remunerative quarter for the Company.

Going ahead now, how do we see the seasonality getting even out or do you think the variations in revenue can be a little bit balanced going ahead as we go ahead, maybe next two, three years given that we have launched new varieties, and we are also trying to diversify the crop patterns? So, how do we see that change?

And of course, you have already mentioned the profitability is higher.

Do you think this year in spite of the sharp decline in the sales of cotton, the margin, the profitability which you guided around 15%, 20% growth in bottom line could be achieved or do you think it will get pushed back to the subsequent years?

Mithun Chand: First, coming back to your last part, in terms of the profitability, as first quarter is a major quarter, I don't think we will attain that 15% to 20% margin profitability, because we have grown at 5% to 7% in terms of the profitability for this year. I think that should remain same by plus

or minus the other 2% here and there.

But when coming back to the seasonality and the business, even I explained in the earlier call, as India being majority of the Indian, I mean this agriculture, majority of the acreage comes after the monsoon, which is in the month of May, June, July. So, these are the main quarters for us, and for India, this will be the main season. So, we will be in line with the Indian seasonality, but yes, going down the line by like 3-4 years, as a percentage of contribution in the first quarter and in the next subsequent three quarters will change. As a percentage, it will come down. If you see, 10 years back and now, 90% to 95% of the revenue used to come in the first quarter, but right now
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it's only 65% to 70%. Going forward it might come down further, but definitely first quarter will be a major quarter for us. Not only for us, any hybrid seed Company.
Janish Shah: And is there any outlook on export, in a sense, in terms of numbers what kind of visibility or targets you set for yourself for next two to three years? As you already mentioned, export is going to grow faster than the overall Company growth rate. So, if you can just give some more flavor to it, that will be helpful. And does it a margin accretive? Do we have an export as a higher margin than the domestic one?
Mithun Chand: Export looks very good for us as every time, every year we are adding new countries. When you see in the last five, six years, every year our habitats are getting introduced to different countries. So, going forward, we are very bullish on expo

rts and export market as a whole
is also growing as an Indian perspective and as crops, we have enough crops to export to other countries.
Going down the line, we see better growth as I rightly said, but we see a better growth in exports when compared to normal growth, but as of now it's only 4% to 5% of our total revenue. Down the line 3 years, it should be like close to 10% of our total revenue.
Janish Shah: And margins are better?
Mithun Chand: It's like in line with the normal market, but right now we are even slightly compromised in the margins as well as we need to establish our hybrids in the market. But down the line, once we get the good market grip or when our hybrids get popular in those countries, definitely we will try to increase the realization. As of now, it's slightly lower than what we realize here.
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Moderator: Thank you. Next question is from the line of Krushi Parekh from Pentacle. Please go ahead.
Krushi Parekh: So, my question is that just this last week government released some new varieties of seeds, the breeder seeds, which I believe will take about two, three, four years for the companies to start developing and making it available commercially. So, how is the market dynamics likely to change because of this? And is there going to be any impact on Kaveri Seed's business going forward?
Mithun Chand: Even I explained some of the question earlier. See, these are new hybrid which are launched right now. We need to see the performance of the hybrids. But technically, if you see, there are many companies which are introducing hybrids every year. Not 100 hybrids, there are thousands of hybrids which get introduced every year across India, whether it is by government or whether it is by private players. So, as a Company, we are competing with all these and doing business in most of the crops. So, that doesn't make much difference for us because we are more dependent on our own R&D, and we are pretty confident about our own R&D and the pipeline hybrid is what we are seeing now. So, as of now, we can't comment about those hybrids which are going to get released in the next 1 to 3 years. But by seeing

our present portfolio and the pipeline hybrids, we are pretty confident that we will do better than the industry.

Krushik Parekh: And how is our product mix likely to change over the next 3 to 5 years?

Mithun Chand: I don't see much change in the product mix because we have already lost a significant revenue in cotton. Last year also, we said that we can't go below in cotton, but due to some circumstances, we lost

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revenues in cotton as well from the bottom, what we thought as a bottom. But if you see the crops of the portfolio where we operate, we don't see any decline from now.

So, what I mean to say is that the product mix will not change much going forward. Going forward, the cotton percentage might slightly grow what we had this year because we see a good growth in cotton in the coming next 3 to 5 years. And definitely we are growing in other crops also. As a low base, cotton will grow much faster than other crops.

Moderator: Thank you. Next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: So, I have some basic questions. So, first of all, do we procure seed from outside or do we manufacture it in-house?

Mithun Chand: Basically, we produce the seed. We take land on lease, and we have our own seeds where we take the production activity and produce for ourselves.

Pradeep Rawat: So, you mentioned earlier that the supply of seeds was not good for cotton, so that's why our volume took a hit. So, I didn't get the point.

So, can you elaborate on that?

Mithun Chand: As I said that we take land on lease and produce it ourselves. Last time there was some

deficit rainfall in some areas where we have produced.

And the other thing is that the delayed, the intervals between the rainfalls were too high and there was some pest infestation. So, these all are the effect of production activity. That's the reason we are not able to get the desired inventory levels.

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Pradeep Rawat: And where do we have our lands? So, it is spread out over India or is it consolidated in some regions?

Mithun Chand: So, we don't purchase land. Based on our need and requirement, we take land on lease for the season and then develop, produce the habitats. There are some specific areas where the climatic conditions are good. So, we produce there.

For example, in cotton, we produce in Andhra, I mean to say the Gadwal region or some Maharashtra, Gujarat and some Karnataka. So, based on the climatic condition, we choose the land and that's how we produce it. Based on the need and requirement, we take land on lease and produce it.

Pradeep Rawat: And second question is, are we seeing decreased acreage of cotton, partly due to the high demand for maize and rice, due to ethanol policy? So, more land is being utilized for growing rice and maize, rather than cotton. So, is that understanding correct?

Mithun Chand: There are many reasons for that. As of now, the maize price has a high.

One reason might be because of ethanol, but most of the ethanol projects are not started. But still the maize price is pretty high now.

The maize crop looks much lucrative than the cotton. That's the reason farmers are also moving it. And the other thing is that cotton cultivation has become a bit difficult now, one, because of the pest, and second, because of not that lucrative price for the cotton. That's another reason why the cotton acreages are down.

Pradeep Rawat: And the key requirement per hectare of cotton acreage, so is it higher than the rice, maize? So, do we need more amount of seed to grow per

hectare of cotton?
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Mithun Chand: We can't specify that because some require in Kg, some require in grams. For example, per acre of land, cotton they require just like 900 or 1 Kg of seed, whereas in rice it require 10 Kg to 30 Kg. So, that all depends on which crop we are cultivating. In vegetables, it is in grams.

Pradeep Rawat: So, my next question is regarding the export. So, you mentioned that this was a lean quarter for export. So, can you highlight which is the bulk quarter for exports?

Mithun Chand: Usually second, third and fourth, because as of now we are very small, I mean to say, the base is very low. And when we add new countries, the sale based on their climatic condition, the export will go up, but usually 2, 3 and 4 quarters are the major quarters.

Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Again, just to reiterate what you just said, that due to low base in cotton, we will be expecting cotton to grow faster than other crops in next 3 to 5 years. Is that right?

Mithun Chand: Yes, as I said that the overall Company growth in terms of the revenue should be 10% to 12% going forward, when you take a 3 to 5 years view, but being a cotton low base, from here, we expect higher double, I mean to say, like, better growth than the normal the normal growth in cotton.

Rohan Patel: And see, for that to happen and to capitalize on that, first the cotton acreage needs to be increased, and second is, we have to gain the market share for that. Is that assumption right?

Mithun Chand: Yes, definitely cotton acreages should remain stable or at least should go up. And the other thing is that we need to have enough production

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where we can supply for the demand. The other thing is that we need to

have good hybrids, pipeline hybrids or new hybrids which got introduced or which are getting to introduce next 1 to 2 years should do well. So, out of these 3, we expect the acreages going up. Second thing, we have a good production for the coming years and next, we have better hybrids. So, as a combination of these three, we see a good growth in cotton.

Rohan Patel: And do we see that just marginal increase in acreage, just to see that rice and maize are having good realizations for the farmers, and if cotton acreages don't grow substantially, with stable acreage or current acreage, we can grow at 10% to 12% the cotton seed for next 3 years. Is that possible?

Mithun Chand: Yes, even if by seeing the present acreages and if they are stable, still we can grow in those segments because we lost market share or we lost volume. Basically, we don't have the desired hybrid levels, hybrid what they want. For the next coming years, we will definitely have those hybrids because the production looks good for this year. And we had a very aggressive production program this year. So, I don't see any challenge for the desired products.

Rohan Patel: And can you name what kind of hybrid you are bringing into the market that will help us grow our share?

Mithun Chand: Sir, there are different segments and different hybrids. As a Company, as a whole, we market more than 200 hybrids. So, there are not only for the cotton but for a mix as a whole as a Company. So, we market more than 200 hybrids. So, based on each segment, we have different hybrids and different pipeline hybrids which are performing well. And that gives us confidence to say that we will grow much better in cotton in the coming year.

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Rohan Patel: And just to confirm, like in previous calls you were saying that over the next 3-5 years, if we take, our non-cotton portfolio will be growing in range of somewhere around 15%, plus or minus 2%.

Mithun Chand: Yes, you see, we have grown much better this year when compared to what we have guided earlier. But we have lost our sale in cotton like more than 35% of our revenues and volumes.

Rohan Patel: Yes, I get that.

Mithun Chand: So, we are able to do better in non-cotton segment than cotton. But when you see as a combine as a whole for the next 5 years, even if you recollect, I was saying that there will be a year or two where we see ups and downs based on the seasonality and the pests. So, this is the season where we see that sort of difficulty. But when you compare in the next 3 to 5 years, as a consolidated or a CAGR basis, definitely we are growing between 10% to 12% in terms of revenue and 15% to 20% in terms of the margins.

Moderator: Thank you. Next question is from the line of Yash Gandhi from Stallion Asset. Please go ahead.

Yash Gandhi: I just want to understand how does the pricing sort of work in the industry and how do farmers sort of compare prices of different, different competitions? So, if you just sort of comment on that, just to sort of my understanding.

Mithun Chand: Definitely farmers compare with the price and with yield. If you see the expenditure or spend on seed as a total contribution is less than 5% for the farmer. So, he doesn't mind to spend more for the good quality seed which gives better yield than the competition. So, based on the Kaveri Seed Company Limited

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competition, based on our hybrid performance, we price it 10% plus or minus of the prevailing hybrid which is doing better in those markets.

And in that way, the other thing is that when we are in the market, when our production cost is going up, that will be similar for the other competition as well. So, they will also increase the prices. In that way, more or less, we will be in line with the competition 10% to 20% based on our hybrid performance. So, that sh

ouldn't be a challenge for us.

Yash Gandhi: And sir, like, over here, would your distributors have some sort of leverage in terms of what areas or what state they want to sell, let's say, one particular brand against some other brands or do you have like sole distributors?

Mithun Chand: So, basically it's not like definitely distributors or retailers will have a say in the call, but more than 75% to 80% of the farmers buy the seed by seeing the performance. So, if our hybrid has those sort of a like what you say like potential to give better yield, then the farmer will definitely ask for that.

As rightly said, some distributors will have where they will say that 15% to 20% of the market where they push some products or where they get or the farmer, they take new hybrids, which are newly introduced in the market to try. Otherwise, like 75% to 80% of the farmers buys by seeing the performance of the habitats.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, on behalf of Kaveri Seeds, that concludes this conference. Thank you all for joining us. For any more information, please be in touch with Rama Naidu from Intellect IR on 9920209623. Thank you. You may now disconnect your lines.

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"Kaveri Seed Company Limited Q1 FY25 Earnings
Conference Call"

August 13, 2024

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR,
KAVERI SEED COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q1 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.

I now hand the conference over to Mr. Mithun Chand - Executive Director. Thank you, and over to you, sir.

Mithun Chand: Thank you. Good afternoon and welcome everyone to our Quarter 1 Financial Year '25 Earnings Conference Call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational financial performance of the Company and then open the floor for a question-and-answer session.

The Company is very bullish on both Maize and Rice and expect both volumes and realizations to go up in the years to come. Increase in volumes in both Maize and Rice have resulted in good growth rates in revenues. The sowing area of Maize and Rice had increased across several states by 10% and 5.28% respectively as compared to last year.
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Company is able to successfully pass on the incremental cost of cultivation and are able to maintain our margins.

Exports during the quarter have been very encouraging and would continue to do well in the coming years to come. The contribution of new products have substantially increased in both Maize and Bajra.

Cotton volumes and revenues were down by 35% and 27% respectively.

Standalone financial highlights:

Revenue from operations was at Rs. 808.08 crore as compared to Rs. 767.37 crore in Q1FY24, registered a growth of 5.32%. EBITDA was at 292.29 crore as compared to Rs. 279.09 crore in Q1FY 24, an increase by 4.91%. Net profit was at Rs. 282.91 crore as compared to Rs. 267.84 crore, registered a growth of 5.63%. The cash on books stands at 605 crores.

Hybrid rice volumes increased by 10% and revenues increased by 17%. Selection Rice volumes increased by 15% and revenues increased by 27%. Maize volumes increased by 97% and revenues increased by 80%. The Contribution of new products was up from 67.67% to 75.79% of volumes in Bajra. The Contribution of new products was up from 40% to 52% of volumes in Maize crop. Cotton volumes as well as revenue decreased by 35% and 27% respectively. Vegetable Crops like Beet root, Tomato, Ridge guard, Sponge Guard and Marigold have been performed well. Export business sales is increased by 451.73% compared to last year quarter 1.

I will now open the floor for question-and-answer session.

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Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Siddhant from Goodwill.

Please go ahead.

Siddhant: You know, last quarter you had guided for a 4 to 5% volume fall in cotton, if I am not wrong. And volumes have fallen drastically by 35%.

And what would your guidance be for a year or an approximate one?

And what has caused this huge 35% fall?

Mithun Chand: When we started last year, we thought that the cotton acreage would go up this year, and we thought that the supply will be lower this year. But when we see this year, the acreages were down by 10% across the country. And there was more steep fall in the states of northern India where we were very strong. And there was some issue with pr

oduction

also where the hybrids which were in demand was in shortage for us. And there was a huge supply in the market. And as we want to retain our realizations, we are compromising volumes as well. So, that is the major impact which we have seen this year.

Siddhant: Will we be able to catch up some of our cotton sales in the upcoming quarters, or is it?

Mithun Chand: Majority of the sale is already done for this year. I don't think the cotton acreage, cotton sales will happen in the next coming quarters.

But this is the sale what we anticipate, and this will remain as it is.

Moderator: Thank you. Next question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rishi Kothari: Sir, this is the first time I am attending the Kaveri Seed's Con Call. So, while going through the financials, what I saw is that on a quarterly basis, the June quarter is one of the quarters that posts the highest sales

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among all other quarters. So, what exactly is it because of the crop that we grow or if at all that is the reason? Is there any other possibility of changing the dynamics from a full year rather than a seasonal revenue posting for us?

Mithun Chand: We are in a business where it is very much seasonal because we get the monsoon in the month of June-July and the majority of the crop comes after the monsoon. Especially, for example, if you take cotton, cotton only comes in the month of May, June and July. So, we will be in line with the season, but if you see our portfolio, we have one of the largest portfolio with a good mix of crops. And going forward, I think this will remain the same, but the percentage is slightly changed going forward.

But definitely, first quarter will be the major quarter for us.

Rishi Kothari: But eventually, let's say, 2-3 years down the line, what are the revenue targets do we have in terms of the growth targets? Do we have anything on our mind internally that we have decided?

Mithun Chand: So, we anticipated a growth of 10% in terms of the top line and 15%-20% in the bottom line. We gave that guidance, but this year, unfortunately, we couldn't do well in the cotton crop because the crop has come down and for various reasons might be there because of the pest attack or otherwise the returns on the crop were lower this year. But otherwise, if you see the other way, we have managed in spite of cotton being more than 35% of our portfolio where we have lost 35% of the revenue, in spite of that downfall in the revenues, we were able to manage by growing in other segments, especially like maize and rice, wherein maize has grown by more than 75% and rice has grown by more than 25%.

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So, that gives us a better edge than other companies where we have a good mix, and we can compensate revenue loss in other crops. But going forward, even we are bullish on cotton. As I said that sometimes based on the seasonality and the price of the commodity, it varies, but I don't see a threat on the long-term business as there will be a year or two where we see this type of unexpected thing, but we should take a compounded way, 10%-12% revenue growth and 15%-20% of the bottom line is quite possible.

Rishi Kothari: For how many years are we experiencing, for 2-3 years or any?

Mithun Chand: No, going forward, I am taking about 5-10 years' view.

Rishi Kothari: 5 to 10 years view, okay. And in terms of the cotton prices that you said, right now, I read the report that cotton prices recently have increased like on an average of 4 to 5%. So, is that beneficial to us or is it a harmful thing for us as a Company?

Mithun Chand: It is a beneficial thing for us. If the prices go up, that gives more revenue for the farmer. But the other way is that even our production costs have gone up and we were not able to reduce

the cost of

production, and we were not able to pass it on to the farmer because it is controlled by government and that is one of the reason where we have lost the sales.

Rishi Kothari: So, we have in a way absorbed the cost of production that has increased for us and not passed on to the farmers. So, that is in a way capped our margins in a way.

Mithun Chand: Yes, exactly.

Rishi Kothari: And in terms of the CAPEX, what are we targeting for next year, FY '25?

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Mithun Chand: So, CAPEX is a continuous thing as we are increasing volumes in other crops, we require new plants and facilities to process the seed.

And the other thing is that we are spending a lot in R&D. So, as we have said earlier also, Rs. 40 to 50 crores is what we spend on a year-on-year basis for the CAPEX. That should be more than sufficient for us.

Moderator: Thank you. Next question is from the line of Jahnavi from Aequitas Investments. Please go ahead.

Jahnavi: My question is on the lines of the announcement on 109 seeds during elections by PM Modi. So, in a few articles, I read that these seeds also include a few rice and cotton seeds. So, could you help with out of 109 seeds, how many seeds can we end up benefiting from and what sort of size of opportunity are we looking at in case of approvals?

Mithun Chand: So, basically those seeds are released by the government. We need to see the performance of those seeds. But anyhow, we are not accessing those seeds. We have our own in-house R&D where we breed for it,

and we sell in the market. So, we don't use those seeds. But the other way, we have ties with the universities where we source the main, we have access to their Germplasm, and we have ties with all the government bodies and international institutes where we take the access to the Germplasm in using or in developing hybrid seeds for us. Jahnavi: But however, even if the performance for some of these seeds comes out really well, we would not end up using these seeds or not end up benefiting from this at all.

Mithun Chand: No, as of now because we have our own research, and we need to see that. But we have many hybrids which we need to see the performance
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of that. This is the first year where they are launching it. We can only comment after seeing the results of that.

Moderator: Thank you. Next question is from the line of Sanjeev Zarbade from Dream Ladder Advisors. Please go ahead.

Sanjeev Zarbade: Can you give me a sense of the demand outlook for the future over the medium term?

Mithun Chand: If you see the crop where we are dealing with, we are mainly with rice, cotton and maize. These are the three big crops. Apart from these, we are into vegetables, Bajras and all other crops.

But if you see the top four crops like maize, rice, vegetables and cotton, we see a good growth in most of the crops because the maize area is increasing year-on-year. As the government has initiated for the ethanol projects, that will give a good way for maize.

And in rice, the hybridization percentage is going up. That's a good sign for us to increase the market shades of hybrid rice and we are a part of it.

And apart from that, cotton, if you see year-on-year, it's coming down. But definitely cotton has acreage in the medium term, three-to-five-year view, definitely that should go up. And vegetables as a segment is increasing at more than 15% year-on-year. So, we are there in most of the segments.

Apart from that, we are there in niche markets like mustard and bajra. So, these are also doing well including sunflower. So, we see a good growth in most of the crops and we are not worried about the cropping pattern as such as we are a well-diversified portfolio and in most of the
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crops we are in

the top 3. So, we will definitely get advantage of that.

We see good growth in the coming years.

Sanjeev Zarbade: And what would be the size of exports over the next 3 years timeframe?

Mithun Chand: If you see exports, last 3-4 years we have gained some traction in exports, especially in crops like sunflower, rice and maize. These are 3 big crops where we are exporting including vegetables is also there, where we are doing in a very small way.

But as you are aware it takes a longer time for us to establish in different countries, because the farmer only believes in seeing. So, it takes some time, but it is very fortunate that the samples or the experiments or what we have done in the last years, it has given a very good result.

Going forward, we are targeting many countries, especially the African countries and the Southeast Asian countries, these are the two new countries where we are concentrating on, and we are getting good traction through that. So, if you see in the down line 3 to 5 years, we are very bullish on exports and exports will definitely growing more faster than our normal growth.

Moderator: Thank you. Next question is from the line of Mohammed Patel from Care Portfolio Managers Private Limited. Please go ahead.

Mohammed Patel: Textile Minister mentioned that we can expect approval of the new BT

cotton variety. So, where are we on that?

Mithun Chand: We are one of the largest pair in BT cotton segment, hybrid BT cotton segment and we are already a part of the entire program. Whenever they give the licenses, we will be one of the top most to get benefited
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from that. So, we are very optimistic that most of the approvals will be given, approved now, and we already are in tie-up with the service provider. So, it should not be a problem for us and it's a very good sign for the industry as well, because once the idea of genetically-modified crops are cleared, there is not only cotton, there are many other crops to come in. So, that's a very good sign for the industry and we are very bullish and optimistic about that.

Mohammed Patel: So, can we expect this to be a part of our sales next year?

Mithun Chand: I can't time, we can't time exactly because it depends on the government approval, but by seeing the pace and by seeing the approach of the service provider and the government's approach towards approving the genetically modified crops, it looks that it will be released as early as possible.

Mohammed Patel: And whenever this happens, what kind of opportunity this can bring for Kaveri?

Mithun Chand: So, basically the entire cropping pattern will shift, will move to the new technology. So, as we are already there in that business and we are in line, we are in tie-up with the service provider, so, definitely we will be a part of it. And again, based on our hybrid performance, definitely we have an opportunity to increase our market shares. So, that's why we are in like very positive, very well placed for the new technology.

Mohammed Patel: And so, whenever this happens, we can expect to grow 20%-30% much higher than what you would have grown with the older technology.

Mithun Chand: See, that all depends. It's not about technology. Definitely, technology will definitely make an improvement in the yields for the farmer, but
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again it depends on the hybrid. The compatibility with the technology with the hybrid, that matters, but the pipeline hybrid is what we have. It might be too early, but the experience, what we can say is that the hybrids what we have in the pipeline will definitely help us to increase the market share.

Mohammed Patel: So, you are saying after the approval, you can see higher growth in the cotton segment for a few years?

Mithun Chand: Definitely, if not even, I will just say, even if the t

echnology is not approved, but the pipeline hybrid is what we have, are giving better yields. Down the line, we see that even if the technology is approved or not approved, we will definitely increase our market share in the coming years.

Mohammed Patel: And what will be the pricing for this new technology, with the government regulator pricing?

Mithun Chand: Again, that needs to be decided and discussed both with the technology provider and the government. We are too early on that, but definitely, they are working on that one, the technology. They will work on that once the technology is approved.

Mohammed Patel: My next question is, any update on the contingent liability and the tax matters?

Mithun Chand: As of now, I think what we have disclosed is what we have and something comes up, definitely, we will disclose it to the exchanges and investors.

Mohammed Patel: And what is the exports number for Q1? Absolute number?
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Mithun Chand: Q1 is a very lean quarter. Exports, I will just click it anyway, before the end of the call, I will just click it.

Mohammed Patel: It's okay. My next question is, so maize grew 80%. So, have we gained market share as compared to last year that is resulting in high growth?

Maize has grown 80%. So, I was just trying to understand, have we gained market share as compared to last year?

Mithun Chand: Definitely, the maize acreages are up by 10% and in terms of the volume, they are up by 50%. Definitely, we have gained market share in that.

Mohammed Patel: Can you share the number, market share? Can you share the market share number?

Mithun Chand: We will be around 10% to 11% of the market share now.

Mohammed Patel: And what was this number last year?

Mithun Chand: It will be, I am just figuring out the first quarter, but we need to see market share at the end of the year. It's too early to decide about the market share.

Mohammed Patel: What are the R&D spends expected for FY '25?

Mithun Chand: It will be 15% higher than last year. Last year was around 55% and the CAPEX was around 15 odd crores, 70% to 80% of the total expenditure on R&D. That will go up by 15%.

Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Some data points I want from your side. As for March, as for the Financial Year '24, what would be our cotton sale? As of March '24, Kaveri Seed Company Limited
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for Financial Year '24, what would be our cotton sale in volume as well as in value? For Financial Year '24, what would be the cotton sales for the year in value and volume terms?

Mithun Chand: Our cotton sales usually, majority of the sale happens in the first quarter. The numbers which are there for the first quarter is more or less like for the year. Last year, we have sold around 55 lakh packets. This year around 35 to 36 lakh packets.

Rohan Patel: I am asking for Financial Year '24. Is this for financial year 24?

Mithun Chand: Yes, more or less like Financial Year '24, 55, 56 is the total sale.

Rohan Patel: And what would be in value terms for Financial Year '24?

Mithun Chand: As of now, I don't know the exact numbers of the entire financial year for cotton crop, but I can tell you the quarter basis because (+/-5%), this is the total sale for the year. For the Financial Year '23-'24, the cotton sale was close to 350 crores. This year it is like Rs. 250 crores, for the first quarter. So, more or less, it should look the same for the entire year.

Rohan Patel: And I just missed your comments on the reason why our cotton sales fair for this quarter 1 FY '25. Can you just help me?

Mithun Chand: I was explaining the earlier but anyhow, as we had lower inventory this year compared to last year, we had a constraint in getting this stock for our main hybrids. Tha

t is one thing where we had lost the sales. The other thing, cotton acreage as a whole in India decreased by 10%. And in the areas where we are strong, especially in Northern India, the acreages accounted more than 20%.

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The other thing is that as the production cost has gone up, and I mean to say like the selling price got increased by only Rs. 10. So, we wanted to realize more. In that way, consciously we have lost some sales. So that's where we lost. There are four or five reasons as a combination of all where we have lost the market share and sale.

Rohan Patel: So, the main would be that one, the acreages are down by 10%; second, the cost has increased, which you could not be passed on. So, we wouldn't want to sell it at certain realizations which are not

profitable for us. These are the two to three main reasons.

Mithun Chand: And other thing where we were very strong in northern India, we lost. I mean to say, the acreages were down by 20%.

Rohan Patel: Acreages were down by 20% for quarter.

Mithun Chand: Where we were strong, especially in northern India. And the other reason is that we were not having hybrids because there was a production constraint last year because of pest and rainfall. We couldn't get the desired quantities of the most, I mean to say, popular hybrids. That is one of the reasons.

Moderator: Thank you. Next question is from the line of Ranjit from IIFL Securities. Please go ahead.

Ranjit: First thing on the cotton front. So, would it be too early to kind of give some comments over the next year's availability? How is the production turning out this year?

Mithun Chand: It's early, but we will definitely get an indication because this year we were able to get more production area and as of now the crop also looks good because we have good rainfall this year. I don't see any constraint in terms of availability for next year, not only for Kaveri but Kaveri Seed Company Limited
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for the industry. We don't see any constraint for that. The production will be sufficient for next year.

Ranjit: So, would it be fair to assume that we can go back to the FY24 kind of volumes?

Mithun Chand: Definitely, we are pretty confident about that and there are a couple of new hybrids which were launched last year, but we couldn't sell in a good quantity this year. Even we are expecting a good production for that hybrid. So, if that comes in, definitely we see a good growth in cotton.

Ranjit: And the second question is on the margins front. So, despite cotton underperforming significantly, we are still able to protect our margins.

So, what is happening on the non-cotton seeds front? Which are the seeds or the segments that we have seen a bit of an improved profitability this year and how sustainable that would be?

Mithun Chand: Non-cotton crops' pricing is not controlled by the government, and we can easily pass it on to the farmers. So, we work on different margins in those crops. Even though if you see the production costs have increased in non-cotton segment as well, but we were able to pass it on to the farmer. So, that's the reason we were able to maintain our margins.

Ranjit: Can you give ballpark numbers on the margins for the non-cotton seeds?

Mithun Chand: That will be a bit difficult, but if you see the first quarter figures, the EBITDA margins, I mean to say, they are like minus other income, the EBITDA margins stood at like 35%. So, this should be something like close to 38 to 39%. But when we talk about the margins, we need to Kaveri Seed Company Limited
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see this for the entire year being first quarter being the major year, the margins look higher.

Ranjit: So, we should settle on 24% to 25%.

Mithun Chand: That's it.

Ranjit: Can you guide us how much has been the quantum of the price increases

in the non-cotton side?

Mithun Chand: If you see it's like the more than in between 10% to 15% is the price hike. That's the same we have incurred, I mean to say, even the cost of production has also gone up by more than 10% to 15%. We have increased in the same ratio as what the cost of production got increased.

Ranjit: And finally, any thoughts on continuing with the rewarding of the institution of these profits? So, we were earlier doing buybacks and

dividends.

Mithun Chand: Again, that's a good call we need to take. But if you see in the recent budget, there were changes in the taxation front. That we need to again discuss in the board and then we will take a call on that. But we have not discussed anything about that because we had just completed a buyback last quarter. So, we will come up with the decision in a later part of.

Moderator: Thank you. Next question is from the line of Janish Shah, who is an individual investor. Please go ahead.

Janish Shah: Just wanted to get some understanding on the product mix. Basically, I think you have already managed to have almost like a two-third, one-third kind of a mix between the cotton and non-cotton in the season, Kaveri Seed Company Limited
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basically the first quarter, which is the most remunerative quarter for the Company.

Going ahead now, how do we see the seasonality getting even out or do you think the variations in revenue can be a little bit balanced going ahead as we go ahead, maybe next two, three years given that we have launched new varieties, and we are also trying to diversify the crop patterns? So, how do we see that change?

And of course, you have already mentioned the profitability is higher. Do you think this year in spite of the sharp decline in the sales of cotton, the margin, the profitability which you guided around 15%, 20% growth in bottom line could be achieved or do you think it will get pushed back to the subsequent years?

Mithun Chand: First, coming back to your last part, in terms of the profitability, as first quarter is a major quarter, I don't think we will attain that 15% to 20% margin profitability, because we have grown at 5% to 7% in terms of the profitability for this year. I think that should remain same by plus or minus the other 2% here and there.

But when coming back to the seasonality and the business, even I explained in the earlier call, as India being majority of the Indian, I mean this agriculture, majority of the acreage comes after the monsoon, which is in the month of May, June, July. So, these are the main quarters for us, and for India, this will be the main season.

So, we will be in line with the Indian seasonality, but yes, going down the line by like 3-4 years, as a percentage of contribution in the first quarter and in the next subsequent three quarters will change. As a percentage, it will come down. If you see, 10 years back and now, 90% to 95% of the revenue used to come in the first quarter, but right now Kaveri Seed Company Limited
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it's only 65% to 70%. Going forward it might come down further, but definitely first quarter will be a major quarter for us. Not only for us, any hybrid seed Company.

Janish Shah: And is there any outlook on export, in a sense, in terms of numbers what kind of visibility or targets you set for yourself for next two to three years? As you already mentioned, export is going to grow faster than the overall Company growth rate. So, if you can just give some more flavor to it, that will be helpful. And does it a margin accretive?

Do we have an export as a higher margin than the domestic one?

Mithun Chand: Export looks very good for us as every time, every year we are adding new countries. When you see in the last five, six years, every year our habitats are getting introduced to different countries. So, going forward, we are very bullish on expo

rts and export market as a whole

is also growing as an Indian perspective and as crops, we have enough crops to export to other countries.

Going down the line, we see better growth as I rightly said, but we see a better growth in exports when compared to normal growth, but as of now it's only 4% to 5% of our total revenue. Down the line 3 years, it

should be like close to 10% of our total revenue.

Janish Shah: And margins are better?

Mithun Chand: It's like in line with the normal market, but right now we are even slightly compromised in the margins as well as we need to establish our hybrids in the market. But down the line, once we get the good market grip or when our hybrids get popular in those countries, definitely we will try to increase the realization. As of now, it's slightly lower than what we realize here.

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Moderator: Thank you. Next question is from the line of Krushi Parekh from Pentacle. Please go ahead.

Krushi Parekh: So, my question is that just this last week government released some new varieties of seeds, the breeder seeds, which I believe will take about two, three, four years for the companies to start developing and making it available commercially. So, how is the market dynamics likely to change because of this? And is there going to be any impact on Kaveri Seed's business going forward?

Mithun Chand: Even I explained some of the question earlier. See, these are new hybrid which are launched right now. We need to see the performance of the hybrids. But technically, if you see, there are many companies which are introducing hybrids every year. Not 100 hybrids, there are thousands of hybrids which get introduced every year across India, whether it is by government or whether it is by private players.

So, as a Company, we are competing with all these and doing business in most of the crops. So, that doesn't make much difference for us because we are more dependent on our own R&D, and we are pretty confident about our own R&D and the pipeline hybrid is what we are seeing now. So, as of now, we can't comment about those hybrids which are going to get released in the next 1 to 3 years. But by seeing our present portfolio and the pipeline hybrids, we are pretty confident that we will do better than the industry.

Krushi Parekh: And how is our product mix likely to change over the next 3 to 5 years?

Mithun Chand: I don't see much change in the product mix because we have already lost a significant revenue in cotton. Last year also, we said that we can't go below in cotton, but due to some circumstances, we lost

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revenues in cotton as well from the bottom, what we thought as a bottom. But if you see the crops of the portfolio where we operate, we don't see any decline from now.

So, what I mean to say is that the product mix will not change much going forward. Going forward, the cotton percentage might slightly grow what we had this year because we see a good growth in cotton in the coming next 3 to 5 years. And definitely we are growing in other crops also. As a low base, cotton will grow much faster than other crops.

Moderator: Thank you. Next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: So, I have some basic questions. So, first of all, do we procure seed from outside or do we manufacture it in-house?

Mithun Chand: Basically, we produce the seed. We take land on lease, and we have our own seeds where we take the production activity and produce for ourselves.

Pradeep Rawat: So, you mentioned earlier that the supply of seeds was not good for cotton, so that's why our volume took a hit. So, I didn't get the point.

So, can you elaborate on that?

Mithun Chand: As I said that we take land on lease and produce it ourselves. Last time there was some

deficit rainfall in some areas where we have produced.

And the other thing is that the delayed, the intervals between the

rainfalls were too high and there was some pest infestation. So, these all are the effect of production activity. That's the reason we are not able to get the desired inventory levels.

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Pradeep Rawat: And where do we have our lands? So, it is spread out over India or is it consolidated in some regions?

Mithun Chand: So, we don't purchase land. Based on our need and requirement, we take land on lease for the season and then develop, produce the habitats. There are some specific areas where the climatic conditions are good. So, we produce there.

For example, in cotton, we produce in Andhra, I mean to say the Gadwal region or some Maharashtra, Gujarat and some Karnataka. So, based on the climatic condition, we choose the land and that's how we produce it. Based on the need and requirement, we take land on lease and produce it.

Pradeep Rawat: And second question is, are we seeing decreased acreage of cotton, partly due to the high demand for maize and rice, due to ethanol policy? So, more land is being utilized for growing rice and maize, rather than cotton. So, is that understanding correct?

Mithun Chand: There are many reasons for that. As of now, the maize price has a high. One reason might be because of ethanol, but most of the ethanol projects are not started. But still the maize price is pretty high now. The maize crop looks much lucrative than the cotton. That's the reason farmers are also moving it. And the other thing is that cotton cultivation has become a bit difficult now, one, because of the pest, and second, because of not that lucrative price for the cotton. That's another reason why the cotton acreages are down.

Pradeep Rawat: And the key requirement per hectare of cotton acreage, so is it higher than the rice, maize? So, do we need more amount of seed to grow per hectare of cotton?

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Mithun Chand: We can't specify that because some require in Kg, some require in grams. For example, per acre of land, cotton they require just like 900 or 1 Kg of seed, whereas in rice it require 10 Kg to 30 Kg. So, that all depends on which crop we are cultivating. In vegetables, it is in grams.

Pradeep Rawat: So, my next question is regarding the export. So, you mentioned that this was a lean quarter for export. So, can you highlight which is the bulk quarter for exports?

Mithun Chand: Usually second, third and fourth, because as of now we are very small, I mean to say, the base is very low. And when we add new countries, the sale based on their climatic condition, the export will go up, but usually 2, 3 and 4 quarters are the major quarters.

Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Again, just to reiterate what you just said, that due to low base in cotton, we will be expecting cotton to grow faster than other crops in next 3 to 5 years. Is that right?

Mithun Chand: Yes, as I said that the overall Company growth in terms of the revenue should be 10% to 12% going forward, when you take a 3 to 5 years view, but being a cotton low base, from here, we expect higher double, I mean to say, like, better growth than the normal the normal growth in cotton.

Rohan Patel: And see, for that to happen and to capitalize on that, first the cotton acreage needs to be increased, and second is, we have to gain the market share for that. Is that assumption right?

Mithun Chand: Yes, definitely cotton acreages should remain stable or at least should go up. And the other thing is that we need to have enough production

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where we can supply for the demand. The other thing is that we need to

have good hybrids, pipeline hybrids or new hybrids which got introduced or which are getting to introduce next 1 to 2 years should do well. So, out of these 3, we expect the acreages going up. Second thing, we have a good production for the coming years and next, we have better hybrids. So, as a combination of these three, we see a good growth in cotton.

Rohan Patel: And do we see that just marginal increase in acreage, just to see that rice and maize are having good realizations for the farmers, and if cotton acreages don't grow substantially, with stable acreage or current acreage, we can grow at 10% to 12% the cotton seed for next 3 years. Is that possible?

Mithun Chand: Yes, even if by seeing the present acreages and if they are stable, still we can grow in those segments because we lost market share or we lost volume. Basically, we don't have the desired hybrid levels, hybrid what they want. For the next coming years, we will definitely have those hybrids because the production looks good for this year. And we had a very aggressive production program this year. So, I don't see any challenge for the desired products.

Rohan Patel: And can you name what kind of hybrid you are bringing into the market that will help us grow our share?

Mithun Chand: Sir, there are different segments and different hybrids. As a Company, as a whole, we market more than 200 hybrids. So, there are not only for the cotton but for a mix as a whole as a Company. So, we market more than 200 hybrids. So, based on each segment, we have different hybrids and different pipeline hybrids which are performing well. And that gives us confidence to say that we will grow much better in cotton in the coming year.

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Rohan Patel: And just to confirm, like in previous calls you were saying that over the next 3-5 years, if we take, our non-cotton portfolio will be growing in range of somewhere around 15%, plus or minus 2%.

Mithun Chand: Yes, you see, we have grown much better this year when compared to what we have guided earlier. But we have lost our sale in cotton like more than 35% of our revenues and volumes.

Rohan Patel: Yes, I get that.

Mithun Chand: So, we are able to do better in non-cotton segment than cotton. But when you see as a combine as a whole for the next 5 years, even if you recollect, I was saying that there will be a year or two where we see ups and downs based on the seasonality and the pests. So, this is the season where we see that sort of difficulty. But when you compare in the next 3 to 5 years, as a consolidated or a CAGR basis, definitely we are growing between 10% to 12% in terms of revenue and 15% to 20% in terms of the margins.

Moderator: Thank you. Next question is from the line of Yash Gandhi from Stallion Asset. Please go ahead.

Yash Gandhi: I just want to understand how does the pricing sort of work in the industry and how do farmers sort of compare prices of different, different competitions? So, if you just sort of comment on that, just to sort of my understanding.

Mithun Chand: Definitely farmers compare with the price and with yield. If you see the expenditure or spend on seed as a total contribution is less than 5% for the farmer. So, he doesn't mind to spend more for the good quality seed which gives better yield than the competition. So, based on the Kaveri Seed Company Limited
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competition, based on our hybrid performance, we price it 10% plus or minus of the prevailing hybrid which is doing better in those markets. And in that way, the other thing is that when we are in the market,

when our production cost is going up, that will be similar for the other competition as well. So, they will also increase the prices. In that way, more or less, we will be in line with the competition 10% to 20% based on our hybrid performance. So, that sh

ouldn't be a challenge for us.

Yash Gandhi: And sir, like, over here, would your distributors have some sort of leverage in terms of what areas or what state they want to sell, let's say, one particular brand against some other brands or do you have like sole distributors?

Mithun Chand: So, basically it's not like definitely distributors or retailers will have a say in the call, but more than 75% to 80% of the farmers buy the seed by seeing the performance. So, if our hybrid has those sort of a like what you say like potential to give better yield, then the farmer will definitely ask for that.

As rightly said, some distributors will have where they will say that 15% to 20% of the market where they push some products or where they get or the farmer, they take new hybrids, which are newly introduced in the market to try. Otherwise, like 75% to 80% of the farmers buys by seeing the performance of the habitats.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, on behalf of Kaveri Seeds, that concludes this conference. Thank you all for joining us. For any more information, please be in touch with Rama Naidu from Intellect IR on 9920209623. Thank you. You may now disconnect your lines.

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quarter. I quarter, b
u
Right. S o
basically ?
Not exac t
we opera t
All right.
consolida t
just tell u s
Sorry?
The diffe r
mean, whYou just
w
Yes. So I
crores. S o
of INR50
So basic a
Agritech,

Thank you
 Sir, I want
 buybacks
 Again, the
 buyback
 Yes. I mean
 regime or
 understand
 Must look at your
 look off Q1 of this
 tune of around
 orders have shown
 majority of the sales
 that's nothing but
 don't know about
 it's all of a hand
 so there could be
 ?
 typically from loading
 the liquidation
 That helps. A
 ted numbers for
 what this difference
 between sales
 that leads to the
 difference wanted to have
 mean, sir, con
 sider there is a difference
 in crores?
 Well, we have
 these are the costs
 you. We have the
 need to understand
 going forward
 there's a management
 because we have
 seen, you will decide
 whether it's practical
 and the view of management
 Page 3 of 10
 maize revenue
 this year. So what
 is 30% to 40%
 good results in
 sales were there
 the spillover
 out of the other
 half-to-half comparison
 be some from loading,
 but we take
 on might have
 And sir, just
 for this quarter. S
 erence is on an acc
 standalone and
 difference between
 the consolidated
 consolidated for Q
 erence of INR 5
 other 4 subsid
 contribution from
 next question
 find with the ne
 or buybacks a
 management decision
 that have completed
 the decision, but I'm

ally impossible
 management on
 0 ue growth in H 1
 I see in Q2 m a
 %. So what co u
 maize in Q2 s p
 in the first qu a
 of the first qua r
 ompanies they
 parison is a go o
 oading that h a
 the actual liqu i
 taken place in t h
 to understand t
 So we feel like
 count of?
 consolidated n
 ween standalone
 ed for the Q2?
 Q2 is at INR 13
 50 crores that w
 iaries in the c o
 m those compa n
 from the line o f
 ew tax regime,
 re out of the qu e
 hat we need to
 e buyback in t h
 saying that, I m
 e now with th e
 this. Kaveri S
 1 '25, which is
 aize have degr o
 uld be the rea s
 pecifically?
 arter itself. Eve n
 rter. So we ha d
 might have d o
 od comparison.
 appens, which i
 idation of the s
 he first quarter
 the difference
 INR 50 crore s
 numbers. What
 and consolida t
 7 crores, wher e
 we see. What a c
 ompany. One
 nies.
 f Gunit Singh f r
 I mean, wou l
 estion?
 take, but we h a
 he last March. S
 mean, is it still p
 e new tax re gSeed Compa ny
 Novembe r
 at 24%. And i
 own for the co m
 son, sir, given
 n though it's in
 d a good sale
 one the sale in
 is why Q2 wa
 tock. But the a

itself.
between stand
s difference. So
explains the di
ted number of Q
eas stand-alon e
ccounts for thi s
is Microtec k a
rom CCI.
ld we still be
ave still more t i
So we will deci d
possible with t h
gime? I mean, ny Limited
r 14, 2024

f I were to
mpany Y-o-
that other
the second
in the first
the second
s subdued,
areas where
dalone and
o could you
ifference? I
Q2?
e is INR 85
s difference
and Aditya
able to do
ime for the
de late r.
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I want to

Mithun C
Gunit Si n
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Chand:
asthi:
Chand:
asthi:
Chand: So that's
decision. we'll hav
e
All right.
Yes. Still ,
Thank y o
Equities. Wanted s
o
was the s a
selection r
You wan t
Yes, sir, t o
So usuall y
company
For this y e
Okay. An
The reali z
Okay. So
expandin g
market?
As of no w
to 9%. B
also com i
going for w
Sir, the m
Market s h
Yes. At presen
t
market s h
only that,
down by m
we have i
segment. A
Pall that we ne e
But we see h o
e a clear clarity
So currently, y o
, we have some
ou. We have t h
ome volume n u
ale in volume t
rice and maize.
t the overall vo l
otal volumes j u
y, we are not d
volumes. For t h
ear, we have d o
d what has bee n
zation is aroun d
INR 730 odd.
g by? what wa s
w, if you see c o
But going forw a
i

ng up, the m a
ward, maize as
market share a b i
hare of Kaveri?
t, we have a m a
hare, especially
even maize is
more than 30 %

increased our s a
And going for w
Page 4 of 10ed to discuss a n
ow the shareho l
on it.
ou haven't hav e
more time left
he next questi o
umbers. if yo u
terms for the fi r

lumes?
ust for these 4 p
disclosing volu m
he first half of l
one INR 4.39 c r
n the realizatio n
d close to INR 7
Sir, next thing
s our share? A
ompared to last
ard, we see a g o
aize are good. I
a crop should d
it?
arket share of 8
in maize. We
much visible i
%, close to 30%
ales in both ric e
ward, which we
0 nd decide. It's
lders get bene f
e a discussion r e
for that.
on from the l i
u could shed li g
rst half of this y
products.
mes as of now
last year, we h a
rores kgs.
n in the first ha
730 odd.
I wish to und e
And where do w
half of this ha l
ood acreage c o
It's much rem u
do well.
8% to 9%. Yea r
have very goo
in the first hal f
in the first hal f
e and maize se g
see a very go oKaveri S
not an individ u
fited out of it. I
egarding this y e
ine of Mr. Ni t
ght on your 4 c
year? That wo u
, but if you w a
ad done volum e
If per package o
erstand is how m

we indicate to g
If year, the mai
oming in maize ,
unerative for t h
r-on-year, we t h
d pipeline of h
f. You can see
f, we were abl e
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od growth rate cSeed Compa ny
Novembe r
ual decision. I t
In the next qu a
et?
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uld be cotton, h
ant, I can give
es of INR 3.97
of cotton?
much is the m a
go with the gr o
ze was up by c
, as the ethano l
he farmer now .
hink that we ca n
hybrids in maiz
even though t h
e to match our r
ll, you can say
coming in for t hny Limited
r 14, 2024

t's a Board
arter or so,
om InCred
how much
hybrid rice,
the overall
crores kgs.
aize market
owth in the
close to 8%
l plants are
. We think
n grow our
e. And not
he cotton is
revenues as
non-cotton
hese crops.

Nitin Aw a
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We have t
My quest i
revenues the next 3
So you're Vegetabl
e
Vegetabl e
3 crores, i
because o
vegetable
contribut e
Got it, sir .
Last year ,
INR 25-orecollect
I
sale.
But espe c
to INR12
trying to
countries the reven
u
But if yo u
the good g
new cou n
hybrids a r
Got it sir.
Yes, espe c
Pod, sir. But th e
a crop where i n
ct a similar kin d
ink so. Usuall y
s around INR 1
of the time. Bu t
enue.
the next questi o
ion is regardin g
we had witnes s
years? And d o
talking about e
e seed.
e seed, if you s e
in percentage t
of the rainfall a
seed. We are
ed in the secon d
. And any exp o
, if you see the
dd crores in B a
last year conca l
cially in terms o
crores in expo r

get that sale i
 like Vietnam, I
 ue should be c o
 u see our over a
 growth in expo
 ntries and we
 re really doing w
 So you're plan n
 cially all prod u
 Page 5 of 10e main season f
 n H2 sales are
 d of growth or m
 y, H1 contribu
 120 crores out
 t in the second h
 on from the lin e
 g vegetable se g
 sed in H1? An d
 o you see any e x
 export of cotto n
 ee the overall f
 erms, it comes
 and heavy rai n
 pretty confide n
 d half of the se a
 ort potential goi n
 overall export s
 angladesh itsel f
 ll, I said that's o
 of Bangladesh,
 rt because we a
 in some other
 Ivory coast. W e
 overed in those p
 all growth of e x
 rt as well as w e
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 well. We are f a
 ning to do exp o
 ucts under not c o
 0 from maize w h
 higher than H 1
 more growth in
 tes the majori t
 of overall IN R
 half sale, maiz e
 e of Harsh Vor a
 gment. If you c
 d are you envi s
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 first half, there' s
 to 12% odd. B
 nfall in most o
 nt that we'll gr o
 ason.
 ng forward?
 s of around IN R
 f. And other sa
 one of the core s
 out of this IN R
 already lost the
 parts of the w
 e are getting o r
 p

arts.
 exports leaving the
 we are trying to grow
 very encouraging
 fairly confident about
 prospects across all products
 cotton, but basic Kaveri S
 here you have to
 1. So this year
 H2 for maize?
 type of the maize
 ₹ 190 crores in
 we are the only crop
 area from D.R. Chola
 can just throw
 subsidizing the growth
 in this segment
 shows a slight decline
 But the season
 of the parts. Work
 now in vegetable
 ₹ 65-odd crore
 sale in Tanzania
 sales because we
 ₹ 24 crores, we
 season because
 world because
 orders from there
 this year like the
 grow, as we are
 doing business from
 about export business
 products, right?
 locally maize, rice Seed Company
 November
 the higher sale
 again and going
 well. Even for last
 H1. So H1 do more
 crop which contribute
 okay. Please give
 some light on the
 growth of this segment
 ?
 value of ₹ 2.5 crore
 just was delayed
 We don't see any
 sale as desired, the
 sales. We have done
 of ₹ 27 crore
 we had done a good
 we might lose ₹
 because of the unrest,
 we are starting
 well. So we see the
 this. But overall,
 we are entering into
 more than those count
 business as well.
 vegetable and vegetable Limited
 14, 2024

s, maize is
 going forward,
 this year, the
 minimizes the
 but more

go ahead.
the drop in
gment over
crores, INR
ed this year
y threat in
hat will be
ne close to
res, if you
government
R10 crores
but we are
ng in other
hat some of
, if you see
many other
ries as our
es.

Moderat o
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Mithun C
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Chand: Thank yo u

go ahead.

I just wa n

Governm e

Yes.

So we d o

company

more tha n

Okay. An

That's a c

segment.

bajra and

from the s

pipeline, w

So how m

That dep e

years, we
every year
Okay. An
Most of the
year. And
crores to
Okay. And
have already
maybe high
So if you are a dividend
February -
So as earned to
that.
And sir, because
Sorry? What
Pu. We have the

needed to get a separate
ent business for
don't participate
for this year, in
that.
And any new product
continuous activity
The launches a
wheat and maize
hybrids which
which are also -
much would be
ends on the crop
call it a new
product.

And what would be
the capex is already
done year-on-year,
INR 300 crores
and we have
already undertaken
higher dividends
seen in the last
dividend paying
cycle - March. So
allow me to answer
and take a decision
on the reservoir level
of this?

high levels?

Page 6 of 10
The next question

is the use of how the
growth of our company
much in the
it's hardly some
products that have
diversity what we do
are in maize, cotton
mustard. So that
which are launching
-- have a good
the share of new
crop-to-crop. Us
product. The
objective is the capex
already done. Like

what we always
should be more
substantial investment
in, is there any
or buybacks?
7 to 8 years, with
company. And
ways, we try to
address the question,
on that. I think
levels are like a
100 from the line of
government business
y?
government subsidies
are a few crores, even
have been launched
on. We always touch
cotton, even in
its regular activities
held, there are
potential in the
new products launch
usually, the hybrid
overall contribution
for the current fiscal
year we might invest
say, like INR 25
than enough.
investments also. And
they plan to distribute
what we have done more
we have just continue
distribute cash, like
regarding
in the next company
almost 87% of Kaveri
of Sanjeev S for
business is planning
subsidies. If you
even I doubt that
or how is the price
try new products
rice and other
ity, and there are
many other high
future years.
launched and the overall
demand which has
attention will be in
focus?
invest over INR 25
INR 35 crores to IN
demand since we have
contribute surplus
more than 6 buy
completed our
, which is not
the buyback
timing quarters, will
do and are we going
Seed Company
November
from DreamLad
going out?
do you see the revenue
that it's in a single

pipeline going for
cuts in each and
every crop as well
are more labour
hybrids, which
overall revenue ?
launched in the
between 20%
5 to INR 30 crore
INR 40 crores, but
we have most of the
cash to invest on
backs, and even
buyback in the
require

need for the
tax has now changed
we'll have clarity
going to be going on Limited
from 14, 2024

der. Please
nature of the
the digit, not
forward?
every crop
, including
launched apart
are in the
?
last 3 to 5
to 35% in
crores for this
but INR 25
Capex, we
ours through
every year, we
the month of
the company.
changed, we
for clarity on
good growth

Sanjeev S
Mithun C
Sanjeev S
Mithun C
Moderator
Anurag J
Mithun C
Moderator
Dhruv S a
Mithun C
Dhruv S a
Mithun C
S:
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or:
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Chand:
or:
Anurag:

Chand:

araf:

Chand: Reservoir

Okay.

And we're

of lead to

More or I e

compare d

and som e

Vegetabl e

if you see

Thank yo

Please go

Good ev e

biologica l

indicativ e

productio n

Yes. Tha t

I think w e

we have m

that is on e

very goo d

volume f o

same is a f

Thank yo u

Mithun si r

to say th a

us in ter m

Yes, the k

see usual l

Otherwis e

challenge s

I had a q u

set by th e

cotton. S o

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ess, Rabi for u s

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ening, sir. My q

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t's one way to l o

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most of the in v

e of the reason s

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or the next co m

ffecting the bal a

u. We have the

r, we had som e

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kind of produc t

ly now unless a

e, we'll get th e

s in the produc t
uestion on hig h
e textile minis tr
o are you seei n
n?

, most of the c o
get a very suit a
Page 7 of 10od demand as w
wing"

s is a very lean
Most of the cr o
ize. So maize,
ll segment for u
we should be in l
e next questio n
question is for t
NR 383 crores.
ipated growth
for use in the n
ook at it. But a s
he larges t produ
ventories are at a
s where we see
g up. I mean t o
ming years. It's a
ance sheet.

next question f
e challenges in c
ges are now b e
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tion what we h a
and until som e
e anticipated p
tion for the ne x
h-density planti
ry regarding p r
ng any action h
ompanies inclu d
able hybrid, w h
O well as output i
quarter, usuall y
ops are like wh e
we think it w
us, but we see a
line with last y e
n from the line
the half year b a
This is the hi g
for next yea r
next one year?

s rightly said, t h
uction, what w e
almost zero le v
higher produc t
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ding Kaveri is w
hich give better Kaveri S
in the rabi seas
y second half i s
eat and rice, w
will be in line w
a good growth i
ear's numbers.
of Anurag Jai n
alance sheet, t h
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r, is the com p
he production i s
e have taken in t
vel. So we are t r
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f Dhruv Saraf f r
of production
e next cotton s
his year and th
ad happens wit h
with a good y
y in cotton, but i
there have bee n
use of high-de n
he ground? Or
working on hig h
yields. But the Seed Compa ny
Novembe r
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s a very lean q u
hich are all se l
with last year' s
in vegetables. B
n, an Individu a
he outstanding a
ast 4 to 5 years
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ther thing is th a
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e current crop
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yield. So I do n
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research is on,ny Limited
r 14, 2024

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But overall,
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crops.
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field will b
The othe r
cotton se e
reasons w
And so y
planting?
It's not e x
it's not li k
yield rate
We have t
Consideri n
there are n
grow fro m
This year ,
In your p r

INR 258
more than
Okay. 20 %
higher, with
maize. So
What were the reasons
slightly down
is. So going
the bottom
But next year
we see a 15% to 20
15% to 20
Yes.
And that way
It should be
Prinster said and that
be high-density
reason is that
ed. The picking
why the industry
you have to leave
Or is it, I mean
exactly for high-
ke what is there
what we saw in
the next question
ng that this year a
no more production
here? Can we
, we have done
resentation, is it
crores, you're
in what we had a
% more than what
we are growing
o will this trend
see is that over
s. One is the con
own in terms of
ng forward, which
m line should mean
year, as we see, a
good potential
0%.
0% should be that
would lead to I think
be more than 20
Page 8 of 10the industry is that
y plantation.
t even getting
ng of cotton cr
y will move to high
unch the production
n, agnostic of the
density plantin g
e. High-density
now. It is more t
on on the line o
ar, our base for
ction challenge s
e get back to I N
close to INR 34
t shown H1 that
right, you're right

at now.
 what we had d
 in like aroun d
 continue?
 rall this year, w
 otton, we are d
 f the exports, t h
 hat we see is th a
 much reflect.
 , as cotton is al r
 in most of the
 he growth rate f
 ike 20% to 25 %
 0% plus.
 0 trying for it, de f
 daily labour i s
 op should be m
 high-density pl a
 uct, I think it's
 hat?
 g, but if you s e
 y plantation is n
 than that, but a t
 f Rohan Patel f
 the cotton is t h
 s. So with this l
 NR 350 to INR4
 40 crores this y
 t you did INR 2
 ight. Cotton, N
 one. And con s
 d like 25% to 3
 we had a very m
 down more tha n
 he exports hav e
 at a 10% to 12 %
 ready low, we' l
 crops. So nex t
 for next year?
 % growth in bot tKaveri S
 finitely down t h
 s difficult to g
 mechanized. S o
 anting.
 9292. Was it
 ee the crop, it's
 nothing like th a
 t least double.
 from Turtle Ca p
 he lowest. And
 low sales base,
 00 crores base n
 year itself.
 258 crores?
 Next year, it sh o
 sidering that o u
 30% in all of t
 muted growth b
 n 30% and the
 not as anticip a
 % growth in re v
 ll at least grow
 t year, the gro w
 tom line? Seed Compa ny
 Novembe r
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et, especially t
o that is also
specific for h i
slightly high d
at is more than
pital. Please go
we expect tha t
how m uch can
next year?
ould be like at
ur non-cotton, t
the hybrid rice ,
because there a r
other thing w h
ated for whatev e
venues and 15 %
by 20%. And o
wth rate shoul dny Limited
r 14, 2024

re of cotton
to pick the
one of the
igh-density
density, but
double the
ahead.
t next year,
cotton can
least 20%
the base is
, selection,
re a couple
here we are
er reason it
% to 18% of
other crops,
d be in that

Rohan P a
Mithun C
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Moderat o
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med Patel:
Chand:
med Patel:
Chand:

med Patel: Okay. A n
cotton du
hybrids d u
there? Ha v
Yes, for t h
new laun c
productio n
next year.
Okay. A n
will cotto
product o f
Sure. Whrecently I
a
those pre v
Okay. An
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18th February 2025

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P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,

Sub: Transcript – Kaveri Seed Q3 & FY 20 24-25 Results Conference Call on
Thurs day, 13th February , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q3 & FY 20 24-25 Results Conference Call made on Thursday, 13th February , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

<https://www.kaveriseeds.in/wp-content/uploads/2025/02/Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited
Q3 & 9 Months FY25 Earnings Conference Call "
February 13 , 202 5

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR–
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Kaveri Seed Company Limited
February 13, 202 5

Moderator: Ladies and gentlemen, good day and welcome to Kaveri Seed Company's Q3 and 9 Months FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference will be recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation. I would now like to hand the conference over to Mr. Mithun Chand. Thank you and over to you, sir.

Mithun Chand: Thank you. Good afternoon and welcome everyone to our Quarter 3 & 9 Months Financial Year '25 Earnings Conference Call. We hope you had a chance to review the presentation of our results which is also available on our website. I will touch upon the operational financial performance of the company and then open the floor for a question and answer session. Our standalone financial highlights for the quarter 3.

Revenue from operations was at INR154.77 crores registered a growth of 30.63% from INR118.47 crores in quarter 3 '24. EBITDA was at INR25.09 crores, registered a growth of 12.77% as compared to INR22.25 crores in quarter 3 financial year '24. Net profit was at INR15.04 crores as compared to INR11.66 crores in quarter 3 financial '24, grown by 29%.

For the first 9 months financial highlights, revenue from operations registered a growth of 6.3% to INR1044.61 crores as compared to INR981.89 crores in financial year '24.

EBITDA was at INR324.78 crores as compared to INR321.13 crores registered a growth of 1.14%. Net profit was at INR294.6 crores as compared to INR290.22 crores, grown by 1.46%.

Cash on book stands at INR499 crores. Operational highlights. Rice and maize continued to do well during the quarter. Increase in volumes in both selection, hybrid rice and maize has resulted in good growth rates on account of good realization and passing of increased production costs.

In spite of continuous disruption in exports, continued to maintain growth in our profits at both EBITDA and PAT levels. Hybrid rice volumes increased by 14% and revenues by 27%.

Selection rice volumes increased by 18% and revenue increased by 34%. Maize volumes increased by 8% and revenues increased by 25%. Volumes of cotton hybrid decreased by 35% and revenues decreased by 27%. The contribution of new products to volumes of Bajra was up from 60% to 70%.

Vegetable seed sales volumes increased by 2%, whereas revenue increased by 3%. Export sales stand at INR18.23 crores as compared to INR38.1 crores in financial year '24. The decline is due to political unrest in Bangladesh. I would now open the floor for question and answer session. Thank you.

Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Siddharth Dant from Goodwill. Please go ahead.

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Siddharth Dant : Yes. For the 9 months, I've noticed that our product mix has shifted largely towards non-cotton with 26% growth there and a degrowth of 27% in cotton. So why has there not been a gross and an EBITDA level margin improvement considering non-cotton products are higher margin in general?

Mithun Chand: Usually, this time, the cost of production was also higher in most of the crops as the other expenses. If you see cost of goods remained same most of the time, slightly increased, but other expenses also have gone up in terms of the employee cost. All of them have added up to it. As the revenue is flattish on a year-on-year

basis, we see a slightly decline in EBITDA margins, which usually shouldn't be. But it should be corrected over the years.

And this time, it was a very, very high production cost was also there, both in terms of the cotton and in terms of the other crops. So that has slightly impacted the margins of the company.

Siddharth Dant : Okay. And do you expect this to continue going forward the higher cost of goods sold?

Mithun Chand: No, that we are trying to pass it on to the farmer. As we increase our revenues that everything will be stabilized.

Siddharth Dant : Okay. My second question was on new products within cotton. What is the status of our newer products and will we see commercialization in next year and can we expect cotton to have bottomed out this year?

Mithun Chand: Yes, we can think of that. We have launched a couple of hybrids in cotton. We have already

launched commercially, I mean to say, not in the pipeline. We have launched commercially and tested some hybrids. They are looking very promising. We think that we can definitely grow in cotton as well and this should be bottom year in the cotton crop.

Siddharth Dant : Okay. That's great to hear. And thirdly, I wanted to ask you about the payout policy. Last year this time we had done a buyback, but is that still on the cards or in the new tax regime or are we going to shift to dividends?

Mithun Chand: We need to think of that. We have not discussed in the Board because it's not even 1 year now. I will just discuss on that. But again, that's a Board decision. With the new taxation, we need to see what's best. Once we decide in the Board, we will come back to you on this.

Siddharth Dant: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Krushi Parek from Ugle Rock. Please go ahead.

Krushik Parek : I want to understand now that we are in the inventory gathering season right now, how is it looking as compared to the previous year in terms of volumes and in terms of value as well. I believe you mentioned that cost of production has been going up. But how are we looking to ensure we have enough inventory in terms of volume as well for the growth purposes?

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Mithun Chand: So in terms of the production compared to previous year we are slightly comfortable this year. In fact, we have produced more compared to the previous year. We wanted to maintain some buffer stock as well going forward. So as of now, at this particular point of time, we don't see any threat for our production. Crops are arriving now.

But still, there are other 1 or 2 months which are left out, especially for paddy. If we get any unseasonal event that should slightly impact. But as of now, we are very comfortable and we should not see any difficulty in terms of the production aspect.

In terms of the cost of goods, yes, the cost of goods have gone up and slightly even now in the Rabi also the cost of goods have gone up, but we are trying to pass it on to the farmer. That we have done something in Rabi. And for the next year, definitely, we can pass it on to the farmer.

Krushik Parek : Okay. Any color on how much the cost of production has gone up?

Mithun Chand: Based on hybrids and based on different crops, it has gone up. Usually, the cost of production is up by 5% to 10% in most of the crops. In some crops, it is more than 10%.

Krushik Parek : Okay. So except for maybe cotton, which continues to remain a bit regulated, we are looking to pass on the cost as much as...

Mithun Chand: Cotton is slightly difficult because the government need to increase the prices. That's what we pass it on the farmer. But end of the day, these are very temporary issues. It's like it's all in the business here and there, but we can definitely maintain our margins.

Krushik Parek : Okay. And how long does it take for us to get some kind of a realization

increase from the government?

Mithun Chand: That again depends. Every year, they are increasing. This year also they need to take a decision. Still the time is there up to March, most probably they take in the month of February and March. So the time is there, we need to see. We need to wait and watch for that. But they also know the costs have gone up. By considering that, usually, they increase the prices. But being a government policy, it's not correct for me to comment on it, but they take into consideration everything.

Krushik Parek : Okay. Can I continue with one more question or there is a queue?

Mithun Chand: You can.

Krushik Parek : I can. Okay. So in terms of the new product launches, I mean, I believe the Bajra you mentioned that about 60%, 70% are the new ones and similar traction we are witnessing in the rice as well. So how much -- if we just want to try and understand that how much better are we as compared to the competitive products in terms of yield or the benefit? What is the internal benchmarking that we are looking at? are we at par, are we at significantly better as compared to the competition that we have?

Mithun Chand: Most of the times, not only for Kaveri, for the entire industry, if you launch normal hybrid or on par hybrid, you may not get any market share. You need to show some benefit over the

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existing one. Then only the farmer will shift or purchase your seed. So in that way, we see the growth it definitely shows that the farmer is interested to buy our products. That's what is reflecting in our sales.

Krushik Parek : Okay. So this increase in hybrid rice and selection rice by volume, is it more of a reflection of the products being better or that...

Mithun Chand: Yes, that's what we need to see.

Krushik Parek : Okay or is it also a function of that we have made them available ?

Mithun Chand: So it's a combination of all. The top priority is for the performance of the hybrid, then the availability of the product, your reachability, all comes in that 30% to 40%, but more than 50% to 60% lies with the performance of the hybrid.

Krushik Parek : Okay. Got it. And in terms of exports, how are we shaped up now, especially that -- I mean what we have seen thus far has been a little volatile for us. And now that we have also set up an office in Bangladesh. So apart from Bangladesh -- so Bangladesh is one and then I think even in Africa we were looking to make some inroads. So how is that shaping up?

Mithun Chand: When compared to last year, we are down in export, but last year, we have done INR65-odd crores in terms of export, wherein close to INR35 crores was from Bangladesh and INR30 crores from other countries. Even in other countries, it was from Tanzania, majority of the sale where we got the government order.

Last time itself, we told that it's a one-time order, we may not expect this. But the normal organic growth, we can -- we thought that we'll continue. But during -- by seeing the political situation in Bangladesh, we are down by more than INR20 crores itself in Bangladesh. So that's the reason we have seen a dent.

But going forward, we see a very good market for exports. So we have expanded to many other countries. That will eventually result in revenues in the next 2 to 3 years. So we are pretty confident of our exports. And most of the hybrids we have taken trial in other parts of the world are very promising and encouraging.

Krushik Parek : Okay. Got it. And the cotton prices have been flattish to even a bit decline -- I mean, a bit muted as compared to, say, last year ?

Mithun Chand: Sorry?

Krushik Parek : The cotton prices.

Mithun Chand: Commercial prices you're talking about?

Krushik Parek : Yes, the commercial cotton prices. So do we expect any shrinkage of acreage in cotton because of this?

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Mithun Chand: No, I don't see. But even the central government is also taking initiatives to -- if you see the budget, they want to give support to the cotton and the textile people. But we don't see any decline in cotton as of now. It should remain as it is. Maybe 5% plus or minus based on the monsoon, but we don't see any decline anywhere like something really for the cotton agri used to go down.

Krushik Parek : Okay. If there is no one in the queue may I continue.

Mithun Chand: I don't know.

Moderator: Can we request you to come back in the queue.

Krushik Parek : I will. Thank you.

Moderator: The next question is from the line of Sanjeev Zarbade from Dream Ladder Investments. Please go ahead.

Sanjeev Zarbade : My first question is what would be the outlook for maize in the next two quarters?

Mithun Chand: Next two quarters?

Sanjeev Zarbade : Yes.

Mithun Chand: Anyway, fourth quarter is a very insignificant quarter for us. We don't have any sales in that. But first quarter is the main quarter for us, that is for the next year financial year. We see very good growth in maize, like it is 10% to 12% growth in terms of the volumes for the next year. And the maize acreages are also going up. As a crop also, maize looks very good going forward.

Sanjeev Zarbade : Yes, I have two more questions. First one is, when will you see a breakout adoption in rice?

Mithun Chand: It's -- the adoption is really slow. It did not go the way what we thought. But if you see, the seed replacement ratio has gone up in rice also. It was like 25%, 30% like 12, 13 years back, but now it has moved to 60%, 70% now. That's really encouraging with the first step to go for hybrid.

So going forward, if we have hybrids in the right segment, definitely, I think the hybridization will be very fast. And most of the companies are coming with those type of hybrids, including Kaveri. So we don't -- as of now I can't say that exactly how fast will it grow, but definitely, eventually, it will move to hybrids.

Sanjeev Zarbade : Okay. And is there any progress on HTBT cotton from government end?

Mithun Chand: It is much positive when compared to 3 years back. It's moving on. We can expect any time.

But again we are not able to time it, but the government response is encouraging in terms of the new technologies.

Sanjeev Zarbade : Okay. Sir that's it from my side and thanks for answering the questions.

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Moderator: Thank you. The next question is from the line of Harsh Vora from DR Choksey. Please go ahead.

Harsh Vora: I have one question regarding the -- what do you expect to be the growth rates for the next 2 years at both sales and PAT level?

Mithun Chand: We think that we can grow at 10% to 12% at the top -line and 15% to 20% at the bottom -line.

This year was -- we couldn't grow in that way because of the cotton and the increase in the production cost. But going forward, that should continue. That's the broader guidance what we give.

Harsh Vora: Okay. And any investment on expanding capacity that you have planned?

Mithun Chand: That's a continuous activity. We are already doing it. Again, we are constructing other processing line and warehouses. But in terms of the capex, year -on-year, INR30 crores to INR40 crores should be at a very high end for the next 2 to 3 years.

Harsh Vora: Right, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Yes. I wanted to ask like the new seed share in -- if you can give us a proportion of what are the contribution of new seeds in cotton, hybrid rice, selection rice and maize for this year?

Mithun Chand: Sorry, I couldn't hear you properly.

Rohan Patel: Yes, sure, I will go ahead. Contribution of new products, basically new seeds

to volumes in

cotton, hybrid rice, selection rice and maize. Like contribution of new products ?

Mithun Chand: Contribution of new products. I don't have the exact figure as of now, but contribution in most of the crops, except for cotton, all the other crops, like it remains in between 30% to 40%.

Cotton contribution is slightly lower because most of the hybrids are pretty old hybrids. Cotton it should be like 10% to 15%, but other crops are in between 30% to 40%. I don't have the exact figure, but surely that range is in that figure.

Rohan Patel: Okay. And going forward for next year, considering that cotton is at a lower base and we are -- like last quarter, you said that it can grow at 15%, 20%. So how much would be the contribution of new products in that growth for us?

Mithun Chand: In terms of the cotton, whatever we are talking about the growth, majority of that will be from the new products.

Rohan Patel: Okay. And for other like non -cotton products, how will this new product share improve?

Mithun Chand: Because most of the hybrids are very new, in our terms, we say like new products are nothing but 0 to 4 years in terms of our reporting. So most of the hybrids are new hybrids. If some hybrids moves out of the 0 to 4 years, some other hybrid may contribute. But usually, it should

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be like 30% to 40% going forward as well, because every year, new hybrid comes in and another hybrid goes out. So we say like 0 to 4 years is only what we say the contribution from new hybrids.

Rohan Patel: Okay. And can you explain us like how will we -- like we are growing top -line at 10%, 12%, that's fair enough, like considering our product portfolio. But how will the margin improve from here on, like it will be like price increases or like better quality, high margin ?

Mithun Chand: So when I say the revenue of 10% to 12%, it is a combination of price and the volume. But as we grow -- as we increase our sales, the other costs also get optimized. So at the EBITDA level, we can definitely increase our margins.

Rohan Patel: Okay. So this would be more from -- coming from higher scale rather than high -value product or increase in...

Mithun Chand: We are already there because as we are already passing on to the farmer, all the production cost is also up. So it may not be immediately in 1 year or so where we can pass it on the entire cost. But overall, with all the other things contributing to it, we can go in that fashion.

Rohan Patel: Okay. That was from my side. If I have any more questions I will get back in the queue.

Thanks.

Moderator: Thank you. The next question is from the line of Mohammed Patel from Care Portfolio Managers. Please go ahead.

Mohammed Patel : Sir, what was the regulatory price increase given by the government in last year for cotton in percentage terms?

Mithun Chand: In terms of the absolute, it was like 1.5% or 2%. I don't remember that selling price is like INR857 now. It was from INR845 or INR840.

Mohammed Patel: And what was the increase in cost of production for cotton this year?

Mithun Chand: Cost of production has gone up somewhere in between based on the hybrid went in between INR50 to INR100.

Mohammed Patel: Okay. So do you think that this time around, the increase will be higher than 2%, 3% from the government side?

Mithun Chand: If you take the previous year not for the last year, but if you take the previous year, it was like close to 5% to 7%. So certainly, the prices have moved up last year. That we have already represented to the government saying that the prices have moved up, but they need to take a call. Eventually, what -- it may not be this year or so, but eventually, they need to increase the cost because that is the way otherwise the cotton seed industry may not survive. So that they keep everything in the back of the mind and then decide on the price.

Mohammed Patel: So if you are saying it will be lower than the cost of production increase, then there will be pressure on cotton margins for FY '26?

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Mithun Chand: Definitely, there will be pressure in the cotton margin, but the other crops will be doing well. So that's the reason as an overall basis, we will not be that much stressed.

Mohammed Patel: Okay. My next question is, you said seed production is good as compared to last year. But if you can answer separately for non-cotton crops what is the growth? And for cotton, what is the growth of production of seeds?

Mithun Chand: Across the board, across all crops, we have increased the production, both in terms of the cotton and non-cotton segment. Production will be definitely higher like 25% to 30% more than the last year.

Mohammed Patel: Across all crops?

Mithun Chand: Across all crops.

Mohammed Patel: Okay. And for which crop you said the cost of production is higher by 10%? That is cotton?

Mithun Chand: One is cotton, even rice, some parts of maize.

Mohammed Patel: Okay. So rice, we should be able to pass it on, right?

Mithun Chand: Yes, because this is not control with the government. We are already doing it. For example, Rabi, we have started passing on to the farmer. Next year, we'll definitely pass on more.

Mohammed Patel: Okay. And you said cotton new product contribution is right now 10% to 15%. So in the next few years, are you expecting this to increase to 30%, 40% like the other crops?

Mithun Chand: Definitely, In fact, it will be in the next 2 to 3 years, majority of the contribution to the revenues will be from the new products. So definitely, that will also go to between 30% to 40%, 50%. At an average, any given point of time, what we see, what we are looking at trend in the previous years and most of the crop, the contribution from the new crops are in between 30% to 40% across.

For example, in some crops, cotton, it might go up because most of the varieties are very old.

For example, in Bajra, it looks like 60%, 70% because the base is very small. As you increase the base, definitely, the contribution will be in between the 30% to 40%.

Mohammed Patel: So you are saying next few years, cotton should do well, non-cotton should do well. Overall, I think next few years are looking much better than the last 2 years?

Mithun Chand: Yes, exactly.

Mohammed Patel: And on the exports, is it a higher margin business?

Mithun Chand: Yes, decent margins. We can relate it to the normal margins here apart from a few countries of some stock. But otherwise, other crops are profitable. Very few occasions we sell at a very low price. But otherwise, okay, for example, last time we did to Tanzania, but we wanted an entry

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so that we have given at a lower price. But usually, when we sell in a normal open markets, we maintain our margins.

Mohammed Patel: Okay. So you still stick to the INR150 crores, INR200 crores guidance for exports in the next few years?

Mithun Chand: 3 to 5 years, yes, definitely between close to INR160 crores we can see, 3 to 5 years.

Mohammed Patel: Thank you.

Moderator: Thank you. The next question is from the line of Krushi Parek from Ugle Rock. Please go ahead.

Krushii Parek : Yes. So one thing is, I mean, I just want to clarify the inventory volume growth we are expecting in the March will be somewhere around 10% is what you mentioned, right?

Mithun Chand: It will be more than that, but it may not be -- it depends on the arrival of the crop, may not be exactly by March end. It should be before March or after March, that depends on the crop arrival. But across the previous year, we can see at least 20% more than -- 15% to 20% more than previous year's volumes.

Krushii Parek : In terms of

ms of volumes?

Mithun Chand: Yes.

Krushii Parek : Okay. And so we were talking about this rice hybridization, it's not picking up. Can you give some sense on what are the bottlenecks that the industry is facing or even we are facing that is stopping this hybridization process?

Mithun Chand: Basically, when we try to introduce a new variety or a hybrid, it should do better than the existing one. In rice, the existing varieties are doing well. And across the industry, we are not having standard rice hybrids. Most of that are in bold rice. Now the pipeline hybrids are coming in standard rice. Once it comes in, it might pick -up.

Krushii Parek : Okay. So basically, what you're suggesting is that the product is not that -- I mean, it's not -- and even in terms of yield or just product?

Mithun Chand: Everything, yield, and product both. Wherever we are able to show better yield than the existing varieties, there the hybridization is much faster. And now most of the rice have moved to the standard rice segments. For example, in Southern India, we don't see much of an hybridization except for the Northern India.

Krushii Parek : Okay. And so basically, currently, even our offering is not that materially different versus what is available in the market currently?

Mithun Chand: Yes. Most of the players are in the same segment, but the new pipeline hybrids are coming in the standard segment for us.

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Krushii Parek : Okay. And one last question. In terms of adding our distribution, how are we placed? So I believe in most of the states of India, we are now present. In terms of expanding our reach and making our products available, how are we placed this year as compared to the previous year? And how we are likely to be in the next 3 to 5 years?

Mithun Chand: In terms of the network, we have got one of the largest network. As rightly said, we are there in more than 23, 24 states across India. We have the largest network in terms of the distribution in terms of the warehouse network across India. We have a complete reach in most of the places where we operate.

In terms of adding of new dealers, it may not be that significant because we are already there in most of the segments. But wherever we have left behind some segments where our products are there, where we might have, but that will be very negligible when compared to the existing one.

Krushii Parek : Okay. So basically, whatever growth we are likely to expect is from the new launches and introducing more products in the same segment?

Mithun Chand: Yes, most of that will be from the new launches and very little from the area where we are not present.

Krushii Parek : Okay, got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Siddharth Dant from Goodwill. Please go ahead.

Siddharth Dant : Yes, I had one follow -up question. Could you just comment on why BG 3 cotton has not yet come into India and has there been any progress on that or is it still stuck?

Mithun Chand: The trials are complete, almost complete. It's been long waiting for BG 3. We are waiting the government approvals, but compared to 2, 3 years back now at least the government is much positive and they are still trailing on it and the discussions are happening. So we are pretty -- we see that it might come any time. But that's why I was saying for the last 1.5 years. There's some progress. Like unlike in the previous years it was completely stalled, that's not the case now.

Siddharth Dant : Okay. And what about pricing over here? Is there any -- is there a similar price cap we can expect in BG 3 or there's nothing out there?

Mithun Chand: Yes, price cap will be there. But again, the price will be negotiated by the service provider for the government and the players.

Siddharth Dant : Okay. That's great to hear. And anything else on

other GM crops in terms of trials?

Mithun Chand: No, once it need to -- most of the crops also the trailings are happening. But first of all, BG 3 need to be cleared, then the other crops might come. First crop to come will be BG 3. But the trailing -- most of the trailing and the data is already present in the government and the service providers, technology providers.

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Siddharth Dant : Okay. That's great. Thank you.

Moderator: Thank you. The next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: First of all, I want some data points, like how many packets of cotton we have sold this year and the revenue that we have generated?

Mithun Chand: Cotton, we have sold around -- we have sold 36 lakh packet, 35 lakh, 36 lakh packets. The revenue is INR258 crores.

Rohan Patel: Okay. And sir, can you provide us with market share in like regarding cotton in Gujarat, Maharashtra, Telangana, Andhra Pradesh and UP and Madhya Pradesh?

Mithun Chand: We are there, but we have the highest market share in Gujarat, because this year was a low base, we have close to 20% -odd market share in Gujarat. In all other states, between like 5% to 10% market share.

Rohan Patel: So we have probably lost our market share significantly from Maharashtra as well as Telangana, Andhra Pradesh if we see that 5% to 10%.

Mithun Chand: Yes. See, we have done only 36 lakh packets of a total market share of close to INR4 crores - odd. So we are in between that 8% to 10% market share now. So earlier, we were at 15%, but this year we lost. If you take the last year sales, we were like 55 lakh packets, which is close to like 13%, 14% market share.

Rohan Patel: Okay. And what was the main reason? Like were we lagging behind with hybrids or like there was a pricing issue or new players that have come in and sold, penetrated...

Mithun Chand: It's a combination of all. One is that it was pretty old hybrids. There are some other competitive hybrids which are doing well. The other thing is the availability was also low and we were trying to realize more from the competition when compared to the competition. These all contributed for a degrowth.

But we were pretty conscious what we are doing about. And now when we talk about going for the future, we said that new hybrids are coming up, which we already tested and sold even commercially sold in the market. Those are really performing well and we see good sales in those hybrids.

Rohan Patel: Okay. So considering that now we will be having our new hybrids back, so can we think about that growing this from, say, 37 lakhs to again to, say, 60 lakhs or about 55 lakhs, 60 lakhs?

Mithun Chand: Definitely. In the next couple of years, definitely, that's the margin we are looking at. In fact, if everything goes right, we can go back to our peak levels, which were like that 8 million packets in the next 5 to 7 years.

Rohan Patel: In next 5 to 7 years, back to 8 million packets?

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Mithun Chand: That's our internal target, but we'll again update you in between. But for the next couple of years, we definitely see the growth, 2 to 3 years.

Rohan Patel: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Janish Shah, an Individual Investor. Please go ahead.

Janish Shah : Yes. I just have one broader question may be related to the macro kind of a question.

Basically, you've seen the weather patterns have been changing and even in India for the last couple of years, the monsoon has been very erratic. How are you planning to -- or I mean how do you see this change impacting your business, whether positively, negatively?

And how do you see the farmers adopting or changing their behaviours with regard to your seeds or maybe any other products

or any other segment which may see a kind of a change in adoption or the practices?

Mithun Chand: If you see the last 10, 15, 20 years, even more than that, every year, the climate is changing. As you rightly said, we have erratic monsoons. Not only monsoons, like very unseasonal rains, which are really damaging. So this is definitely affecting the cropping pattern. And more than the crop, because usually what happens most of the time, the farmers at the initial showers, for example, once we receive the rainfall in Kharif ranging from May to July across the country.

Once the soil has got the enough moisture, they try to sow the seeds and harvest according to duration of the crops. By changing climatic conditions, by erratic monsoons, we are -- the crops are getting new pests, new diseases, new viruses. So that's what impacting the yields. So as there are new tests and new diseases, we are trying to develop hybrids which are resistant to those.

So that's the reason every time the farmer requires new hybrids, usually, the cycle like 3 to 5 years is the cycle of the hybrid, again a new hybrid comes in. So that's how it goes on. And I think that will continue going forward also.

Janish Shah : Okay. And with regard to the pricing, I mean, you said cost, which is already up by 5% to 10%, how is the pricing is being marked to farmers? Especially a situation where we had like last year, there was a deficient monsoon and farmers' income generally were under stress. This year monsoons have been better, but it is on the higher side.

I'm saying there's an excess in some part. I don't know how that is going to have an effect. But in general, like how do you price your product to ensure that the demand is right, the product is well adopted by the farmer, I mean, without impacting their cost of production or maybe any cost benefit analysis that you can share with us?

Mithun Chand: There are basically two sets of farmers. We deal with production farmers. Production farmers are nothing like the farmers who produce seed. Like we have our own research, we take land on lease and produce our own seed. So for us, the cost is like the lease cost, the pesticides and Kaveri Seed Company Limited

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what are the labor, fertilizers, everything comes into our cost. And end of the day, you need to get a better yield. So these are the costs involving for us.

And usually, when we do the farming the other costs are going up, definitely, the seed production cost will also go up. And that will be the same for the commercial farmer also.

Commercial farmer, nothing but where we sell our hybrid seeds and they grow it on their own and the grain is sold in the market.

So for him also, the cost is same. Over and above that, either yields or MSPs have gone up, the cost of cultivation is definitely high. So that's where the cost of production goes up. If you get a bumper yield, the cost of production will be down.

Janish Shah : Okay. So -- but your pricing is like a pass, I mean, you have a pass-through kind like I'm saying whatever the increase you have been able to pass on...

Mithun Chand: For example, if I produce a corn hybrid, the remuneration for the normal farmer if he takes corn hybrid like is INR30,000, INR40,000, say. For our farmer, definitely looks at INR50,000, definitely 20% to 25% more than the existing farmer. So that's how the entire cost works out to be.

Janish Shah : Okay, understood. Thank you very much.

Moderator: Thank you. The next question is from the line of Krushi Parek from Ugle Rock. Please go ahead.

Krushi Parek : Yes. Just one housekeeping question. There was about 16%, 17% jump in the employee cost.

Can you help me understand why this much jump? I understand revenue has jumped 22%, but from about INR35 crores last year and about INR30 crores on an average that we have for other quarters, around INR41 cro

res jump is something that I'm looking to understand?

Mithun Chand: For the entire 9 months you're talking about?

Krushi Parek : No, for the December quarter?

Mithun Chand: December quarter, sorry, employee cost?

Krushi Parek : Employee cost?

Mithun Chand: One, there are usual increments what we give. And the other thing is count also we have increased the count. We both will contribute for the employee cost.

Krushi Parek : Sorry, you have increased what?

Mithun Chand: One is the count, employee count and other one is a normal increments.

Krushi Parek : Okay. And the employee count is increased in a particular category of employees, in which category?

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Mithun Chand: Across.

Krushi Parek : Across. And this is in anticipation of something?

Mithun Chand: So one -- see, one, we are increasing production that itself shows that we require more people in the production, more people to test and more people to process. Again, we require more

people to sell it also. So based on the areas and all those things, it all goes up across the Board.

Krushik Parek : Got it. So rate will be somewhere around 8%, 9%?

Mithun Chand: Yes, usually, around 8%, 9% right.

Krushik Parek: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen that was the last question. Thank you for joining the call.

For any other information, please be in touch with Mr. Rama Naidu from Intellect PR on 9920209623. On behalf of Kaveri Seed Company Limited, that concludes this conference.

Thank you all for joining us. And you may now disconnect your lines. Thank you.

Call: May 2025

23rd May 2025

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,

Sub: Transcript – Kaveri Seed Q4 & FY 20 24-25 Results Conference Call on
Tuesday, 20th May , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q4 & FY 20 24-25 Results Conference Call made on Tuesday, 20th May , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

<https://www.kaveriseeds.in/wp-content/uploads/2025/05/Transcript -1.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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Page 6 of 15stion, if yo u
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Page 8 of 15, 12% is i n
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Page 9 of 15
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P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,

Sub: Transcript – Kaveri Seed Q1 & FY 20 25-26 Results Conference Call on
Thurs day, 14th August , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q1 & FY 20 25-26 Results Conference Call made on Thur sday, 14th August , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

[https://www.kaveriseeds.in/wp-content/uploads/2025/08/Tran .pdf](https://www.kaveriseeds.in/wp-content/uploads/2025/08/Tran.pdf)

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited
Q1 FY26 Earnings Conference Call"
August 14, 2025

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Kaveri Seed Company Limited
August 14, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company Limited Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing

star then zero on your touch-tone phone. Please note that this conference is being recorded. Joining us today on this call, we have with us Mr. Mithun Chand, Executive Director. Before we begin, I would like to mention that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation. I now hand the conference over to Mr. Mithun Chand. Thank you, and over to you, sir.

Mithun Chand: Thank you. Good afternoon, and welcome, everyone, to our Q1 financial FY26 earnings conference call. We hope you had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational financial performance of the company and then open the floor for Q&A.

We are delighted to declare a good set of numbers on account of increasing acreages and higher realizations of non-cotton segments like rice and maize. Increased volumes of non-cotton hybrids have resulted in good realizations, which has been well reflected in the overall revenue growth. The increase in contribution of new products of volumes of cotton will have major impact in the quarters to come in our overall cotton revenues growth. Rice, maize and vegetable segments continue to grow both in terms of acreages, revenues, so as realizations. In spite of restrictions in hybrid rice sowing in Punjab, we had delivered good set of growth in hybrid rice revenues. We have witnessed a trend of substantial increase in revenue growth as compared to volume growth across all non-cotton segments like rice, maize and vegetables, which would continue in the next years to come.

Revenue from operations was at RS. 945.31 crores as compared to RS. 808.09 crores in Q1 FY25, registered a growth of 16.98%. EBITDA was at RS. 332.85 crores as compared to RS. 292.79 crores in Q1 financial year FY25, increased by 13.68%. Net profit was at RS. 316.50 crores as compared to RS. 282.91 crores and registered a growth of 11.88%.

Key highlights. The contribution of new products of volumes of cotton, up from 12% to 34%. Cotton sales impacted by increase in illegal cotton, increase in cost of production of cotton seed impacted the profitability. Hybrid rice volumes increased by 6.48% and revenues increased by 32%. Hybrid rice restricted in Punjab affected the sales in that state. Selection rice volumes increased by 1.5% and revenues increased by 11.58%. Maize volumes increased by 21% and revenues increased by 54%.

Vegetable seed volumes increased by 28%, whereas revenues increased by 41%. Volumes of non-cotton hybrids increased by 8% and revenues increased by 31%. Volumes of cotton hybrid decreased by 15%, and there is a corresponding decrease in revenue. I would now open the floor for Q&A session.

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Moderator: Thank you very much. The first question comes from the line of Siddhant from Goodwill. Please go ahead.

Siddhant: My first question was when you refer to the cotton illegal seeds, are these largely BG-III seeds?

Mithun Chand: Yes, basically illegal BG-II RRF seeds. That's what we call as illegal seeds.

Siddhant: Okay. Any update on the BG-III?

Mithun Chand: Not yet, but it's been positive, any time it should come by seeing the growth in this type of illegal cotton, even the government authorities are a bit worried about it and even farmers for new technologies. We

have a continuous dialogue with the approving authorities. So any time we may expect it.

Siddhant: Okay. Any update on non-cotton GMCs or testing?

Mithun Chand: As of now, now, the testing is going on, but not much. What we think is that initially, first thing will be the cotton segment because which is already approved in the market and non-cotton segment may take some more time to get the formal approvals.

Siddhant: Okay. The non-cotton growth that we achieved this quarter, firstly, congratulations on that. Secondly, do you think this will sustain at this rate for the next few years or maybe a lower rate?

Mithun Chand: Definitely, what we think is that non-cotton segment should be in and around the 20% growth levels going forward as we see acreage increase in maize. And even we see the rice market to go up. This time, even the rice market grew when compared to previous year, majority of the market was in this varietal speed and not in the hybrid segment.

But definitely, what we anticipate is that definitely the move to hybrids. We see both acreages coming up in both maize and hybrid rice, whereas Kaveri, we are well placed in maize. We have very good pipeline hybrids which are coming in, which are for not only for the southern segment, but also we are already working on the segments where we are not there.

Even in rice, we are working on the segments where we are not there. So we have very good

pipeline hybrids in those segments. What we think we believe is that going forward 20% growth in non-cotton segment is very much possible.

And coming back to cotton by seeing the base what we have. Even last year, we said that we have a low base, we will not go back but the illegal cotton has gone up this time and the acreages are also slightly down. That has impacted the sale. But the plus point in our sale this year is that even though we have decreased in our sale, the new cotton contributions have gone up when compared to the previous year.

So those are the segments which are doing well. So definitely, we think that even in cotton, we see a good growth coming. We just got delayed by a year or so, but we are pretty confident

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about the cotton growth. And overall, we see the company to grow 15% to 20% going forward for the next 3 to 5 years which looks pretty much possible.

Siddhant: Okay. Within the cotton, is the illegal seeds productivity higher than the BG-II seeds that we are selling right now or the industry is selling right now?

Mithun Chand: Right now, what we anticipate is that is our company's internal thing, may differ from other companies. But what we see the 20% of the market is in the illegal BG now.

Siddhant: Okay. No, I'm talking about the productivity of those seeds. Is it better than...

Mithun Chand: No, we still need to watch it now, we have seen a mixed result on that. The crop is still growing and we are yet to see the results. But anyway, the government is also acting very harsh now. They have witnessed this type of growth. We all as an association, we all represented saying that it will harm the farmer going forward because they don't know what sort of seed they are putting in. So that also will impact yield going forward. So I think that will be corrected.

Siddhant: Perfect. Last question before I join is, what is our dividend cash payout policy? Because I think we're sitting on all-time high cash and we had a buyback policy before. Now what is it going forward?

Mithun Chand: Not at a high because as we have produced more inventory this year, majority of the cash is there in the inventories, which will be realized in the next coming quarters. But as of now, we have not taken any decision on the buyback policy. Dividend will definitely be there. We'll come back with the policy once we have the discussion on it.

Siddhant: Okay. And because you are sitting on all-time high inventory, do you expect

some inventory to get written off or not really?

Mithun Chand: Whatever inventory we have is all new inventory. Our written off is always a part of the system. So we don't see any sort of high risk in writing it off as of now. But the stock is not yet returned. We have just made a provision. It is reaching the stock. We'll meet it through the quality test and do that. But with our experience, what we see is that most of the stock is this year produced stock. So usually, these stocks lie for 2 to 3 years. So we don't see that sort of risk.

Moderator: The next question comes from the line of Amit Doshi from Care Portfolio Managers Private Limited.

Amit Doshi: Sir, while we say that we have a 17% growth, that's on the stand-alone. When I look at the consolidated numbers, we are in a single-digit growth. So is it fair to say that the sales that we have done is lying in as inventory in subsidiary? I mean any clarification that you would like to give.

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Mithun Chand: So we don't have any inventories in subsidiaries because whatever we sell is through subsidiaries only. Majority of the subsidiaries when we see, it's only cotton, not the other crop. That's the reason you see a single-digit growth there.

Amit Doshi: No, still not very clear. So when you say consol has RS. 945 crores of sales, whereas -- sorry, stand-alone has RS. 945 crores of sales and consol has around RS. 90 crores less sales. So I didn't get the cotton part.

Mithun Chand: No, as per the accounting, we need to deduct that, but that's the only thing. That's the reason you see a single-digit growth there. We need to knock out that sale.

Amit Doshi: But ultimately, as a company, including subsidiary, we would have done sales of only RS. 50 crores, right, and not RS. 945 crores.

Mithun Chand: Subsidiaries, we have done more sale in subsidiaries. But when we see the entire source of the seed is from the main company seed. For example, if I sell RS. 700 -- if I sell at RS. 800 in

cotton there, the RS. 600 is registered in the books of Kaveri, only RS. 200 is registered in the books of subsidiary. That's the reason, you see a very small growth there, only RS. 50 crores sale there. Anyway I will come back with those -- anyhow I will come back with...

Amit Doshi: Not very clear on...

Mithun Chand: I will also try to clarify that. I will also try to clarify that regarding the consolidated one, in what way the accounts are treating it, I will just -- do that.

Amit Doshi: Sure, sure. Sir, in terms of volume growth and price growth, we have seen significant price hikes in all of the seeds except the cotton one. So any particular reason that this time there is no significant demand or some price hikes that we have taken? Anything particular because all volumes have grown, but the price has grown far higher. So anything on that?

Mithun Chand: If you see the last 2 quarter con calls, we were saying that the cost of production is going up in most of the crops. That's what we have seen here. And we were able to pass on the cost of goods to the farmers in non-cotton segment. Whereas in cotton segment, because the prices are restricted by the government and there was a lot of inventory, the demand was not that good. So these all have affected in not passing on to the farmer. That's the reason even though we have realized a few tens of rupees more than last year whereas the cost of production was really high when compared to the last year which had impacted our profitability.

Amit Doshi: Okay. So that is something which...

Mithun Chand: If you see the decline, we are down by like 1% in EBITDA margins compared to the previous year. Usually, when we do sale in non-cotton segment, the margin should go up. In fact, the margins have gone up in non-cotton segment, but the margins in cotton have dragged a bit. That's the reason we have seen a dip of 1% in the overall EBITDA mar

gins.

Amit Doshi: Understood. Understood.

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Mithun Chand: And that's a very temporary thing. This year, all the companies have produced more. Now it should moderate.

Amit Doshi: Okay. Okay. And sir just earlier participant spoke about inventory of course we had a very high inventory compared to last year, RS. 750 crores, more than RS. 1,000 crores. So last time you mentioned we produce buffer stock. So you did mention, but do you see anything significantly liquidating in the second half in the rabi season? And how do you see rabi season...

Mithun Chand: Definitely, the second half will be much better than last year because we see a huge, I mean, very good positivity for maize. And if you see this year also, our major crop is maize, which has grown by more than 21% in terms of volumes as well. And going forward also maize is a crop which will grow. Vegetables have also gone up. And when you see the next 3 quarters of the second half, basically, it should be much better than what we had earlier.

Amit Doshi: Understood. Understood. Sir, any clarity on the tax matter that which is still pending or hanging for...

Mithun Chand: As of now, no case is disposed at commissioner level, I mean, the CAT appeals level. If anything is there, definitely, we'll inform to the investors and the exchange.

Amit Doshi: No anything at the policy level. So the current...

Mithun Chand: Policy level, not yet. But as an industry, as an association, I'm also part of it. We are continuously representing it, and they also want to make a policy which they are still working on it. There are many reports which suggest that it should be treated as agriculture income internally, but we are waiting for the policy. We are trying for it. I'm not sure when we'll get, but we are continuously trying for that.

Amit Doshi: Okay. Okay. And sir, we also have crop nutrients as a part of our sales. So what percentage of that would be -- I mean, sales breakup you have given, but this crop nutrient segment?

Mithun Chand: Sorry?

Amit Doshi: We also have crop nutrients segment, right? Or everything is...

Mithun Chand: Yes. We have but that all comes in the subsidiaries, but that's a very small part of the business.

Amit Doshi: Okay. It would be less than the...

Mithun Chand: The crop nutrients is only RS. 45-50 crores business as of now. But even we see good growth going forward in the next 3 to 5 years, it will contribute to the top line. We're working on the products earlier, maybe in a year or 2, most of the products and the network will be across India.

So we see good activity in those segments. And the other part, what we have done in this year in the last 1-2 years, even in subsidiaries, we were only doing cotton earlier. But we have

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many products in R&D because we have expanded our subsidiary network to other states where we are giving other products which are not there in Kaveri.

For example, if you have 2 or 3 hybrids in Kaveri, one of the hybrids are given to the subsidiary so that we can market all the hybrids. Because in a company, we can't market all the hybrids at a go. So we are already expanding those networks. So even in subsidiaries, we'll also do very good business going forward, both in cotton and non-cotton segment.

Amit Doshi: Okay. Okay. And sir, when I look at other peer segment results, peer companies in the listed space, so they have also done significantly well, like Rallis if I take more than 35% growth. So this time, is it across industry, would you want to say that Kaveri has also done in line with industry or slightly...

Mithun Chand: That we need to see because this time, the industry was tough, except for maize in most of the crops, they were not able to do, for example, cotton, no. But whereas Rallis, their hybrid has done well in Northern India, cotton beca

use every company has their own policies initially

because some do that in first quarter, some do in second quarter. But as a policy as a company, we take only the liquidated stock as the sale and provide everything as returns, whereas other companies take the policy of 10%, 15% or so.

Usually, this time, what we see in the industry is the returns are more than the usual terms. So we need to check for the second quarter results, and we can only say what they have done well because we don't have an exact idea what the liquidation amount is. Once you see the second quarter, we can compare first half to first half and then we can draw a conclusion.

Amit Doshi: Okay. Okay. I will reach out to you separately on the revenue standalone consolidated.

Mithun Chand: Sorry.

Amit Doshi: Thank you so much for the stand-alone consolidated clarification. I will reach out to you separately...

Mithun Chand: Yes. I'll definitely try to work on it. I'll just try to understand...

Moderator: The next question comes from the line of Dhruv Saraf from Bowhead India Fund.

Dhruv Saraf: Congratulations on the good numbeRs. Sir, just wanted to understand what is the R&D, as a percent of sales for the quarter?

Mithun Chand: So last year, the entire revenue expenditure of R&D was close to RS. 60-odd crores. This quarter, it should be in the same line, RS. 15 crores to RS. 17 crores and capital expenditure extra will be over and above because we have again invested like RS. 45 crores to RS. 50 crores in a new R&D plant. Today, it was the opening of that R&D centre.

Dhruv Saraf: So you said around RS. 14 crores of depreciation in the first quarter. What is...

Mithun Chand: Sorry.

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Dhruv Saraf: We've seen around RS. 14 crores of depreciation in the first quarter. So sir, what should we assume this run rate as well going ahead? Or will depreciation increase...

Mithun Chand: Yes. Maybe for a year or so, this run rate will continue for the next 12 to 18 months, this should go on because we have set up a new office. So that also was capitalized in the last quarter. If you see last quarter, the depreciation was RS. 14 crores. This quarter, it is RS. 12 crores. So it will continue for the next 5, 6 quarters, then it should be done.

Dhruv Saraf: So you don't expect, sir, your depreciation to increase from these levels in the next few quarters?

Mithun Chand: So the depreciation, that's including both last year and this year, the depreciation altogether should be like RS. 12 crores to RS. 15 crores should be per quarter, and it will not go beyond this.

Dhruv Saraf: Understood. Right, Mithun sir, what is the visibility you have on the export business on the Bangladesh sales? Do you expect...

Mithun Chand: Compared to last year, we see a lot of positivity in Bangladesh, not only in Bangladesh, in other countries like Tanzania, Vietnam, Philippines, we have already exported to some extent.

Compared to previous year, the export will definitely have a growth of 30% to 40%.

But whatever we are growing this year, that will be the base. And year-on-year, we see a good growth in exports also because most of the products are accepted in new countries also, which we were testing for the last 3 to 5 years. So some quantities are already exported this year. And sorry, this quarter also, the running quarter also, we have done some sales.

Dhruv Saraf: I had a question on cotton, sir. So you've seen the new products perform well in the market, and you scaled up to almost 10 lakh packets of new products. So going ahead in FY28, how do you see the mix changing of cotton? Do you assume that -- should we assume that new products in cotton would be most of the sales going ahead? Are you confident of that?

Mithun Chand: If you talk about FY28, 80% to 90% of the revenue from new products.

Moderator: The next question comes from the line of Krushi Parekh from Bu

glerock PMS.

Krushi Parekh: Sorry, first of all, for the background noise, but we had substantial jump in the inventory about 40% as compared to previous year in the March quarter. I mean the sales revenue jumped about 17-odd percent largely because of this cotton or...

Mithun Chand: Sorry, in between I was missing you. What's your question...

Krushi Parekh: My question is that we saw a jump in the inventory during the March quarter. And the revenue for this quarter jumped by about 17-odd percentage. So is the mismatch because of cotton seeds only or because of some other seeds as well?

Mithun Chand: So we have produced all seeds. If you recollect last year con call when we had a March quarter results, we said that we have intentionally increased the inventory. One is we are anticipating Kaveri Seed Company Limited

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good season. And second thing is we want to maintain some buffer stock because this time, we faced inventory crunch and we lost some sales that is last year. So we have produced more and strategically, we are keeping some as buffer stock.

Yes, cotton, as per our anticipation, we thought of doing better, but we have not done well.

The cotton inventory is slightly higher than compared to what you say, like our anticipation.

But if you see the overall level, if you see cotton as a percentage is only 20% of our revenue.

So that will be in line with our inventories.

Krushi Parekh: Okay. And typically, who would be producing these illegal cotton seeds and how can...

Mithun Chand: There are many companies who do it. There are tens of companies who do it usually who are not the big companies only the smaller companies will produce them.

Krushi Parekh: Okay. And considering where we are today in terms of our inventory level, so how will -- our procurement will be in the next season?

Mithun Chand: Cotton, we have already given it. We are trying to reduce the inventory because we have not done well to what extent we'll be successful in that. Whatever inventory we have given is a new hybrid. So we don't have any worry about that. But whereas in other crops, we are yet to give the production because that all happens in the second half.

By seeing the inventory level, by saying which variety we need to give based on that we will give. So we don't see any threat in those non-cotton inventories. Even in cotton, it's a new hybrid, so we don't see any issue in that.

Moderator: The next question comes from the line of Anurag Jain, an individual investor.

Anurag Jain: Just to continue on the point of consolidated sales and stand-alone sales. Last year, the consolidated sales were around 8% higher than stand-alone sales. So for the full year, would you expect the same trend to continue that consolidated sales would be like 8% higher than, say, stand-alone sales?

Mithun Chand: But that's what I said that I just need to find out the accounting policy of stand-alone and consolidated. But if you see the subsidiary business when compared to last year, that will definitely be better than the next second half. Last year, second half to this year second half or last year 3 quarters to this year 3 quarters, it will be much better than the last year because as I said that earlier, we were only concentrating on cotton crops, now we are down to the non-cotton segment. Non-cotton segment usually comes in the second half. So that will be much better than last year.

Anurag Jain: The reason I'm asking this question is because if we look at consolidated sales, the growth is only 7%, which is good. But stand-alone sales growth is 17%, which is excellent. So for the full year, what kind of trend would you look at like a 7% growth or a 17% growth, which is the more meaningful number?

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Mithun Chand: So consolidated, I'll just come back with the accounting policy, how they do that. But if you take the stan

d-alone process, it will be much better than the 17% growth.

Anurag Jain: Okay. Okay, sir.

Mithun Chand: The next 3 quarters will be much better than the first. For example, if we have done 17% growth when compared to Q2 to Q1. If you compare the next 3 quarters to this coming consequent 3 quarters, the 17% growth will be much higher than the 17% growth.

Anurag Jain: Okay. And...

Mithun Chand: Overall, what we think is that right now, the 17% growth, which is looking for quarter-on-quarter, but year-end, it should be like close to 20% growth overall.

Anurag Jain: Okay, sir. Okay. And then the same trend should be reflected in the consolidated sales too...

Mithun Chand: Yes, yes.

Anurag Jain: Because the consolidated should be higher than the stand-alone for the full year?

Mithun Chand: Let's just come back on how the accounting of the consolidated numbers. But definitely, the sale will be in terms of absolute figures will be higher, both in terms of the consolidated and in terms of the stand-alone.

Anurag Jain: Okay. And sir, there is a follow-up. One of the previous participants had asked that where are the illegal seeds coming from. So you said that it's coming from the smaller companies, but the smaller companies in India or is it coming from overseas?

Mithun Chand: Most of the cotton companies are Indian companies. I mentioned that these are very small pockets, they produce and they cater to their own segments.

Anurag Jain: Okay, sir. And sir, just to understand the growth in rice volumes, growth in rice seed volumes, the sowing area has increased by around 17% across different states as per the commentary in the presentation. But for selection rice, the volumes are up by 1.3% and hybrid rice volumes are up by 6.5%. So our volumes have grown lesser than what is the increase in the sowing area. So what would be the reason for this lower volume growth versus the growth in the sowing area for rice?

Mithun Chand: I've already commented on this, but again, I'll clarify on it. Regarding rice, we have grown at 6% in terms of the volumes in hybrid rice. Whereas in other areas, the rice acreage has gone up, but it all moved to the varieties, not to the hybrids. That's the reason we have seen a decline. We have remained same.

Anurag Jain: Okay, sir. Okay. So basically, we have maintained our share...

Mithun Chand: Yes. In fact, we have increased our share in hybrid rice.

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Anurag Jain: Okay. Okay. All right, sir. And sir, for when the company says new products, for like cotton, we are saying that new products have gone up from 12% to 34%. So what is the definition of new products? These new products are like the products which are launched in last 1 year or last 2 years? What is the definition of...

Mithun Chand: Last 2 years, last 2 years.

Anurag Jain: Last 2 years?

Mithun Chand: yes, you can say that.

Moderator: The next question comes from the line of Dhruv Saraf from Bowhead India Fund.

Dhruv Saraf: Sir, what is the outlook on the cost of production going ahead? You had a tough season there. So do you believe you've seen the peak in terms of cost increases? Or are you seeing further increases in terms of next season?

Mithun Chand: I don't think so because last year, the competition was pretty high among all the companies because most of the companies were down with the inventories and everyone was very aggressive in producing it and the cost of production has gone up. This time, the inventories are there. Everyone is slowing down on the level of inventories. So I don't see any like further rise in some sort of inflation here, but not a significant rise as like what we have witnessed this year that we may not witness in the coming next 2 to 3 years.

Dhruv Saraf: And is it safe to assume that the margins can expand from here going ahead given the mix has changed to...

Mithun Chand: Even I said in the earlier thing

that going forward, the margin should improve.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.

Mithun Chand: Thank you. For any further queries, you can call our investor desk and anything. I'll come back with the consolidated one again. Thank you.

Moderator: Thank you for joining the call. For any other information, please be in touch with Rama Naidu from Intellect PR. On behalf of Kaveri Seeds Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

13th November 2025

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,

Sub: Transcript – Kaveri Seed Q2 & FY 20 25-26 Results Conference Call on
Friday , 07th November , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q2 & FY 20 25-26 Results Conference Call made on Friday , 07th November , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

<https://www.kaveriseeds.in/wp-content/uploads/2025/11/KaveriSeed-Earnings-Nov07-2025.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited's Q2 FY'26 Earnings Conference Call "

November 07, 2025

MANAGEMENT : MR. MITHUN CHAND - EXECUTIVE DIRECTOR , KAVERI SEED
COMPANY LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Kaveri Seed Company's Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference call will be recorded.

Joining us today on this call is Mr. Mithun Chand – Executive Director.

Before we begin, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties . For a list of such considerations, please refer to the Earnings Presentation . I would now like to hand the call over to Mr. Mithun Chand. Over to you, sir.

Mithun Chand: Thank you. Good evening and welcome everyone to our Q2 H1 FY'26 Earnings Conference Call. We hope you had a chance to review the Presentation of our results, which is also available on our website.

I would touch upon the Operational and Financial Performance of the Company and then open the floor for question -and-answer session. Revenue from operations registered a growth of 17.09% to Rs. 1,041.91 crore as compared to Rs. 889.85 crore in first half 2025. EBITDA was at Rs. 333 crore grown by 11.12% as compared to Rs. 299.68 crores in first half '25 Net profit was at Rs. 301.45 crore as compared to Rs. 279.41 crore in first half 2025, grown by 7.9%. Cash -on-book stands at Rs. 363 crore s as against Rs. 559 crore. For Q2 FY '26, revenue from operations was at Rs. 96.61 crore. EBITDA was at Rs. 0.16 crore. Net profit was loss at Rs. 15.05 crore. Board has recommended 250% dividend i.e. Rs. 5 per equity share on a face value of Rs. 2 per equity
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share. The double -digit growth in revenue and EBITDA are very impressive.

Substantial increase in maize volume resulted in much higher growth in terms of its revenue, which shows its potential in overall non -cotton portfolio and also shows the strength of the Company in this segment. In spite of moderate volume growth in selection and hybrid rice, the realizations were higher. Maize volumes increased by 29.7% so as revenues increased by 56.76%. The contribution of new products to volumes of cotton is up from 11% to 36%. Cotton sales impacted by increased illegal cotton seed usage. Increase in cost of production of cotton seed impacted the profitability. Hybrid rice volumes increased by 0.9% and revenues increased by 21.48%. Selection rice volumes increased by 2.6% and revenues increased by 11.07%. Vegetable seed revenue increased by 31.06%.

I would now open the floor for question -and-answer session.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Yogesh Mittal who is an individual investor. Please go ahead.

Yogesh Mittal: A question about the vegetable seeds. Since last few years, we have increased the focus on the R&D and we also have a dedicated sales team for this. But the sales and this have not gained much traction in last few quarters. Can you please explain what the Company is taking initiatives for growth of the vegetable seeds? And how is the competitive landscape happening in this area?

Mithun Chand: Vegetable market is a very competitive market and it's a year -long business. And vegetables in the sense like there are many segments in vegetables, but majority of the segment is dominated by chili, okra and
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tomato. These three contribute to majority of the revenues. As a company, we are very much focused on vegetables. As you rightly said, we have intensified our R&D team. We are much focused on few

vegetables and we have a separate dedicated team. Y

es, in last couple of years, we were not able to grow much as anticipated, but definitely we have grown in terms of vegetable seed business. Even this year, we have grown in terms of revenues. Going forward, we are very bullish on vegetables and definitely we will be achieving good growth in vegetables. And this year also, in the second half, we see a good growth in vegetables. In the first half, we have seen heavy rains. Even that has impacted a few amount of sales, but we are pretty optimistic about the second half.

Yogesh Mittal: Thank you, sir.

Moderator: Thank you. The next question is from the line of Dhruv Saraf from Bowhead India Fund. Please go ahead.

Dhruv Saraf: Hi, Mithun sir. I just wanted two answers. One is, what is the R&D spend for the quarter, sir?

Mithun Chand: For last year, the entire R&D spend was Rs. 60 crores odd. This year, the R&D spend, if you take in a quarter wise, it will be slightly here and there. But every quarter, we will be spending in between Rs. 15 crores to Rs. 20 crores. I am talking about only recurring expenses. Again, CAPEX is different. If you observe the balance sheet, there is an increase in the amount of depreciation also. Yes. So, that is one because we have set up a new office and this year, this quarter, we started the R&D facility also. So, both are impacting the depreciation.

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Dhruv Saraf: Secondly, the employee and the other expenses have broadly grown at 14% in H1. So, does this continue for the rest of the year? Do we expect an increase or a decrease or at the same level?

Mithun Chand: It will be in between the 12 % to 15% rise. One is that increments and the other is new headcount because as we are adding new crops and new people, new R&D facilities, that is how the costs are going up. That should be in between 12 % to 15%, both combination of both increments and headcount.

Dhruv Saraf: Understood. Finally, inventory has gone up significantly on a year -on-year basis in the half -year balance sheet. Will there be further build -up in inventory going ahead or does it remain at the current level?

Mithun Chand: Last year, we had build -up inventory in anticipation of a good sale this year. Unfortunately, even though we have achieved the sale, but got not per our anticipation, especially in seeds like cotton. In cotton, we had build -up inventory, but because of illegal usage and the acreages were coming down, we have seen some sort of inventory, higher inventory, and we have produced some buffer stock because last year the entire inventory was cleaned up. So, in rice and maize also, we have some buffer stocks and inventory. This year, it will be high, but going forward, it should be in line with this year. It will not increase.

Dhruv Saraf: Okay, understood. I'll come back in the queue . Thank you.

Moderator: Thank you. The next question is from the line of Amit Doshi from Care PMS. Please go ahead.

Amit Doshi: Thank you. Sir, this cotton has again, Q1 also did not do well. Q2 also didn't do well. So, I wanted to understand in the inventory, which the earlier participant asked, what portion of it would be cotton and have we

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taken, I mean, is it because illegal cottonseeds are cheaper? So, have we taken and you also mentioned that there is a higher cost of production of cottonseed. So, have we taken hit in the P&L towards that and the inventory is valued at the market price? How would the treatment go? Because trying to understand the impact on the margin, despite such a huge rise in the maize price revenue as well as volume growth ?

Mithun Chand: Basically, we take the inventory cost at cost. We'll not take at the selling price. We'll take it at cost, cost incurred by the Company. And as a policy, whenever we write out, write i

t off the inventory, we take it in the balance sheets. So, all the inventory which is there in the books are saleable inventory and we are not worried about the inventory as it's all fresh production. In terms of cotton, the inventory stays for 3 to 4 years. So, we are not worried about that. Whereas in other crops also, the inventory, the cost of production has gone up both in maize and rice. But we were able to pass it on to the farmers in those segments. Whereas in cotton, it was a restricted one. So, we were not able to pass it on. So, that's the reason you see a huge rise in the revenues and the volumes. And as a maize as a crop is growing crop and we see a huge potential in maize going forward. And as a company, we are very much focused on maize and that's how the volumes are reflecting that growth. And even in the second half, you see a good growth in maize. And that will continue for at least 3 to 5 years.

Amit Doshi: Yes, okay. So, that's what my point was about the cotton seed. Since you cannot sell it beyond a point. So, if we already have a higher cost inventory, which we are not going to be selling at that same cost, then why don't we kind of take it, a hit?

Mithun Chand: No, we can sell it in the next years also, right?

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Amit Doshi: But the price is already high, right? So, basically just to understand, we are sitting on a high cost inventory, correct? Out of that 920 crores, there will be some portion which is cotton and which is a high cost inventory, at which price it is difficult to liquidate?

Mithun Chand: No, inventory, what I meant to say is that the cost of production was higher than last year, but definitely lower than the selling price.

Amit Doshi: Okay. That's what I wanted to confirm. Understood.

Mithun Chand: The margins have taken it. We are not getting any negative returns on that.

Amit Doshi: Okay. Exports, sir, can you share? How has been export? We were quite positive on exports. What portion is exports and if you can just give any color on that?

Mithun Chand: Compared to last year, we will do well in the exports. Exports will come in the third and fourth quarter, majorly. We will do better than last year. Last year, the base was also very much lower. But we will be growing at least like 25 % to 30% more than last year. In fact, we should be in that Rs. 35 crores range this year in terms of exports. That will come in the 3rd and 4th quarters. Overall sale. And that we are going forward, going forward, year-on-year it will grow in terms of exports. Because we have tested in many countries, the results are very positive. And now we are getting new orders from different countries. But you know, as a seed business, it will be very minimal in the first few years, then it will increase. So, we are in the trial and like initial stages. But year-on-year, we will definitely see growth in exports as well. Both in terms of the field crops and vegetables.

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Amit Doshi: Okay. So, Rabi season has already begun. If you can just give as to how the season is looking, especially because of extended monsoon? So, how the next two quarters are looking like, Rabi season?

Mithun Chand: Majority of the sale will come from maize. Maize sowing is not yet started. It is because of the, as rightly said, the extended monsoon. Now it will start now. Some areas it has already started. But now majority of the area will start in this month. So, we are very much bullish on May. And we have good inventories also. We have planned inventory for this Rabi. Anticipating good Rabi. So, we will see a good volume growth in Maize even in the second half.

Amit Doshi: Okay. Last time, sir, you had given guidance that Q2-Q3-Q4 will be better than last Q2-Q3-Q4. So, it's not the case in Q2. I mean

, at least on the profitability front. How do you see Q3, Q4?

Mithun Chand: Even in the profitability front, if you take in EBITDA minus other

income portion, we are positive. In terms of the percentage, even though Q2 is usually a lost quarter because it's just a spillover sale. Even in that occasion, if you take, even in that in stance, if you take the EBITDA minus other income, even the other income is lower this year, in this quarter, when compared to previous quarter. And the depreciation was high. So, if you take out these components, in terms of the margins, even though it's negative margins, we have done better than this last quarter. And Q3, Q4 also will do better than the last two quarters, in both in terms of the revenues and in terms of the profitability.

Amit Doshi: Okay. Sir, dividend we announced Rs. 5. That has been the case historically. But at that time, we used to do even buybacks. Now with the buyback probably not happening going forward, going to that law amendment, so how are we trying to, or kind of rewarding the shareholder?

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Mithun Chand: We'll have a separate discussion in the board after that, because this time we have the entire money. Even if you can see the balance sheet, the reserves and the money, it all went into inventory. So, that will be realizing in the next 6 to 8 months, majority of the inventory, then we'll take a call on that.

Amit Doshi: Okay. I'll join back the queue if any more questions. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Sonaal Kohli from Bowhead. Please go ahead.

Sonaal Kohli: Hello, sir. Congratulations on your sales growth. After a pretty long period, it was very healthy in the first half. Sir, I have a question pertaining to the coming crop season. Because of the rains, do you expect the outcome can be different than what you may be thinking now? Can it postpone the consumption of seeds in any way? Or lead to a permanent dent in seed demand? Not only for you, but generally for the industry.

Mithun Chand: We don't see that as of now, because usually this year, we have seen an excess rainfall. And most of the crops were impacted in the first quarter itself. First quarter, which was a major for us and the sowing pattern also has taken a hit. For example, in rice, majority of the rice moved to the varietal rice this time. That's the reason we have not grown much in hybrid rice. So, the impact is already done. But whereas in the second half, there's one positive point is that all the tanks are full, the moisture levels are pretty good. So, we see good Rabi coming up. No doubt, the season got extended by, delayed by a week or two. But we don't see any threat as of now.

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Sonaal Kohli: So, sir, some parts of India are still going through rains. I mean, if this continues, like for a whole longer period then that would make you change your view. Would it make a difference?

Mithun Chand: We don't see that because now you don't get any monsoon now. If you get any, you get only cyclone rains. But earlier it was all monsoon rains. Monsoon is a continuous thing. Cyclones are once in a while. So, we don't see that now.

Sonaal Kohli: So, you don't see that, any dent in demand?

Mithun Chand: No.

Sonaal Kohli: Secondly, sir, in terms of your margins, your gross margins have been falling. While your product mix has improved because cotton hasn't done that well and I'm talking not only this quarter, but from a half yearly perspective, because I understand your business, looking on quarter-to-quarter doesn't make sense. But mostly from a 6-12 perspective, it still makes a lot of sense to, because this is like, the year is gone in terms of profitability. So, when you were expecting a margin increase, so what happened

d? What led to a lower gross margin and hence a lower EBITDA margin for you and how would you expect it to go forward?

Mithun Chand: Basically, if you take the margins, we are down by like 1.5% to 2% in terms of the EBITDA levels. But if you take the entire cost, I've gone to the cost of goods. The major portion, the 2%, 2.5% was rising the cost of goods. So, as I said, the production cost is up in both in cotton and non-cotton segments also. And there was a huge price rise and everything, we were not able to pass it on to the farmer. Majority of that, we have passed it on other crops. Cotton, we were not able to pass it on. But, this year was one of the year where we had taken a hit, but we'll definitely go back to our own previous profitable margins.

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Sonaal Kohli: So, sir, this cost increase is permanent in nature or do you expect the cost is falling or already started falling? Because you know, the cost increase has been going up for the last few years?

Mithun Chand: No, usually every year, not every year, but when you see a 3 to 5 year base, year-on-year, the cost of production definitely goes up as the grain price goes up. And we'll pass it on to the farmer. This year, the cost of production was up by more than 15% to 20%. That's the reason the entire cost was not passed out, passed to the farmer in one go. Because previous year, most of the companies were not having inventories and their production was very aggressive. This year, the cost will remain the same or will come down compared to last year.

Sonaal Kohli: So, sir, if I split it into cotton and non-cotton, were you able to pass on anything at all in cotton side?

Mithun Chand: Cotton, we were not able to pass it on. Cotton, we were not able to pass it on because the price remained there. Even though there was a few, like 3% increase in price, but practically, we were not able to pass it on to the farmer because the inventory was very high. There was full of inventory in the markets. The sentiment was not good for the farmer. The prices were not good, so that we were not able to pass it on in cotton. But in non-cotton segments, majority, like 2% here and there, but majority, we were able to pass it on to the farmer.

Sonaal Kohli: And because of this trade deal, there is a risk that the maize crop may come under a problem. Do you see anything like that? There is a lot of rumor that because of the US-India deal, if it happens, the maize crop may get impacted.

Mithun Chand: As of now, we don't see much, but when you see the Agriculture Ministry, if you can go back to the statement which was given a couple
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of months back, a month or two, they wanted to double the maize production in the next five years. By 2035, they want to double maize production. So, because most of the ethanol crops have gone up now, most of the maize is going for the industrial usage. Earlier in India, more than 70%-80% was poultry. So, we don't see that sort of a trade. And if you see as an overall acreage also, this year, even in this market, with the heavy rainfall, the maize market overall acreage was up by 10%-12% at the Indian level.

Sonaal Kohli: So, this year, your revenue growth of 15% is possible according to you?

Mithun Chand: So, we've already grown at 17% in terms of revenue in the first half. Second half, definitely it will improve.

Sonaal Kohli: Okay, great. Thank you so much.

Moderator: Thank you. The next question is from the line of Siddhant from Goodwill. Please go ahead.

Siddhant: Yeah, hi. I just wanted a usual update on new GM crops. If there's any update from the government?

Mithun Chand: As of now, nothing. Nothing has moved in terms of the government. It stands still there. There's sort of confusion even with the U.S.-India trade

deal also. Nothing is moving forward. So, we need to wait. We need to wait for some more time to get clarity on that.

Siddhant: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Anurag Jain , who is an individual investor. Please go ahead.

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Anurag Jain: Good afternoon, sir. Congratulations on the good results. My query is that, like some of the other listed peers which have reported the results till now, they have shown flat or slightly negative sales growth, which shows that at the industry level, the industry is still not out of the low growth or flat era. So, what is happening at the industry level and what is the outlook for the seed industry for the next 1-2 years?

Mithun Chand: Basically, seed industry, when you're to a mid -to-long term range, it will definitely grow in terms of the seed segment. Yes, but which crop will grow, that is more important. What we see as of now is that the maize crop and rice. These are the two segments which will grow much faster. Maize will grow much faster and rice will also grow. Whereas cotton, we don't see that sort of a growth in terms of the segment. Companies who are dependent on 1 or 2 crops may suffer. That's the reason if you see our portfolio, we have a very diversified portfolio. We are not dependent on one crop. If you see, if you take our Company in the last 7-8 years, we were constantly saying that we want to decrease dependency on one crop. That's what we are seeing now. The cotton is less than 20%, whereas in earlier, it was more than 70%. So, in that way, we have balanced our portfolio well. Now we are also trying to increase revenues from vegetables and exports. We are de -risking ourselves from the entire seed industry, but overall, if you see, de -risking ourselves by depending on one crop, but overall, if you see, the industry is in very good shape and it will grow well going forward. And this year, there were many constraints in that one in terms of cotton crop and illegal BT, because there was no new technology was there . That's one part. There were heavy rains. Most of the time, the crop is damaged. The farmer was not able to sow the seeds. I mean to say, we were not having a good choice because already the season got delayed because of excess rain. So, there are many constraints in that. Even the chili prices were not good earlier. Now the chili prices are also good. These all impacted the Kaveri Seed Company Limited

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seed business. These are very short term things, but when you see in mid to long term, the seed industry will be very bullish. They say that by 2030, the hybrid seed market itself will be like \$6 billion from \$3 billion.

Anurag Jain: So, the current industry size is \$3 billion and it is expected to grow to \$6 billion for the Indian seed market by 2030?

Mithun Chand: Yes.

Anurag Jain: And sir, if you allow, what is the outlook for Jowar seeds, Bajra seeds, and vegetable seeds in the next five years?

Mithun Chand: Vegetables are doing well. Vegetables will definitely grow going forward. Vegetables are a very big market. Year -on-year, the vegetables are growing at more than 18% to 20% hybrid vegetable markets. So, that's a very good market to be in. Whereas in Bajra and Jowar, there are very limited markets and stagnated markets. Bajra is a bigger market than Jowar. So, we are also releasing hybrids in Bajra. Even that revenue will also come in the next 2 to 3 years.

Anurag Jain: And so there were some smaller like oilseed segments, sunflower seeds, and mustard seeds. How are they doing?

Mithun Chand: These are very small markets. When you talk about mustard, sunflower, we are there in both the crops. In sunflower, we are in the top three segments. But the market is very small. And mustard, we have started doing we

Il in mustard. In terms of only in mustard segment, we have grown by more than 40% year -on-year with a small base. But going forward, mustard will also do well. But there are very limited and small markets. The biggest markets in India are maize, rice, and cotton, these

vegetables . These four contribute more than 85% of our total seed market.

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Anurag Jain: And mustard seed market is also a small market like sunflower? Or this should be much bigger than sunflower seeds?

Mithun Chand: Mustard is slightly better than sunflower.

Anurag Jain: Thank you.

Mithun Chand: But mustard, it's all varieties. But we are concentrating on hybrids. That is a very small market. It is picking up now. And government is also focusing on mustard cultivation. So, that's another advantage for that.

Anurag Jain: And just one followup. For the cotton seed, there was some expectation that government will allow the new technology. So, is there any development on that? On the cotton seed's front?

Mithun Chand: As of now, nothing. Like in the last 5 -6 months, all the negotiations and talks are all standstill. But once the US and India trade deal is done, then they may talk on it. But no one is taking a call on that. But as Kaveri even though we have done very low in cotton going forward, with our new technologies also, we have very good hybrids which we have already tested last year. And now the hybrids are already on ground now, which are giving very good results. Kaveri will grow in terms of cotton as well.

Anurag Jain: Thank you, sir.

Moderator: Thank you. We have the next question from the line of Dhruv Saraf. Please go ahead.

Dhruv Saraf: Sir, you mentioned that 36% of cotton sales are from new products. So, going ahead into next year, how do you see scaling these products up? Have they possibly seen good response? And can we imagine the sales going ahead in the same 1 year or 2 years?

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Mithun Chand: Majority of the revenues, we say anything in the first 5 years as new products. Majority of the sales in the cotton, most of the crops are in the 2nd and 3rd year. And some are in the 1st year also. So, going forward, majority of the contributions will be from the new products.

Dhruv Saraf: And any feedback that you got? On ground feedback about your products? How they are doing?

Mithun Chand: Cotton as of now, it's like 100 -120 days. Cotton is really doing well.

Dhruv Saraf: Okay, sure. Thank you.

Moderator: Thank you. The next question is from the line of Amit Doshi from Care PMS. Please go ahead.

Amit Doshi: Sir, you mentioned that vegetables are very strong or whatever. It's growing very fast, 18 %-20%. We are also doing well. But the size or the contribution that we have is extremely low. So, why is that our numbers are so low considering that the market is so huge and we have good R&D spend in the vegetable seed space as well?

Mithun Chand: Vegetable market is a big market. It's a growing market year-on-year.

But to be more successful, we need to have better product which can beat the competition. So, in that way, we are putting our effort there.

Now the pipeline hybrids are good and we are scaling up the revenues in vegetables. You know that seed industry, the research itself takes 8 - 10 years to get a good product. So, it is taking time. But most of the varieties or hybrids are there in trialing segment. Some are doing well. Definitely, we will increase our revenues in vegetables.

Amit Doshi: Okay. So, how many new products are in pipeline as far as vegetables are concerned? Because you mentioned in cotton, you have significant

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and by FY '28, you will have all the new products in the cotton segment. But about the vegetables, i

f you can share.

Mithun Chand: Vegetable is also, most of the products are new products because we have launched all the products in the last couple of years. And every year, we are launching and trying new hybrids. So, most of the sales are from new hybrids. And vegetables, there are many. Vegetables, there are tens of vegetables in that. So, we have many varieties of vegetables in the pipeline. And mainly in like okra, chili, goats, and tomato. So, we are breeding more in these crops and most of the hybrids will be in these crops.

Amit Doshi: Okay. Sir, you mentioned that in maize etc., there is a huge price jump that we have seen because of inventory probably at the industry level was low. So, do we see this receding in the next year, coming year, for maize because of price hikes?

Mithun Chand: I've already commented on that. This year, the prices for sure, it will not go up than last year. In some crops, it's lower than last year.

Amit Doshi: It will be lower than last year. Okay. Sir, any update on that tax matter?

Mithun Chand: So, we've seen the appeal. Once it gets any, once we get any sort of communication, that will be disclosed.

Amit Doshi: Okay. And any discussion on that we were trying to, with this new tax bill etc., anything that, we can get a clarity about?

Mithun Chand: That has become a continuous effort from our side of the seed industry. But the decision, we have not seen any decision coming in our favor or not in our favor, but it's still pending there.

Amit Doshi: Okay. Thank you.

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Moderator: Thank you. We have the next question from Jasmit, an individual investor. Please go ahead.

Jasmit: Hello. So, in percentage terms, what is the decline in the sale of cotton volumes? And also, according to you, when do you think the market will normalize? Or is there any other hybrid that can compete with the illegal variety that is being sold in the market currently?

Mithun Chand: In terms of the cotton, we are down by more than 20% in terms of the volumes. In terms of the volumes, in terms of the illegal market, as of now, we don't see that it will go up next year. But governments are most, all the state governments and central government is taking a view on how to cut down illegal BT. But we are not afraid of that because that's not legal and we can't fight with those things in the market.

Jasmit: Right. And in terms of hybrid paddy, was there also any other reason apart from restrictions in Punjab that has impacted the volumes?

Mithun Chand: So, if you see, hybrid volumes are up by 2%-3%. Even though we lost like 500 tons in Punjab, we have gained in other markets. If you see overall hybrid market, the markets are down compared to the previous year. The acreages were down because of the heavy rains. But this is a very short term thing. Going down the line, hybrids will definitely come in, will take major share in rice.

Jasmit: So, the main reason is lower acreages only?

Mithun Chand: The main reason is lower acreages. Lower acreages in the sense like hybrid market. Most of the hybrids move to varieties this year because of excess rates.

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Jasmit: And sir one more thing I asked, do we have any hybrid that can counter the illegal... that can have the similar characteristics to the illegal seed of cotton that is being sold?

Mithun Chand: No. That's what I answered. But illegal, we can't compete with it because these are illegal technologies which are there in the market. As a Company, we don't enter into illegal things. The technology is illegal.

Jasmit: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Yogesh Mittal in Individual Investor. Please go ahead.

Yogesh Mittal: Sir, thank you for giving me the opportunity again. Sir, I have heard in th

e call a few times that it takes about 7 years to 8 years to launch a new seed of any variety. So, just wanted to clarify that do we mean to say that suppose any new seeds have been launched in this year say for example the research and development and the development of process started about 7 years to 8 years ago on those? Is that right thing to understand ?

Mithun Chand: Yes. Because it's a continuous activity. We get many hybrids. We test on many things. It will take so much time. Based on the need and for that we sometimes fast track it. The basic time is like 6 to 7 years. And higher the research spend , higher the amount time you spend on it the more the chance of getting hybrids.

Yogesh Mittal: So, on the costing part of it do we understand that any cost being incurred to develop any new seed for last 7 -8 years or continuing even now those are being captured in the P&L? And the actual cost of that seed which will be for the actual production when it is sold , it is put in the cost of goods sold?

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Mithun Chand: We don't capitalize anything. We just expense it out every year as and when required.

Yogesh Mittal: Yes. I was saying the same thing like R&D expense is basically expensed off and the actual cost of the seed is captured in the cost of goods sold when it is actually ready to sell.

Mithun Chand: Yes. When it is produced it is there in the cost of goods when it is in the research stage it is expensed out as R&D.

Yogesh Mittal: Okay, thank you.

Moderator: Thank you. The next question is from the line of Balaji who is an individual investor. Please go ahead.

Balaji: Sir, good evening. Sorry, I am in traffic. My voice might not be audible.

Sir, have one question regarding tax. Is there any update regarding tax demand we have received from Commissioner of Tax?

Mithun Chand: We are there in the appeal stage and the entire thing is already disclosed to exchanges. As of now we have not received any fresh demand or fresh any objection from there. Or any adverse or favorable in that matter.

Balaji: Sir, I have another question. Regarding recent floods in Andhra, Telangana, so does it have any impact on our receivables, are we directly impacted, is there any impact on our receivables?

Mithun Chand: Sorry?

Balaji: Recently there are floods in Telangana, Andhra Pradesh, so does it have any impact on our receivables, sir?

Mithun Chand: Not much. We don't have any, regarding these floods, we don't see any impact on the receivables.

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Balaji: Okay. Sir, I have another thing, sir. As my understanding, we lease some agricultural land, we produce hybrid seeds, then we sell in market, so is that a type of flood situation, does it have any impact on our inventory, sir?

Mithun Chand: In terms of the production, we do take production in areas, when these types of rains are there, we are also part of it, even that is impacted. That is the reason we de-risk our production model, because we give it in many states and many seasons. So, that 's a continuous activity, somewhere here or there, but as of now we don't see much of impact, because most of the crops are not sown yet.

Balaji: Yes, sir. We are diversifying in other non -cotton products, sir, but as seen in presentation, sir, maize production is almost, it has increased drastically. Is it sustainable in the future, sir? Is it seen area -wise or in value -wise?

Mithun Chand: We see a good potential in maize crop and we don't see any threat in maize crop at all. And we are very much bullish on maize and most of the hybrid in maize are coming in the next few days, so we are not worried about that. In fact, we are very bullish and optimistic on that.

Balaji: Sir, there is any impact on inventory returns, sir? As seen in our cash

flow stat

ement, almost in inventory we have positive, which we got cash flow, but in receivable we are in negative. This year compared to previous year, in cash flow operation we are in negative side. So, does any impact on our inventory, sir?

Mithun Chand: No, because as I told earlier, we have produced more this year because most of the inventory levels were low and some we were not able to sell in the Kharif, especially in cotton. Other we have produced as a buffer

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stock and everything will get normalized in next 2 or 3 quarters, 6 to 9 months it will get normalized.

Balaji: Thank you, sir. That's all from my side. Thank you very much, sir.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question.

Thank you all for joining this conference call. For any further information, please be in touch with Mr. Rama Naidu from Intellect PR on 9920209623. On behalf of Kaveri Seed Company Limited, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

13th February 2026

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051

Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,

Sub: Transcript – Kaveri Seed Q3 & FY 20 25-26 Results Conference Call on
Tuesday, 10th February , 202 6 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q3 & FY 20 25-26 Results Conference Call made on Tuesday, 10th February , 202 6.

The transcript and audio is uploaded on the Company's website as well on below link :

<https://www.kaveriseeds.in/wp-content/uploads/2026/02/Earnings-Feb2026.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seeds Company Limited
Q3 and nine months FY'26 Earnings Conference Call "
February 10 , 202 6

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR –
KAVERI SEEDS COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Kaveri Seeds Company Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seeds Company's Q3 and nine months
FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only

mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note, joining us today on this call, Mr. Mithun Chand, Executive Director.

Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.

I would like to hand the conference over to Mr. Mithun Chand. Thank you, and over to you, sir.

Mithun Chand: Thank you. Good evening, and welcome, everyone, to our Q3 and nine months FY '26 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational and financial performance of the company and then open the floor for the question-and-answer session.

Highlights. Revenue from operations has registered a growth of 16.94% to RS. 1,221.56 crores as compared to RS. 1,044.61 crores in nine months FY '25. EBITDA was at RS. 358.39 crores as compared to RS. 324.78 crores, registered a growth of 10.35%. Net profit was at RS. 308.91 crores as compared to RS. 294.46 crores, grown by 4.9%.

For the Q3 FY '26, revenue from operations was at RS. 173.65 crores, registered a growth of 16.08% from RS. 154.77 crores. EBITDA was at RS. 25.38 crores as compared to RS. 25.09 crores, registered a growth of 1.14%. Net profit was at RS. 7.46 crores. Cash and books stood at RS. 309 crores as against RS. 409 crores.

We are happy to declare a good set of quarterly numbers. Maize and selection rice volumes both have resulted in good revenue growth. Had there been a good rate support in maize during the Q3 FY '26, we would have delivered better profitability growth during the nine months of our operations. Having said that, this is a good indication for next year performance as we are able to clock better growth rates across our best-performing segments like rice, maize and vegetables. Our investments in expanding plant capacities and increased spend in R&D is going to contribute for increasing share of new products in both cotton and non-cotton segments. The demand spike and increasing acreages of maize, hybrid rice and selection rice and vegetables are going to be major drivers in the years to come. This year, commercially maize prices were hovering around RS. 1,200 to RS. 1,600 per quintal against RS. 1,200 in the previous year, which affected rabi maize cultivation in early markets like Madhya Pradesh, Maharashtra, Gujarat and Karnataka. The increasing areas of mustard and our continuous focus on bringing new varieties in, is paying off, and this is going to be a sizable business in the next couple of years for us. We are able to convert volumes of noncotton seeds into revenues growth due to good realizations and increasing market share and leadership in some of the leading segments where the company has good dominance in the market. During the quarter, volumes of non-cotton hybrids increased by

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6.1% and revenues increased by 13% and volumes as well as revenues of cotton seed has registered a growth.

Research paddy has grown by 51% in volumes, whereas vegetable seeds have grown by 5% in volume. Sunflower has grown by 94% in volume and mustard has grown by 64% in volume. Our efforts in entering into newer international markets in the last five years and increasing registration of

our seeds in these countries are expanding at ground level and delivering good results on our export front.

Exports have witnessed steep growth of 86% in the revenue during the current quarter and continue to grow and every year would be better than the previous year unless there is going to be any major unforeseen disruption in these markets.

As for our nine-months results, we are witnessing continuous growth in increasing contribution of new products. Cotton sales continue to impact by increased illegal cotton and high cost of production. All rice segments are doing well, both on volumes and revenues front. We are able to maintain hybrid rice volumes in spite of restrictions in state of Punjab, which has been the largest market for hybrid rice which has been one of the largest market for us, whereas revenues of hybrid rice increased by 17.9%.

Selection rice volumes increased by 7% and revenues increased by 14.2%. Maize volumes increased by 21% and revenues increased by 42.6%. Vegetable seeds volumes increased by 1.5%, whereas revenue increased by 11.4%. During the next quarter, we are expecting major growth in spring maize in Bihar, UP and Punjab. Similarly expecting growth in summer millet in Gujarat, Rajasthan and Western UP.

I would now open the floor for question-and-answer session. Thank you.

Moderator: Thank you so much. Our first question comes from the line of Amit Agicha from HG Hawa & Company. Please go ahead.

Amit Agicha: Thank you for the opportunity. Sir, what percentage of annual revenue is currently reinvested into R&D and breeding? And how should this trend evolve?

Mithun Chand: As of now, our spend is in between 5% to 10% of our total revenue, both including revenue and capex. Going forward, they should stabilize at decently lower than what we have spent in the last year because most of the capex is already done there.

Amit Agicha: And how many new hybrids are expected to be commercialized annually across cotton and maize and rice?

Mithun Chand: That's a continuous activity. We don't track by number, but each and every segment, we have very good pipeline hybrids, like we have more than 200 hybrids in our portfolio. Each segment has got a different pipeline. So it's very difficult to track the number. But yes, in terms of major crops like rice, maize and cotton, we have at least 8 to 10 hybrids, which are really doing well.

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Amit Agicha: Sir, can you put some color on like what is the typical gestation period like from lab research to commercial launch?

Mithun Chand: Basically, it's a very time-taking process. As we are there in the industry for the last many years, we are able to give hybrids in a very continuous manner. But for a new player it would take a very long time start get a hybrid seed.

Moderator: Our next question comes from the line of Dhruv Saraf from Bowhead India Fund.

Dhruv Saraf: Congratulations on a good set of numbers. Sir, just wanted to understand why are Q3 gross margin is like down almost 500 basis points year-on-year. And they are nearly at multiyear lows, if I look at Q3 in the past as well. So two, three key reasons for this?

Mithun Chand: Are you talking about the gross margins for the consolidated or both the...

Dhruv Saraf: Yes.

Mithun Chand: This time we have explained that the cost of production was a bit high when compared to the previous years in especially like crops like cotton that has impacted to some extent as we were not able to pass on everything to the farmer. That we already mentioned in the first quarter results where we have seen the impact. When you're talking about this quarter, the gross margins fell by 4% compared to previous year, which is in line with the consolidated one.

Dhruv Saraf: Yes. So the key reasons in this quarter given that cotton has a very low season this quarter, why would

gross margins have fallen this quarter specifically?

Mithun Chand: Even in maize and rice, the cost of production is a bit high when compared to the previous years. And usually, we used to sell higher, in terms of higher rates in rabi, but we were not able to pass it on to the farmer this time. So that 2% to 3% has impacted us this quarter, but this will not continue going forward because the production prices have already stabilized now. We don't see that going forward.

Dhruv Saraf: All right. All right. And sir, secondly, you spoke about cash at RS. 310 crores versus RS. 410 crores in the previous quarter. So sir, has there been further investment in working capital either due to inventory or debtors? And do you see this normalizing going ahead in Q4?

Mithun Chand: Yes. If you see the overall inventory levels, if you take the overall cash flow, like majority of that, close to RS. 200 crores plus has been into the inventory. And even though inventories are higher, trade payables are also lower when compared to the previous year. So I think once the season goes on, it will normalize it. As they have built the inventory, that's the reason we are seeing some sort of a fresh outflow towards building up the inventory and some towards the capex, but not much.

Dhruv Saraf: Sure. Sir, lastly, sir, I wanted to get your sense on the cost of production for the coming season across cotton and non-cotton crops. So now that you would have received a lot of the cotton stock for the next season, sir, how is the next season looking like especially for all of these cotton, maize and rice on both cost of production and the general outlook on the season?

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Mithun Chand: Basically, when you compare to year-on-year basis, compared to last year to this year, the cost of production has not gone up. In some cases, it has in fact gone down when compared to the previous years. But if the costs are stable, then anyway we will increase the prices to some extent that can be absorbed. So it will normalize to what it used to be earlier between that 45% to 48%.

Moderator: Our next question comes from the line of Saania Jain from Care PMS.

Saania Jain: Thank you for the opportunity. My first question was for the non-cotton segment. The other crops category has shown a strong growth at 59%. Could you please elaborate what are the key drivers behind this growth? Is this exports-led?

Mithun Chand: It's a combination of all other crops. Other crops include like wheat, mustard, bajra, sunflower, everything comes in the other crops. So the mustard and wheat moves in this segment, that's the reason we have seen a good growth in the other crop segment.

Saania Jain: Okay. Could you provide the revenue breakup for this segment?

Mithun Chand: We don't have the revenue breakup as of now. But overall, it's a very small portion when compared to the overall revenues because more than 80% of the revenues are contributed by 3 crops, maize, cotton and rice. So they are a very small segment, which comes in a very few quarters, especially like third and fourth quarter. And I will try to provide the number when we speak to you next time, yes.

Saania Jain: Okay. And wanted to understand, you've mentioned in the investor presentation that research paddy volumes grew by 51%. What constitutes research paddy?

Mithun Chand: Research paddy is nothing but a paddy, which are varieties which are developed by our own company.

Saania Jain: And this is not included in paddy sales?

Mithun Chand: Sorry?

Saania Jain: And this was not...

Mithun Chand: There are two types of paddy, one is hybrid paddy, what we report, and the research paddy. Both are in the paddy segment. Research paddies are varieties, whereas hybrid paddies are hybrids. That's the only difference. So we just give the split of it.

Saania Jain: Okay. And just a last

question. What are your views on the Draft Seeds Bill for 2025? And has there been any recent developments or updates? And what could be the potential impact of it on the industry or on the company?

Mithun Chand: No, no. In the new Seed Bill, lot of the things are trying to be addressed, one nation, one license. Most of the license are decentralized now. Proper registration of the hybrids, proper research, proper documentation, everything is coming in the new seed act. So it will be a very organized market. And I mean it will be very helpful for the farmers. We are still debating on some facts. But overall, it looks good when compared to the previous one.

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Saania Jain: Any recent updates that has happened?

Mithun Chand: No, the draft is circulated within the industry, and we all submitted the comments and more or less it should be passed any time. Might be one round of discussion or so.

Moderator: Our next question comes from the line of Amit Agicha from HG Hawa & Company as a follow-up question.

Amit Agicha: Sir, with over RS. 300 crores cash, like what is the capital allocation priority? Like any inorganic like opportunities or dividend buybacks? Or what is the company's plan?

Mithun Chand: In the previous year, we have done all, dividend anyway we are giving it. We used to do all the buybacks in the last years. This year, because we were building up the inventory, we have seen some sort of liquidity. I mean the cash got stuck in these activities. So we have not taken any decision on it.

But in terms of the organic growth, we are open for it because as it is a very temporary situation what we are facing as of now, but maybe next three to six months the cash will be the free cash what we generate. So that we are open for inorganic growth even as of now. But in terms of the buybacks that have a meeting in the first quarter or the follow-up quarter, then we'll decide about the buyback thing. We'll take a decision on the buyback.

Amit Agicha: And the last question, sir, how is the company tendering farmer loyalty and repeat usage like in a highly competitive seed market? Like are there any plans to digitize the farmer engagement demand forecasting or dealer analytics?

Mithun Chand: That's already we have done it. Most of that is digitalized now. We have a huge database of the early farmers, follow-ups are already there. We have digital marketing network. We have huge social media networks for that. We track everything from demand generation to the crop harvest.

Moderator: Our next question comes from the line of Sahil Malhotra, an individual investor.

Sahil Malhotra : My question is with respect to the demand received from income tax authorities. In two consecutive years, we have received a demand, in 1 year we received a demand for RS. 56 crores and second year we received a demand for RS. 70 crores. So I would like to get an update on how the management is pursuing these cases and whether in future we are getting this exemption from the tax authorities for the agriculture income or not, whether any provisions have been made in this regard or not?

Mithun Chand: The commission of appeals. Once we get the outcome of the appeal, we'll update the status.

Sahil Malhotra : Sir, whether any provisions we have made for this demand, RS. 56 crores and RS. 70 crores?

Mithun Chand: Provision is that we have made the appeals payment for that. Other one is like we are showing it in contingent liability.

Sahil Malhotra : As such, no provisions have been made till now.
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Mithun Chand: No. Because we have cash , we have not made any provisions for that.

Sahil Malhotra : Okay. And when we are likely to get the update because like one case was in 2024 and this case was around nine months back. So when we are likely to

get an update on these two cases?

Mithun Chand: Basically, there are three cases pending at the appeal stage. It's been almost like two and a half, three years there. Most probably it should come back in the next six months or so because the hearings are going on. The proceedings are going on. That should come about.

Moderator: Our next question comes from the line of Anurag Jain, an individual investor.

Anurag Jain: Sir, one question is a follow -up on the previous one regarding the cash. There is a dip in cash. So how has the receivables moved during the last one year? And because maize seeds is the one which has grown significantly compared to other seed varieties. So is there some significant sales to government agencies, government corporations for maize seeds? Is that leading to a buildup in receivables?

Mithun Chand: Not much. If you see actual receivables as of now at the end of 31st December, last year it was close to RS. 175-odd crores. This year is close to RS. 250-odd crores. Just RS. 75 crores have gone up because the sale is also higher in these quarters. So we are just waiting for that. But we don't see any government portion in it, where is an insignificant portion of government in it. We are not worried about that. As a company policy, we provide anything more than two years as bad debt s. We don't carry it.

Anurag Jain: Okay. And for exports, how do the receivables work ? Are the receivables outstanding for longer?

Mithun Chand: No, usually we work on LCs. We don't give any credit there. Very few cases.

Anurag Jain: Okay. So the receivables would be pertaining to our domestic sales only, not for the exports?

Mithun Chand: Majority of that will be on domestic s, and we don't see any difficulty in getting it. At the year - end, it will get normal. Usually, what, at the year -end, the outstanding are in between RS. 80 crores to RS. 90 crores or something like that, it should come back to those levels.

Anurag Jain: And sir, like two years ago, there was some outstanding receivable s with government corporation, which was unpaid. So the company had made a provision for it, but the company was still pursuing it with the government corporation for payment. So what was the outcome of that?

Mithun Chand: Still we have pending payments there. We received some RS. 3 crores or RS. 4 crores. We are trying to get it. We are doing that. But it is all provided in the provisions.

Anurag Jain: Yes, sir. That part I understand, that it was provided. And sir, another question is, there has been a sharp dip in maize prices. So for the farmers' output, not for the seed, but for the maize prices. So in light of that, do you expect there would be some correction in the volumes for maize next year because of the sharp dip in prices? Or do you expect the maize volumes to remain stable next year?

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Mithun Chand: We think maize volumes should remain good and healthy and because the acreages are going up and the usage is also going up. I do agree that the maize prices are down. In fact, it went down to as low as RS. 1,200 crores to RS. 1,250 crores, RS. 1,300 crores. But right now it's close RS. 1,800 to RS. 1,900. Anything about RS. 2,000, RS. 2,000, near to RS. 2,000 is a good price for maize.

Anurag Jain: Okay. And what would be the price at which the farmer would break even, like at what price the farmer would break even?

Mithun Chand: No, farmer will definitely breakeven. But in terms of what returns he makes it, if anything close to RS. 2,000 is a good return for him.

Moderator: Our next question comes from the line of Dhruv Saraf from Bowhead India Fund as a follow - up.

Dhruv Saraf: Mithun sir, the last two years have been good for maize acreages . And a lot of companies had spoken in the past about there being a shortage of inventory. Do you see that going next season now that eve

ryone knows that maize is the hot crop and acreages going up ? Is there a chance that the market could see increased supply and hence there could be pricing pressure for the industry and for yourself as well for next season and beyond?

Mithun Chand: If you see, that's what happened this quarter itself because last year, by seeing the demand for

the maize, everyone has produced more inventory, including us. All the industry players have produced more inventory. That's the reason the prices are also up in terms of the production cost. And there was a huge availability of inventory in the second half now. That's one of the reasons why we couldn't pass it on to the farmer, and that also made some dent in our revenues. But it will normalize now. It will normalize now because everyone has the inventory and everyone knows that.

Dhruv Saraf: Okay. So do you not see the risk of extra inventory flooding for Kharif '26 as well?

Mithun Chand: I don't see that because already it's there in the inventory. Everyone, as an industry, we all know that the inventory will be available. And everyone is wiping on that parameters.

Dhruv Saraf: Not a lot of companies have taken aggressive production for next season, you are saying?

Mithun Chand: No. In fact, for this year itself, the current running year, '25 -'26 FY, most of the companies have taken aggressive production. And that has resulted in extra cost of production for all the companies. When you see the Rabi for the second and third quarter results, what we are talking about, when we see the maize market, most of the companies have got huge inventory and it was heavily flooded in the market.

Already, the prices at what we used to sell, that has been stabilized. That's the reason we were not able to pass it on to the farmer, and that's one of the factors why the cost of production has gone up for us when compared to the normal years.

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Dhruv Saraf: Understood, sir. And sir, the cotton season, I mean the cotton crop for the last year must have been harvested sir. So have you received any feedback in terms of your performance of new products? You've seen products like the new products we've launched. How has the market feedback been for that?

Mithun Chand: Our products have really done well, performed well, and we will see that good set of growth numbers coming in the next couple of years starting from '26, '27. I mean to say like June '26.

We'll get to see good revenue increase in that.

Dhruv Saraf: And finally, on cotton itself, sir, do you see any increase in illegal seed this year? Or do you see the volumes going up again for illegal seed...

Mithun Chand: See, that it will be in the same level as what it was in last year and increasing now.

Moderator: Our next question comes from the line of Jasmine Sodhi from Wealth Advisors.

Jasmine Sodhi : Congratulations on great numbers, first of all. Since we were just on the subject of inventory, I would like to specifically ask about the cotton inventory. Although I feel this must be an industry -wide problem because everyone is seeing a decline in cotton sales because of the illegal HT sales. So what is our position of cotton inventory? Do we see any risk?

Mithun Chand: No. As of now, we are having enough stock till the end of the season, I mean to say by next year's season will be in between 8 million to 9 million packets for us, which is in line with our anticipation. And as a cotton seed, most of the hybrids are new in our case, most of the hybrids that we have produced are new hybrids.

So they will have lives at least for the next three to five years. So definitely we'll be liquidating them. So we don't see any threat in that. In fact, we'll be taking new production for this year also, which starts in the month of May, June of '26.

Moderator: Ladies and gentlemen, as there are no further question

s, we'll conclude the call. Thank you so

much for joining the call. For any other information, please be in touch with Mr. Rama Naidu from Intellect PR on 9920209623. I repeat 9920 209 623.

On behalf of Kaveri Seed s Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

30th May 2026

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051

Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,

Sub: Transcript – Kaveri Seed Q4 & FY 20 25-26 Results Conference Call on
Wednes day, 27th May , 202 6 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q4 & FY 20 25-26 Results Conference Call made on Wednes day, 27th May , 202 6.

The transcript and audio is uploaded on the Company's website as well on below link :

<https://www.kaveriseeds.in/wp-content/uploads/2026/05/KaveriSeed-Earnings-May27-2026.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

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"Kaveri Seed Company Limited
Q4 & FY26 Earnings Conference Call "
May 2 7, 202 6

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED
MR. RAMA NAIDU – INVESTOR RELATIONS --
INTELLECT IR – KAVERI SEED COMPANY LIMITED

Kaveri Seed Company Limited
May 2 7, 202 6
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Moderator: Ladies and gentlemen, good day, and welcome to the Kaveri Seed Company's Q4 and FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that the conference call will be recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director. Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to

the earnings presentation.

I would now like to hand over the call to Mr. Mithun Chand. Over to you, sir.

Mithun Chand : Thank you. Good evening, and welcome, everyone, to our Q4FY 26 earnings conference call. We hope you had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company and then open the floor for Q&A session. Financial highlights.

Revenue from operations was at INR 82.21 crores as compared to INR 76.95 crores in Q4FY 25, grown by 6.84%. Net loss was at INR25.65 crores as compared to INR29.25 crores in Q4FY 25. Revenue from operations was at INR1,303.77 crores in FY26, as compared to INR1,121.57 crores in FY25, grown by 16.25%. EBITDA was at INR349.75 crores as compared to INR274.29 crores in FY25, grown by 8.34%. Net profit was at INR283.26 crores as compared to INR265.21 crores in FY25, grown by 6.81%.

Major highlights.

FY26 was a strong year for the company with revenue from operations growing by 16.25% to INR1,303.77 crores while PAT increased by 6.8% to INR283.26 crores on account of delivering good growth rates across all non-cotton segments like rice, maize and vegetables.

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Contribution for new cotton hybrids improved significantly, increasing from 10.3% to 30.05%, demonstrating strong acceptance of newly launched hybrids and strengthening of our future cotton portfolio expecting growth in cotton sales across North, Central and South India driven by new hybrid products.

Maize remained the key growth revenue during FY26, with volume growth of 18.84% and revenue growth of 40.17%, supported by improved acreages and stronger market demand. Hybrid rice revenues increased by 18.3% despite restrictions in Punjab, while selection rice increased by 2.58% and revenues grew by 9.76%.

Hybrid rice growth is expected from key markets, including Punjab, Uttar Pradesh, Bihar, Chhattisgarh and Jharkhand. Export business delivered exceptional performance with approximately 90% growth during FY26, while Q4FY26 exports have registered a growth of nearly 76%, reflecting increasing acceptance in major international markets. Export business performance is expected to remain strong. Expecting growth in rainy millet across Rajasthan and Uttar Pradesh. The contribution of new products of volumes of cotton was up from 10.3% to 30.05%.

Hybrid rice revenues increased by 18.3%, selection rice volumes increased by 2.38% and revenue by 9.76%. Maize volumes increased by 18.84% and revenues increased by 40.17%. I would now open the floor for the Q&A session.

Moderator: Your question comes from the line of Siddhant Dand with Goodwill.

Siddhant Dand: My first question is regarding the inventory levels. Last year, our inventory had a pretty abnormal jump of 38%, but sales grew by only 16%. This year also, we've had a 17% inventory growth over the last year levels. So is inventory expected to normalize to a certain level? Or will we keep this extra buffer that we've started to create?

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Mithu

n Chand : Inventory was up by 17%. This year, we have produced more because last year, there was a lot of competition in terms of production areas. So we have produced more intentionally to keep some buffer stocks. That's the reason we are increasing a bit of higher inventory levels, but it's not an issue for the company. Just strategically, we have produced much to some extent. And this time, to some extent, even 5% to 7% yields were also higher. So that is also an impact what we see in inventory levels.

Siddhant Dand: Okay, higher yield, that's good to know. Just as usual, any update on BG-III trials?

Mithun Chand : As of now nothing, but just moving in a very slow pace, but nothing concrete as such. Once we get any update, we will definitely let you know, but still moving in a very slow pace.

Siddhant Dand: Okay. El Nino effect or something that we see on our sales anytime or it's not really a thing?

Mithun Chand : It's too early to say because there's a lot of mixed opinion about the monsoon altogether. But in the last week or 3 or 4 days, we are seeing pre-monsoon showers across most of the parts. So that may not be a right thing to judge. But as a seed business, we require initial 2 or 3 showers before the seeds.

So we may not have much impact, but the delay in the monsoon may impact the cropping patterns. But as we are there in most of the crops, and we are a product mix company, so we might mitigate that risk. As of now, we don't see much of that impact.

Siddhant Dand: Are you expecting cotton to continue degrowing?

Mithun Chand : Cotton should grow this year. This year, the sentiment is also good across India. The cotton acreages are in the initial trend, which the cotton acreages is also growing. And there will be El Nino effect, even the sentiment for cotton is also good because it's a hardy crop, the sentiment is good, and we see there will be an increase in the acreage. Definitely,

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we'll have an advantage with that. We'll be definitely growing in cotton as a whole.

Siddhant Dand: Within that, we expect new products to become a larger contributor like it went from 10% to 30%. So can it become a 50% plus of our business or any high amount...

Mithun Chand : Yes, most of the growth what we anticipate this year should come from the new products, so that we have already seen the initial trend last year.

So that will grow and that will continue to grow.

Siddhant Dand: Will it have a similar margin or lower or something because of price cap?

Mithun Chand : This year, we may not be able to increase the prices, like how we have increased last year, but other than that, the production cost is also slightly lower than last year. So in that way, we will be able to maintain the margins slightly maybe in a better way than last year because the other costs will come down.

Siddhant Dand: Okay. Overall production costs are down from last year or...

Mithun Chand : Because the yields are higher, the production costs are slightly down.

Moderator: Your next question comes from the line of Dhruv Saraf from Bowhead India Fund.

Dhruv Saraf: Sir, just wanted to understand on the balance sheet, sir. On the other current liabilities, we've seen a reduction from INR600 crores of last year compared to INR470 crores this year. So sir, what does this pertain to? Is it due to lower customer advances that you've received?

Mithun Chand : Yes. If you see the advances from last year to this year, we have received INR75 crores to INR80 crores of lower advances. That's the main impact of that.

Dhruv Saraf: Okay. And what would be the reason behind this, sir?

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Mithun Chand : And even the trade payables are also lower compared to that.

Dhruv Saraf: What would be the reason behind this lower advances, sir? Is it because of expect

ation of a poor season, for example?

Mithun Chand : Not really, but the sentiment of the farmers or the cash flow is a bit tight across the channels. And even we have not insisted more on advances because the margins are getting shrunk.

Dhruv Saraf: Okay. Sir, margins would be at the farmers' end is what you're trying to say?

Mithun Chand : No, no, margins at the company level. If we take an advance, we need to give more incentives to them. So we have not encouraged taking more advance and not floated attractive schemes.

Dhruv Saraf: Okay, sir. Sir, in terms of the key crops for us, cotton, maize and rice, how do you see the channel inventory in the system for all 3 of them?

And if you can touch upon the illegal penetration, especially in cotton for this year?

Mithun Chand : So as of now, nothing is there in the channel, but if you see in the company levels because as the seed, nothing will be left in the channels.

But most of the inventory will lie with the company or in the season with the channel. So the season is yet to be gin, the placements are slightly happening now in some areas. So the inventory levels are pretty high in the system, especially with the companies. So that's a challenge.

But as the inventories are high, that the reason I said that we may not be able to increase the prices like what we did last year. But the branded products will move now.

Dhruv Saraf: Okay. Sir, would it be the same as you said, for all 3 crops? Or do you see any difference in, let's say, cotton versus others?

Mithun Chand : The inventory is higher in all 3 crops. In all 3 crops, the inventory is higher. I said that most of the yields are also good, so most of the

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channels have the inventory. Coming back to your second question regarding the illegal BT, except in Gujarat, we don't see any rise in illegal BT. In Gujarat, it's still continuing as of now.

Dhruv Saraf: It's still continuing as of now. Okay, sir. All right. And sir, your expectation in terms of how FY '27 could pan out in terms of volume growth or revenue growth and margins?

Mithun Chand : Last time we have increased prices, that's the reason we have seen a lot of revenue growth. This time, the majority of the contribution will be from the volume growth. We see the 15 -plus percent of growth at the top line, and we might grow much higher than what we have projected like 15 -plus at a company level. But in cotton, it should be more than 20-odd percent.

Dhruv Saraf: So volume growth in the good case can be 20 -odd percent is what you're saying?

Mithun Chand : Yes. Overall, the revenue should be in between the 15% to 20% growth.

And cotton should beat the overall company in terms of the growth. Like I said earlier, we may not increase the prices, so the revenue growth will be in line with the volume growth.

Moderator: Your next question comes from Amit Doshi with Care PMS .

Amit Doshi: Regarding inventories, what kind of inventory mix is there, you said mix of all the 3 crops would be there. But for the cotton, especially since now the hybrid is contributing more, would we have more inventory of the old cotton seed, which ultimately would call for a write -off considering 2 to 3 years of shelf life?

Mithun Chand : So if you see the inventory compared to last year, the inventories are only up by 15% to 18%. So as we are anticipating more than 15% growth in this year, so we are in line with the inventory levels. But in terms of the write -offs, most of the inventory is in new production. So we may not worry about the write -offs, especially in cotton, the seed will last for

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3 years. So the inventory what we have is hardly maybe maximum of 1.3 to 1.5 years, not more than that. So if anything is left out, we will use next year.

Amit Doshi: Okay. So you mentioned that

this illegal cotton seed is still continuing in the state of Gujarat. So despite that, our confidence is extremely high on the cotton sales. Is it just because of the price parity that we would have vis -a-vis illegal cotton or anything else apart from that?

Mithun Chand : So we are not competing with illegal cotton at all. We are competing

with the normal legal BT cotton across. As if you can see, our new hybrids have contributed more even in last year. So those hybrids have performed well last year. So we are anticipating a growth in those hybrids. So that will contribute the majority of revenue in cotton.

Amit Doshi: Okay. So now do you believe the overall reduction in the last 4 years have come down of cotton from 45 to 120. Now of course, last year was an aberration. So what would be next year likelihood, 30% odd something would be for cotton?

Mithun Chand : So definitely, if you compare to last year, the contribution of cotton is definitely higher this year as compared to last year because we see a very good growth in cotton this year. That doesn't mean that we'll not grow in other crops. We'll also grow in other crops, but cotton we'll be growing much better than other crops.

Amit Doshi: Okay. Sir, we saw some announcement regarding the tax ruling, which is in favor of the company at the appellate level. Would you want to throw some sort of management highlights in terms of what is the likelihood of past as well as future such tax liabilities or the obligation vis-a-vis the call of income tax?

Mithun Chand : Whenever we have any litigation or any dispute with the tax authorities, we have already intimated to the exchanges and to the investors.

Because as we claim it as an agriculture income, it's not our company, it's across the industry where most of the companies claim it as an

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agriculture income. We are not the first or the only company who claim it. So there's a dispute. And across, if you see, not only to Kaveri, but across industry you see, all the seed companies have won against the tax department.

So it's just a recognition of the income, and we have won at the commissioner appeals level. And in most of the cases, most of the companies have got many orders at ITAT and High Court. So even though there might be a litigation, we are not worried about it. That's what you were saying in the last years also. We had a litigation. We are pretty confident that the nature of the income is agriculture income, and that is all clear in most of the courts. So it's a matter of time. As of now, we don't have any other litigations as of now. If some litigation definitely comes in, definitely we'll know. As of now, we don't have any litigation.

Amit Doshi: Okay. Sir, anything update on the Seeds Bill that was earlier last year proposed? Anything on that?

Mithun Chand : That should come this year most probably any time. It's moving very actively. That should be out very soon.

Amit Doshi: Okay. And sir, since last 2 years, obviously, dividend has been maintained, but last year we had done buyback as well. So this year, there is no announcement of additional dividend. Any thought process as how we should...

Mithun Chand : So usually, we give only one -time dividend, that is usually in the second or third quarter we see. We were regularly dividend paying. We have not changed our policy regarding the dividend, even though we don't have a policy, we're giving at the same time. But in terms of the buyback, last year, we have not done because we were pretty much sure that we are producing more, we need to maintain for the inventory. That's where money is stuck, and that's what you are seeing now. Once we realize this money by the next 3 to 5 months, then we'll come back with that.

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Amit Doshi: Okay. And just last question,

now, sir, since now last year, of course, the cost of production, et cetera, were higher. Now you're saying that the cost of production is likely to be lower. On the other side, price rise is not going to happen. So like you said that 15% to 20% growth should be there on the revenue level. On the margin front, over 24%, do you believe that

we can cross 24% by a reduction in cost of production?

Mithun Chand : As most of the other expenses are same or will be lower than last year and slightly lower production cost compared to last year, that's where we see that the margin should go up this year compared to last year.

Moderator: The next question comes from the line of Anurag Jain, an Individual Investor .

Anurag Jain: My question is on the capital investment, capital expenditure. There is a capital work in progress of INR99 crores at the stand-alone level and INR129 crores at the consolidated level. What is the capex being undertaken by the company and its subsidiaries? What kind of facilities are being built?

Mithun Chand : Most of the facilities are office building or plant and machinery. Land, office building and plant and machinery, these are the one that most of the capex is there, out of which only INR30-odd crores is with one building, which is going on and some with acquisition of land and some with seed processing unit and the machinery.

Anurag Jain: And sir, the land purchase is basically for R&D land or for building some...

Mithun Chand : For R&D.

Moderator: The next follow-up question comes from the line of Dhruv Saraf with Bowhead India Fund.

Dhruv Saraf: Mithun sir, if I just look at the gross margins over the last 2, 3 years, we have fallen from those peaks of 49.5% to 47% today. So in FY '28, sir, Kaveri Seed Company Limited

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do you expect any gross margin expansion? Or will the margin expansion purely be led because of operating leverage?

Mithun Chand : Even we see something at gross margin level because in the last 2, 3 years, rightly said, rightly observed, the cost of production has gone up and the same ratio, we were not able to pass it on to the farmer. Now the cost of production is slightly lower and the prices remain at the last year levels at least, if not higher. So we might increase the gross margin this year. So the addition in the bottom line should be across all, gross and the operational levels.

Dhruv Saraf: Sir, I just wanted to specifically touch on maize. You had alluded to the fact in one of the earlier calls that maize channel inventory in the system is very high compared to previous years. And given, sir, this is an El Nino year, maize has competing crops like soybean and pulses, which are expected to do well. Do you see very high pricing pressure in maize for the coming kharif season?

Mithun Chand : So as of now, the sentiment is not that great for maize. Last year, the yields are very much higher. I'm talking just about the kharif part.

Because the yields are good, the sentiment is good. One is because of El Nino, there's a mixed opinion about El Nino.

And the other thing is that there's some sort of a shortfall in terms of the fertilizers in the market. That also is impacting to some extent, but it's too early to talk about that. So that's the reason we just see a sideways in the kharif part.

But second, rabi, we see a very positive thing for maize. And as a company as such, even in kharif, we'll be growing because we are targeting some other pockets where we are not strong. We have very good ability in those segments. We will be growing even in this particular tough conditions.

Dhruv Saraf: Okay. Sir, you had a lot of success with your new products in maize over the last 2, 3 years. Is there any major new product launches that you're Kaveri Seed Company Limited

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doing this year? Or have you done last year, which could

start

contributing to revenues?

Mithun Chand : That's a continuous activity what we do. But in the last 2, 3 years, what we have done, those will be a major contributor for this year and for the

next year.

Moderator: The next follow-up question comes from Anurag Jain, an Individual Investor .

Anurag Jain: Sir, till now, Kaveri Seed was using the Kaveri brand in the market. Now you have started using one of the subsidiaries, the Aditya brand also. So when you are looking at the market, how are you dividing the market segment between the Kaveri brand and Aditya brand? Are they targeting different segments or they are competing with each other also?

Mithun Chand : So in terms of the company level, it's a 100% subsidiary of Kaveri. But the products what we sell in Kaveri and Aditya are altogether different.

We have another subsidiary by name Genomix also. All three companies sell different products because as we have good R&D and we are having many new hybrids, which are like B2 B in different segments. As a company, we may not be focusing on most of the hybrids.

So those hybrids, we give it to them for marketing, we give it to Aditya and Genomix. In most of the cases, they compete also among themselves. But as a team, as hybrids, they all operate independently.

There's nothing related to each other. And the main product is in Kaveri and something like B2B, we'll go to those products.

Moderator: Thank you. As there are no further questions, this concludes our question-and-answer session. Thank you for joining the call. For any other information, please be in touch with Rama Naidu from Intellect PR on 992 -020-9623. On behalf of Kaveri Seed Company Limited, that concludes this conference. Thank you, everyone, for joining us. You may now disconnect your lines.

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Mithun Chand : Thank you.